Notes on Advanced Macroeconomics

Victor Li

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Preface

Aim of this work of mine is to provide clear macroeconomic knowledges in language as simple as possible. Most of this note is taken from the advanced macroeconomics course of Yanfei Deng I took. This note is still a work in progress and needs tons of ammending. See the newest version at `https://github.com/xolarvill/notes-on-economics` along with my other notes. And pull a request if you figure some part of this note is wrong.

This work was first written in markdown language on Obsidian, which provides a lightweight and highly personalized working experience. But it was later transfered into purely latex language on Sublime Text, due to poor support for rendering of long math equation blocks of Obsidian. For the tranfer I used Pandoc at `https://pandoc.org/`. I wrote some LaTeX snippets of Sublime Text to optimize the writing experience, and uploaded on github at `https://github.com/xolarvill/snippets-for-quick-latex-on-st`.

One can find enormous academical help on advanced macroeconomics from books listed below:

- Introduction to Modern Economic Growth, D. Acemoglu
- Economic Growth, R. Barro and S.i.M. Xavi
- The ABCs of RBCs, An Introduction to Dynamic Macroeconomic Models, G. McCandless
- Macroeconomics, A Comprehensive Textbook for First-Year Ph.D. Courses in Macroeconomics. M. Azzimonti, P. Krusell, A. McKay, and T. Mukoyama
- Adavanced Macroeconomics, D. Romer

Part I
Introduction

A short bridge from intermediate macroeconomics to the decisions, equilibrium concepts, and notation used in these notes.

1 Introduction

These notes assume intermediate macroeconomics, including national accounts, basic growth theory, and aggregate demand and supply. We now ask how aggregate outcomes follow from decisions over time, and how those decisions respond to the environment and policy.

Parts II–IV cover growth, fluctuations, and the open economy. Part V studies money, finance, and policy; Part VI applies these mechanisms to the dollar system and China's growth after the pandemic. Chapters and sections marked *planned* contain outlines for later development.

1.1 Growth, fluctuations, and their interaction

Growth theory asks how productive capacity and living standards evolve. Starting with capital accumulation, we introduce saving decisions, population, technology, and resource allocation to explain differences across economies.

Business-cycle theory asks how an economy responds to disturbances in productivity, demand, or financing. We identify the shock, then explain the response of spending, employment, and prices. A mechanism that amplifies a shock need not be its cause.

The questions overlap. A recession can reduce investment and change future capital. Population and productivity growth can change the conditions for stabilization policy. Growth need not be an unaffected trend, and fluctuations can have lasting effects. We begin with separate models to isolate mechanisms, then study their interaction.

1.2 From aggregate relations to individual decisions

An aggregate consumption function such as $C = C(Y - T)$ summarizes a relationship. It does not yet explain how a household responds to an expected tax change, uncertain income, or a borrowing limit. To study those questions, we specify what the household chooses and what constrains it.

A two-period example. Let a household receive real income y_0 today and y_1 tomorrow, with no initial or terminal assets. Saving a_1 earns a known gross real return $R > 0$; negative a_1 is borrowing at that return. The problem is

$$\begin{aligned} \max_{c_0, c_1, a_1} \; & u(c_0) + \beta u(c_1), \qquad 0 < \beta < 1, \\ \text{s.t. } & c_0 + a_1 = y_0, \\ & c_1 = y_1 + R a_1. \end{aligned} \tag{1}$$

Assume $u' > 0$, $u'' < 0$, positive consumption, and an interior solution. Substituting the constraints leaves one choice:

$$\max_{a_1} \; u(y_0 - a_1) + \beta u(y_1 + R a_1). \tag{2}$$

Differentiate with respect to a_1, then substitute back for consumption:

$$-u'(y_0 - a_1) + \beta R u'(y_1 + R a_1) = 0, \tag{3}$$

$$u'(c_0) = \beta R u'(c_1). \tag{4}$$

Saving one more unit costs $u'(c_0)$ units of utility today and yields $\beta R u'(c_1)$ tomorrow. An interior optimum equates the two.

For marginal utility $u'(c) = c^{-\sigma}$, $\sigma > 0$,

$$c_0^{-\sigma} = \beta R c_1^{-\sigma}, \tag{5}$$

$$\left(\frac{c_1}{c_0}\right)^{\sigma} = \beta R, \tag{6}$$

$$\frac{c_1}{c_0} = (\beta R)^{1/\sigma}. \tag{7}$$

Thus consumption growth depends on patience and the return to saving. Its sensitivity to that return is governed by $1/\sigma$, the elasticity of intertemporal substitution in this example. A binding borrowing constraint would require an inequality condition instead of this interior equality.

Expectations and policy. With uncertainty, today's utility cost is known but tomorrow's gain is not. Replace that gain by its conditional expectation. For an asset with gross real payoff R_{t+1}, the interior condition becomes

$$u'(c_t) = \beta E_t[R_{t+1} u'(c_{t+1})], \qquad E_t[\cdot] \equiv E[\cdot \mid \mathscr{I}_t]. \tag{8}$$

Here $\mathscr{I}_t$ is information available when the household chooses saving. An uncertain return stays inside the expectation; its comovement with marginal utility matters. Rational expectations require forecasts consistent with the model and available information, not knowledge of tomorrow's realization.

The same logic matters for policy. An announced future tax change may alter consumption today. A change in a policy rule can change expectations and the aggregate relationships observed under the old rule. This is the concern in the Lucas critique.[1] Writing down individual decisions makes these responses explicit. It does not, by itself, guarantee that the chosen preferences, constraints, or information assumptions remain appropriate under every policy change.

1.3 Reading a dynamic equilibrium

The household takes income and returns as given. In general equilibrium, they must be consistent with production and other agents' choices. A competitive equilibrium combines individual optimality, budget constraints, market clearing, and policy rules at each date and, under uncertainty, each history.

States, choices, and paths. Consider a deterministic economy with fixed labor normalized to one, output $f(k_t)$, and no government or foreign trade. Capital k_t is available at the start of period t. With depreciation δ, feasibility gives

$$k_{t+1} = f(k_t) + (1 - \delta)k_t - c_t. \tag{9}$$

Capital is inherited; consumption is chosen and affects tomorrow's capital. Here k_t is a state variable and c_t a control variable. The set of states depends on the model's timing and assumptions.

If households can save in capital, competitive factor pricing gives the gross return $f'(k_{t+1}) + 1 - \delta$. Substituting this return into (4) yields the intertemporal condition

$$u'(c_t) = \beta\,[f'(k_{t+1}) + 1 - \delta]\,u'(c_{t+1}). \tag{10}$$

Together, (9) and (10) describe feasible accumulation and optimal consumption growth. Given k_0, different initial choices of c_0 generate different candidate paths. Feasibility and the Euler equation alone do not establish that each path is an equilibrium. The model also needs its boundary conditions, including the

[1] Robert E. Lucas, Jr. (1976), "Econometric Policy Evaluation: A Critique," *Carnegie-Rochester Conference Series on Public Policy*, 1, 19–46. https://doi.org/10.1016/S0167-2231(76)80003-6.

appropriate transversality condition for this infinite-horizon saving problem. We derive these conditions in the Ramsey chapter.

A steady state is a particular path. For a positive stationary allocation, set $k_{t+1} = k_t = k^*$ and $c_{t+1} = c_t = c^*$ in the two equations. Since $u'(c^*) > 0$,

$$c^* = f(k^*) - \delta k^*, \tag{11}$$

$$1 = \beta\left[f'(k^*) + 1 - \delta\right]. \tag{12}$$

These equations locate a steady state. They do not describe the transition from an arbitrary k_0, or prove existence or uniqueness of an equilibrium path. With sustained technological or population growth, aggregate quantities may keep growing on a balanced growth path. A stationary system may then require normalization, for example by effective labor, rather than constant levels.

Equilibrium and welfare answer different questions. A planner chooses a feasible allocation directly; a competitive equilibrium also specifies prices that support individual choices. Under suitable conditions, a planner's allocation can be decentralized. Taxes, market power, externalities, incomplete markets, or nominal rigidities may prevent that equivalence. Market clearing alone establishes neither efficiency nor the desirability of a policy. A welfare comparison must state whose utility is evaluated, which constraints apply, and what alternative is feasible.

1.4 Accounting and notation used in these notes

We need only a few accounting conventions at the outset. In a closed economy, using gross investment I_t,

$$Y_t = C_t + I_t + G_t, \tag{13}$$

$$K_{t+1} = (1 - \delta)K_t + I_t. \tag{14}$$

K_t is the stock available at the beginning of the period; I_t is a flow during the period. Depreciation already enters (14). We do not add it again to (13). A household's purchase of a financial claim need not create physical capital; domestic claims and liabilities must be consolidated when deriving aggregate feasibility.

Accounting becomes a model only after we specify behavior, technology, and equilibrium. Government budgets enter with fiscal policy; international accounts enter in Part IV.

Capital letters generally denote aggregates; lower-case letters denote per-person or normalized quantities. Check each chapter's normalization before comparing equations. Unless stated otherwise, β is a discount factor, ρ a rate of time preference, r a net real interest rate, and $R = 1 + r$ a gross real return. In discrete time, the convention $\beta = 1/(1 + \rho)$ differs from continuous-time discounting $e^{-\rho t}$.

For a nominal one-period return $1 + i_t$, realized inflation $\pi_{t+1} = P_{t+1}/P_t - 1$ gives the gross real return

$$R_{t+1} = \frac{1 + i_t}{1 + \pi_{t+1}}. \tag{15}$$

An interest rate quoted in nominal units is therefore not the real return in (8). Under uncertainty, the realized price change must remain inside the relevant expectation.

Finally, for a positive variable X_t and a positive stationary reference $\bar{X}$, define

$$\hat{x}_t \equiv \log X_t - \log \bar{X} \approx \frac{X_t - \bar{X}}{\bar{X}}. \tag{16}$$

The definition is exact; the approximation is local. A deviation from a steady state, a growth rate, and an output gap relative to a flexible-price allocation are different objects. Each chapter states its reference point before using an approximation.

Part II
Growth

How does an economy's productive capacity evolve? Growth facts lead to Harrod and Domar's demand and investment questions, then to Solow's capital adjustment. We move from a given saving rate to optimal saving, overlapping generations, and endogenous technological change.

2 Growth Facts and Growth Accounting

Why are some economies richer than others, and why do living standards grow? Before choosing a model, we need to separate the outcomes to be explained. This chapter distinguishes income levels from growth rates, then decomposes output growth into measured inputs and productivity. The decomposition helps locate a question; explaining the underlying decisions requires a growth model.

2.1 Income levels, growth rates, and convergence

2.1.1 Which output, and per whom?

Let Y be real GDP, N the population, E the number of employed people, and L total hours worked. For positive quantities,

$$\frac{Y}{N} = \frac{Y}{L}\frac{L}{E}\frac{E}{N}. \tag{17}$$

Output per person therefore depends on output per hour, hours per employed person, and the employment-to-population ratio. Higher GDP growth need not mean faster growth in GDP per person. Likewise, a rise in GDP per person can come from more work per person without any rise in output per hour.

Use real output to study changes over time. For cross-country level comparisons, purchasing power parities (PPPs) adjust for differences in price levels; conversion at market exchange rates can mix output differences with price and exchange-rate movements.[2] Use a common measure and specify the comparison year. GDP per person measures average production, not its distribution or welfare: leisure, health, and consumption opportunities also matter.

2.1.2 A level difference is not a growth-rate difference

For a positive continuous-time variable $X(t)$, define its instantaneous growth rate as

$$g_X(t) \equiv \frac{\dot{X}(t)}{X(t)} = \frac{d\log X(t)}{dt}. \tag{18}$$

Logarithms turn products into sums. Applying this definition to (17) gives the exact identity

$$g_{Y/N} = g_{Y/L} + g_{L/E} + g_{E/N}. \tag{19}$$

The ratios must be defined consistently; employment growth and population growth do not enter in the same way.

For observations at dates t and $t+T$, the average annual log growth rate is

$$\bar{g}_X = \frac{\log X_{t+T} - \log X_t}{T}, \qquad \frac{X_{t+T}}{X_t} = e^{T\bar{g}_X}. \tag{20}$$

The corresponding compound annual percentage change is $e^{\bar{g}_X} - 1$, approximately $\bar{g}_X$ for small rates. Unless stated otherwise, finite-period accounting below uses log changes, $\Delta \log X_t = \log X_t - \log X_{t-1}$.

[2] World Bank, "ICP 2021: Concepts and Definitions," explains PPP-based comparisons of expenditure volumes. `https://www.worldbank.org/en/brief/2021/04/30/icp2021-concepts-definitions`.

At a constant growth rate $g > 0$, doubling takes $T = \log 2/g$. A 2% annual log growth rate doubles output in about 35 years. A one-off 10% increase in output raises its level; it leaves subsequent growth unchanged if the economy then returns to its previous growth rate. A lasting increase in the growth rate keeps widening the gap relative to the previous path.

Facts that guide the models. Jones (2016) documents three useful patterns.[3]

- Sustained growth is a feature of modern economic history. US GDP per person grew at about 2% per year over 1870–2007, with substantial variation across shorter periods.
- Income levels differ widely across countries. Some economies catch up; others remain far behind or lose ground over particular periods.
- A roughly stable capital-output ratio is a useful long-run benchmark. Factor shares and growth rates can change, so balanced growth is an approximation to be assessed, rather than a universal empirical law.

A theory must distinguish growth at the frontier from movement toward it. Matching a long-run average also does not require every shock to be temporary.

2.1.3 What does convergence mean?

Consider a poorer economy i and a richer economy j, with per-person outputs y_i and y_j measured in comparable units. Their log income gap evolves as

$$D(t) \equiv \log y_j(t) - \log y_i(t), \tag{21}$$

$$\dot{D}(t) = g_{y_j}(t) - g_{y_i}(t), \tag{22}$$

$$D(T) - D(0) = \int_0^T \left[g_{y_j}(t) - g_{y_i}(t) \right] dt. \tag{23}$$

The relative gap narrows when the poorer economy grows faster over the interval. Positive growth in both economies is insufficient. Nor does a narrowing relative gap necessarily reduce the absolute difference $y_j - y_i$.

Unconditional convergence means poorer economies tend to grow faster without conditioning on other characteristics. *Conditional convergence* allows economies to approach different long-run paths: an economy further below its own path tends to grow faster, holding the determinants of that path fixed. Saving, population growth, and productivity may differ across economies. Diminishing returns to capital alone therefore do not imply that every poor country must catch up with every rich country.[4]

A tendency for initially poorer economies to grow faster is called β-convergence. A decline in the cross-country dispersion of log income is called σ-convergence. These are different statements: new shocks can increase dispersion even when growth tends to be faster at lower initial income. The sample and observation period are part of any convergence claim.

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[3] Charles I. Jones (2016), "The Facts of Economic Growth," *Handbook of Macroeconomics*, 2A, 3–69, especially Sections 1, 2, and 4. The empirical statements here describe that historical evidence, not a current data release. https://doi.org/10.1016/bs.hesmac.2016.03.002.

[4] Robert J. Barro, N. Gregory Mankiw, and Xavier Sala-i-Martin (1992), "Capital Mobility in Neoclassical Models of Growth," NBER Working Paper 4206, discusses convergence relative to each economy's steady state. https://doi.org/10.3386/w4206.

2.2 Capital, labor, and productivity

2.2.1 From a production function to growth accounting

Start with a one-good aggregate production function in continuous time:

$$Y(t) = B(t)F\big(K(t), H(t)\big), \qquad H(t) = h(t)L(t). \tag{24}$$

K is productive physical capital, L hours worked, and h average labor quality per hour. Thus H is quality-adjusted labor input. B is Hicks-neutral total factor productivity (TFP). It multiplies the whole production function; its growth need not equal the growth of labor-augmenting technology used in the Solow chapter.

Assume positive inputs, differentiable F, constant returns to scale, and no additional inputs. The total derivative is

$$\dot{Y} = \dot{B}F + BF_K\dot{K} + BF_H\dot{H}. \tag{25}$$

Divide by $Y = BF$ and multiply and divide each input term by its input level:

$$\frac{\dot{Y}}{Y} = \frac{\dot{B}}{B} + \frac{BF_K K}{Y}\frac{\dot{K}}{K} + \frac{BF_H H}{Y}\frac{\dot{H}}{H}, \tag{26}$$

$$g_Y = g_B + \varepsilon_K g_K + \varepsilon_H g_H, \quad \varepsilon_K \equiv \frac{BF_K K}{Y}, \quad \varepsilon_H \equiv \frac{BF_H H}{Y}. \tag{27}$$

The weights are output elasticities. Constant returns implies $F_K K + F_H H = F$, so $\varepsilon_K + \varepsilon_H = 1$.

To replace elasticities by observed income shares, we need further assumptions. With competitive factor markets and no wedges, let q be the real rental price of capital services and w_H the price of one unit of quality-adjusted labor. Profit maximization gives

$$q = BF_K, \qquad w_H = BF_H. \tag{28}$$

Consequently,

$$s_K \equiv \frac{qK}{Y} = \varepsilon_K, \qquad s_H \equiv \frac{w_H H}{Y} = \varepsilon_H = 1 - s_K. \tag{29}$$

Here q is a gross rental price before depreciation, not the net interest rate. Labor compensation is $w_H H$; with common quality h, the wage per hour is $w_H h$. In this benchmark all output is paid to these two inputs. Pure profits, markups, taxes, or omitted factors can break the equality between measured income shares and output elasticities.

Substitute the shares and use $g_H = g_h + g_L$:

$$\boxed{g_Y = g_B + s_K g_K + (1 - s_K)(g_h + g_L).} \tag{30}$$

This is an exact instantaneous decomposition under the stated production and pricing assumptions. It does not yet determine any input's growth rate.

2.2.2 Labor productivity and finite-period contributions

Subtract g_L from both sides of (30):

$$g_{Y/L} = g_B + s_K g_K + (1 - s_K)g_h - s_K g_L, \tag{31}$$

$$= g_B + s_K g_{K/L} + (1 - s_K)g_h. \tag{32}$$

Output per hour can rise through capital deepening, better labor quality, or higher TFP. Labor productivity Y/L and TFP B are therefore different objects. Combining this result with (19) also separates productivity growth from changes in work per person.

For annual data, a common implementation uses average adjacent-year income shares, $\bar{s}_{K,t} = (s_{K,t} + s_{K,t-1})/2$:

$$\Delta \log Y_t \approx \bar{s}_{K,t} \Delta \log K_t + (1 - \bar{s}_{K,t}) \Delta \log H_t + \Delta \log B_t, \tag{33}$$

$$\Delta \log B_t^{\text{res}} \equiv \Delta \log Y_t - \bar{s}_{K,t} \Delta \log K_t - (1 - \bar{s}_{K,t}) \Delta \log H_t. \tag{34}$$

The first line approximates the continuous-time decomposition over an interval. The second defines the measured residual exactly for the chosen series and weights. It need not equal a pure technology change. For Cobb–Douglas production with constant exponents, the corresponding log decomposition is exact over a finite interval.

An accounting example. Suppose annual log changes are 0.04 for output, 0.06 for capital, and 0.01 for quality-adjusted labor, with capital share $1/3$. Then

$$\Delta \log B^{\text{res}} = 0.04 - \frac{1}{3}(0.06) - \frac{2}{3}(0.01) = 0.013\overline{3}.$$

Capital contributes 2 percentage points, labor about 0.67, and the residual about 1.33, when log changes are multiplied by 100. These sum to 4. This is an illustration, not an estimate for a country. The calculation does not imply that raising investment would cause exactly 2 percentage points of growth.

2.2.3 What is inside the residual?

The measured residual depends on what the inputs capture. Capital services can change differently from the value of the capital stock. Hours need not track employment, and labor quality need not be constant. Unmeasured utilization, input quality, reallocation, and measurement error can all enter the residual.[5] For example, if true labor input is hL but the calculation uses only L, then (30) implies

$$g_B^{\text{res}} = g_Y - s_K g_K - (1 - s_K) g_L = g_B + (1 - s_K) g_h. \tag{35}$$

Omitted improvements in labor quality appear as TFP growth in that calculation. A change in the residual therefore calls for a mechanism and measurement checks before it is interpreted as innovation or technological regress.

2.3 From accounting to a growth model

2.3.1 Level accounting and joint determination

For a transparent benchmark, assume

$$Y = BK^{\alpha}(hL)^{1-\alpha}, \qquad 0 < \alpha < 1. \tag{36}$$

[5] OECD (2001), *Measuring Productivity: OECD Manual*, especially Chapters 2, 4, and 5, on interpretation, labor input, and capital services. https://doi.org/10.1787/9789264194519-en.

Divide by L and define $y \equiv Y/L$ and $k \equiv K/L$:

$$y = Bk^{\alpha}h^{1-\alpha}. \tag{37}$$

For two economies using the same α and comparable measurements,

$$\frac{y_i}{y_j} = \frac{B_i}{B_j}\left(\frac{k_i}{k_j}\right)^{\alpha}\left(\frac{h_i}{h_j}\right)^{1-\alpha}, \tag{38}$$

$$\log\frac{y_i}{y_j} = \log\frac{B_i}{B_j} + \alpha\log\frac{k_i}{k_j} + (1-\alpha)\log\frac{h_i}{h_j}. \tag{39}$$

This decomposes a level gap; it is distinct from accounting for growth over time. B_i/B_j is inferred after choosing the production function and measuring the inputs. The decomposition does not establish three independent causes.

Higher productivity can raise the return to investment and induce more capital accumulation. Its effects may then appear in both the productivity and capital terms. Similarly, education, saving, and technology adoption may respond to common policies or institutions. An accounting contribution records where output differences appear; a causal explanation specifies what changes first and how the other variables respond.

2.3.2 Connecting TFP to labor-augmenting technology

Chapter 4 writes technology as $Y = F(K, AL)$. To connect the two conventions, set $h = 1$ in (36) and use Cobb–Douglas production:

$$Y = BK^{\alpha}L^{1-\alpha}, \tag{40}$$

$$Y = K^{\alpha}(AL)^{1-\alpha} = A^{1-\alpha}K^{\alpha}L^{1-\alpha}. \tag{41}$$

The two representations describe the same technology when

$$B = A^{1-\alpha}, \qquad g_B = (1-\alpha)g_A. \tag{42}$$

This equivalence uses the Cobb–Douglas form and constant α; it is not a general conversion for every production function.

Suppose a balanced growth path has constant K/Y, constant $h = 1$, and labor growth n. A constant capital-output ratio implies $g_K = g_Y$. Substitution into (30), where $s_K = \alpha$, gives

$$g_Y = g_B + \alpha g_Y + (1-\alpha)n, \tag{43}$$

$$(1-\alpha)(g_Y - n) = g_B, \tag{44}$$

$$g_{Y/L} = \frac{g_B}{1-\alpha} = g_A. \tag{45}$$

Capital deepening accompanies growth on this path. It does not follow that capital accumulation supplies an independent permanent growth engine. We have only derived what the growth rates must satisfy *if* this path exists.

What a growth model must add. Growth accounting leaves saving, capital accumulation, labor supply, and productivity unexplained. Harrod and Domar ask how investment plans and demand can remain consistent with expanding capacity. Solow begins with a given saving rate and technology path. Ramsey makes saving an intertemporal choice; OLG changes who saves and when; endogenous growth models study the forces sustaining productivity or other reproducible inputs.

For Solow's closed one-good economy without government, feasibility and a constant saving rate s imply

$$Y = C + I, \qquad I = sY, \qquad \dot{K} = sY - \delta K. \tag{46}$$

Here I is gross investment and δ is the continuous-time depreciation rate. Together with production, population growth, and a technology path, these assumptions determine capital dynamics from an initial stock. Chapter 4 uses that system to study convergence, income levels, and sustained growth per person. First, Chapter 3 asks how investment creates demand and capacity, and what is required for a growth path to remain consistent with firms' plans and full employment.

3 Harrod–Domar: Investment and Growth

Investment is spending on current production and a source of future productive capacity. Once capacity changes, a demand level sufficient to employ resources today may be insufficient tomorrow. Harrod and Domar approach this moving problem from different directions. We develop their questions separately before connecting them to the fixed-proportions benchmark that Solow will change.

3.1 From a spending equilibrium to a growth problem

Start with a closed economy without government. At a given date, planned investment supports demand through the multiplier. But a machine purchased today can also produce goods later. Repeating the static spending calculation while keeping productive capacity unchanged would discard one of investment's two effects.

The next question is therefore about a path. How quickly must spending expand to use the capacity being created? And would firms' responses bring the economy toward that path if actual growth differed from what they expected? These are questions about consistency and adjustment, before they are questions about an optimal saving rate.

The exposition below uses continuous time, a constant saving propensity $s \in (0, 1)$, and no depreciation initially. Thus gross and net investment coincide, $\dot{K} = I$. Prices are held fixed for the demand calculation. The notation and the explicit adjustment example are teaching devices, not a reconstruction of either author's private sequence of thought.

01 Common accounting

Output is consumed or invested. Realized saving and investment are equal:

$$Y = C + I, \qquad S = sY = I.$$

02 Domar's question

Investment supports demand and adds capacity. What path keeps the two consistent?

$$Y^d = I/s, \qquad \dot{Q} = \kappa I.$$

03 Harrod's question

Desired investment responds to expected expansion. What growth rate validates firms' plans?

$$I^d = v_r \dot{Y}^e.$$

04 Two distinct tests

Does actual growth return to the warranted rate? Can warranted growth persist at full employment?

$$g_a \text{ vs. } g_w, \qquad g_w \text{ vs. } g_n.$$

The two closures in the map are studied in turn. They are not imposed together as a complete off-equilibrium model. In particular, realized investment I and desired investment I^d need not coincide when expectations are disappointed.

3.2 Domar: demand must keep up with capacity

3.2.1 A flow affects demand; its accumulation affects capacity

Let $Q(t)$ be productive capacity, measured as a flow of potential real output. Let $\kappa > 0$ be the increase in capacity generated by a unit of investment. Domar's central distinction is between the demand and capacity effects of investment.[6] The supply-side relation is

$$\dot{Q}(t) = \kappa I(t). \tag{47}$$

κ measures added productive capacity, not the financial return earned by an investor. With positive investment and constant κ, capacity expands even when investment itself is not growing.

For the demand side, write desired consumption as $C^d = (1 - s)Y^d$ and treat investment as the autonomous expenditure at that date. The multiplier gives

$$Y^d = (1 - s)Y^d + I, \tag{48}$$

$$sY^d = I, \qquad Y^d = \frac{I}{s}, \tag{49}$$

$$\dot{Y}^d = \frac{\dot{I}}{s}. \tag{50}$$

This determines demand-supported output at fixed prices when capacity is sufficient. It does not guarantee that output above Q can be produced.

The distinction between I and $\dot{I}$ is crucial. The *level* of investment adds capacity; an *increase* in investment raises the multiplier-supported level of demand. Keeping investment at a high but constant level can therefore leave demand unchanged while capacity keeps rising.

3.2.2 Deriving the required investment path

Suppose demand initially matches capacity: $Y^d(0) = Q(0)$. To preserve that equality, their changes must also match:

$$\dot{Y}^d = \dot{Q}, \tag{51}$$

$$\frac{\dot{I}}{s} = \kappa I, \tag{52}$$

$$\frac{\dot{I}}{I} = s\kappa \equiv g_D. \tag{53}$$

For positive $I(0)$, this differential equation has the solution

$$I(t) = I(0)e^{g_D t}, \qquad Y^d(t) = \frac{I(0)}{s}e^{g_D t}. \tag{54}$$

Integrating the capacity equation gives

$$Q(t) = Q(0) + \frac{I(0)}{s}\left(e^{g_D t} - 1\right). \tag{55}$$

[6] Evsey D. Domar (1946), "Capital Expansion, Rate of Growth, and Employment," *Econometrica*, 14(2), 137–147, especially pp. 139–141. https://doi.org/10.2307/1905364. We write s for the saving propensity and κ for the capacity effect, rather than using his original symbols.

The initial condition $Q(0) = I(0)/s$ makes $Q(t) = Y^d(t)$ at every date. Matching the derivatives alone would preserve an initial level gap, not remove it.

A numerical example. Measure output and investment flows in units per year. Let $s = 0.2$, $\kappa = 0.25$ per year, and $I(0) = 20$. Initially,

$$Y^d(0) = 100, \qquad \dot{Q}(0) = 0.25 \times 20 = 5, \qquad \dot{I}(0) = 0.2 \times 5 = 1.$$

The derivatives measure changes in those annual flows per year. Investment must initially grow at $1/20 = 5\%$ per year to raise demand at the same rate as capacity. These numbers illustrate the equations; they are not estimates.

If investment instead stays at $\bar{I} > 0$, with $Q(0) = \bar{I}/s$, then

$$Y^d(t) = \frac{\bar{I}}{s}, \qquad Q(t) = \frac{\bar{I}}{s} + \kappa \bar{I} t, \qquad \frac{Y^d(t)}{Q(t)} = \frac{1}{1 + s\kappa t}. \tag{56}$$

Utilization falls even though positive investment continues. A construction expansion can support current spending while creating capacity that needs future demand. Whether a particular investment program faces this problem depends on its capacity effect and the demand it generates; the equations do not establish that every program creates excess capacity.

Conversely, if demand tries to grow faster than capacity from a fully utilized position, the multiplier calculation runs into a supply constraint. Prices, imports, or other adjustments would require mechanisms absent here. We have derived a path that keeps demand and capacity consistent, not a rule ensuring that private investment follows it or a complete theory of unemployment.

3.3 Harrod: which growth rate validates investment plans?

3.3.1 Actual and warranted growth

Suppose firms add capacity when they expect sales to expand. Saving responds to the level of income, while desired investment responds to its expected increase. Harrod's warranted rate describes growth that validates the resulting investment plans; his natural rate addresses the scope for sustained growth at full employment.[7]

First distinguish an accounting relation from a behavioral condition. Define actual growth and, for $\dot{Y} > 0$, an actual incremental capital-output ratio:

$$g_a \equiv \frac{\dot{Y}}{Y}, \qquad v_a \equiv \frac{I}{\dot{Y}}. \tag{57}$$

Because realized saving equals realized investment,

$$g_a v_a = \frac{\dot{Y}}{Y}\frac{I}{\dot{Y}} = \frac{I}{Y} = s. \tag{58}$$

[7] R. F. Harrod (1939), "An Essay in Dynamic Theory," *Economic Journal*, 49(193), 14–33. https://doi.org/10.2307/2225181. We distinguish his actual and required incremental capital coefficients using v_a and v_r, and express the argument in continuous-time notation.

This identity does not determine g_a: v_a changes with the realized outcome. It is also an incremental ratio, not automatically the stock ratio K/Y.

Now let $v_r > 0$ be the addition to capital that firms regard as required per unit of additional output at normal utilization. A simple investment rule is

$$I^d = v_r \dot{Y}^e, \tag{59}$$

where $\dot{Y}^e$ denotes the expected increase in output. On a path that validates expectations, $\dot{Y}^e = \dot{Y}$ and planned investment equals saving:

$$v_r \dot{Y} = sY, \tag{60}$$

$$g_w \equiv \frac{s}{v_r}. \tag{61}$$

g_w is the warranted growth rate. At this rate, firms' capital additions are consistent with the realized expansion in sales. Warranted does not mean socially optimal, forecast with certainty, or necessarily equal to actual growth.

3.3.2 Why a deviation can amplify

Compare positive actual growth near g_w, holding s and v_r fixed. When $g_a > g_w$, (58) gives

$$v_a = \frac{s}{g_a} < \frac{s}{g_w} = v_r. \tag{62}$$

Capital additions have been small relative to the growth of sales. If firms interpret this as a shortage of capacity or inventories, they may increase planned investment. That spending raises demand and can reinforce the expansion. When $g_a < g_w$, the corresponding $v_a > v_r$ can leave firms with excess capacity or unwanted inventories; cutting investment then weakens demand further.

The sign of this response is a behavioral assumption, not a consequence of $S = I$. Realized investment can include unplanned inventory accumulation; accounting equality does not make all investment plans mutually consistent. Imposing $I^d = I = sY = v_r \dot{Y}$ at every date would force $g_a = g_w$ and leave no off-path adjustment to analyze.

For an explicit *illustrative local* adjustment, set $x(t) = g_a(t) - g_w$ and assume

$$\dot{x} = \chi x, \qquad \chi > 0 \quad \Longrightarrow \quad x(t) = x(0)e^{\chi t}. \tag{63}$$

This formalizes the amplifying response just described. It is not Harrod's original equation or a global account of the business cycle. Expectations, financing, utilization, and investment lags could change the adjustment rule. The identity and warranted-rate condition alone establish neither stability nor instability.

3.3.3 Natural growth and the employment constraint

Let L be the available labor force, growing at n. In a simplified representation, labor productivity at normal operation, A_L, grows at γ. Sustainable output with full employment then grows at

$$Y^N = A_L L, \qquad g_n = n + \gamma. \tag{64}$$

This is a modern shorthand for the full-employment growth constraint, holding labor-supply and productivity paths fixed. It is not a limit on every observed year's GDP growth: an economy can temporarily grow faster by bringing idle workers into employment.

To see the distinction, assume employed workers E produce $Y = A_L E$. The employment rate $e = E/L$ then satisfies

$$e = \frac{Y}{A_L L}, \qquad \frac{\dot{e}}{e} = g_a - g_n. \tag{65}$$

If warranted growth persistently exceeds natural growth, following the warranted path would eventually require $e > 1$; the path cannot continue under these labor and productivity assumptions. If warranted growth is below natural growth, output can follow it while employment fails to keep pace with the labor force. A path satisfying investment plans need not maintain full employment.

Two different questions. The comparison g_a versus g_w concerns adjustment after investment plans are disappointed. The comparison g_w versus g_n concerns whether a warranted path can persist with full employment. Their equality does not follow from accounting, and their difference is not, by itself, a complete instability proof.

3.4 Fixed proportions, compatibility, and the route to Solow

A common benchmark collects part of these concerns into a fixed-proportions production function:

$$Y = \min\left\{\frac{K}{v}, \frac{AL}{a}\right\}, \qquad v, a > 0, \qquad \frac{\dot{A}}{A} = \gamma. \tag{66}$$

Full use of both inputs requires $K = vY$ and $AL = aY$. Restore depreciation $\delta \geq 0$ and now interpret $I = sY$ as *gross* investment. Differentiating $K = vY$ and substituting accumulation gives

$$v\dot{Y} = \dot{K} = sY - \delta K = (s - \delta v)Y, \tag{67}$$

$$\frac{\dot{Y}}{Y} = \frac{s}{v} - \delta. \tag{68}$$

The effective-labor requirement also implies $\dot{Y}/Y = n + \gamma$. Hence

$$\frac{s}{v} - \delta = n + \gamma. \tag{69}$$

There is no mechanism here that makes independently specified parameters satisfy this equality. With zero depreciation and compatible investment coefficients, this combines the warranted and natural rates into $g_w = g_n$. It is a useful consistency benchmark, not a complete reproduction of both original papers.

In Domar's simplest constant-productivity case, identifying capacity as $Q = K/v$ gives $\kappa = 1/v$, and the required rate becomes $s\kappa = s/v$. The matching expression does not erase the difference in questions: Domar compares demand creation with capacity creation; Harrod also asks how firms respond when actual growth fails to validate investment plans.

The same algebra $g = s/v$ can even appear in an AK model that assumes all output is supplied and absorbed. Its presence alone therefore says little about employment or stability. The conclusions depend on which decisions and adjustment mechanisms accompany it.

Solow's response is to let factor proportions change, so the capital-output ratio can adjust rather than remain a fixed recipe. We follow that experiment in Chapter 4. Maintaining full employment there permits a clear study of capital adjustment; it does not resolve demand failures by assumption alone. The present chapter leaves investment behavior and expectations largely specified from outside. Ramsey will later replace the fixed saving rule with an intertemporal household choice.

4 Solow Model

Chapter 3 separated the consistency of a growth path from the behavior that might support or destabilize it. Solow changes one part of the experiment: firms can vary capital intensity. We ask how this permits capital adjustment, while maintaining full employment and a given saving rule.

4.1 From the growth question to the model

4.1.1 What if production can adjust?

The fixed-proportions benchmark in (69) requires $s/v - \delta = n + \gamma$. Its parameters need not satisfy that equality. Before concluding that sustained full employment requires a coincidence, ask what made v fixed. We described production as a single recipe: additional machines could not economize on workers, and additional workers could not use a less capital-intensive technique.

Solow's 1956 paper made this restriction central to its response to the Harrod–Domar framework. His later account also questioned treating saving, labor-force growth, and the capital-output ratio as independently given constants.[8] This addresses the production-side compatibility problem. Harrod's investment responses and Domar's demand problem remain distinct questions, as the previous chapter showed.

4.1.2 Choose one adjustment mechanism

Several responses are possible. Saving might adjust; labor supply or employment might change; firms might use different factor proportions. Each response would produce a different model. To isolate the last one, keep a simple saving rule and an exogenous labor supply, maintain full employment, and allow substitution in production. The sequence here reconstructs the published argument as a modeling exercise, not the author's private thought process.

Start without technical change and replace the fixed recipe by $Y = F(K, L)$. More machines per worker can raise output, while diminishing returns reduce output per unit of capital. In

$$\frac{\dot{K}}{K} = s\frac{Y}{K} - \delta, \tag{70}$$

Y/K can now fall as capital accumulates. Capital growth can slow toward labor-force growth without a change in s or n. This is a candidate adjustment mechanism; the properties of F and the dynamics below must still establish whether it works. Maintaining full employment makes that experiment possible, rather than proving that actual economies always achieve it.

4.1.3 Close the system and choose a useful intensity

Choosing a flexible F is not enough. In $\dot{K} = sF(K, L) - \delta K$, both K and L could vary. To study capital adjustment first, specify $L(t) = L_0 e^{nt}$ and give $K(0)$. This leaves one inherited stock to solve for. An alternative with wage-sensitive labor supply would require another decision rule; it is a possible extension, not an algebraic rearrangement.

[8] Robert M. Solow (1956), "A Contribution to the Theory of Economic Growth," *Quarterly Journal of Economics*, 70(1), 65–94, Sections I–III, `https://doi.org/10.2307/1884513`; and Solow (1987), "Growth Theory and After," Nobel lecture, `https://www.nobelprize.org/prizes/economic-sciences/1987/solow/lecture/`.

Next, a large economy has more capital partly because it has more workers. The relevant object for this question is K/L. Constant returns allows $Y/L = F(K/L, 1)$, reducing the accumulation problem to a single capital intensity. The ratio removes scale while preserving the mechanism we want to study.

Finally, if labor efficiency rises, even constant equipment per worker may fail to keep up with productive opportunities. Introduce labor-augmenting technology A and use $K/(AL)$ instead. We can distinguish accumulating capital relative to effective labor from growth in output per worker. We take A as given here; explaining innovation would add a different question.

The assumptions below collect these choices: a resource constraint, a production experiment, a saving rule, exogenous labor and technology paths, and a normalization. The full-employment assumption removes demand failures from the dynamics being studied; the resulting convergence claim must be read within that experiment.

4.2 Economic environment and assumptions

The conditions are grouped by their economic role. The cards give the full specification; the following paragraphs explain the notation and implications.

01 Economy and sectors

A closed economy contains households and firms, with no government or foreign trade. One good can be consumed or invested. Goods-market clearing requires $Y_t = C_t + I_t$; in this two-sector economy, aggregate saving equals investment.

02 Households and the saving rule

There are many homogeneous households. They own capital and firms, receive factor incomes and any distributed profits, and supply labor inelastically. Each worker supplies one unit of labor. Consumption and saving follow an imposed rule rather than an intertemporal utility-maximization problem:

$$S_t = sY_t, \qquad C_t = (1 - s)Y_t, \qquad I_t = S_t.$$

The rule permits $s \in [0, 1]$. The positive-capital, positive-consumption benchmark below uses $0 < s < 1$; the endpoints are separate limiting cases.

03 Firms and competitive markets

There are many price-taking firms using the same production technology. They hire labor and rent capital in competitive factor markets. A representative firm's problem is

$$\max_{K,L} \; F(K, A_t L) - q_t K - w_t L.$$

Common technology and constant returns allow aggregation into the production function below. Household saving is imposed; firms still maximize profits. Homogeneity, competition, and optimization are distinct assumptions.

04 Endowments, ownership, and depreciation

Initial stocks K_0, A_0, L_0 are given and positive. Households provide labor at wage w_t and rent their capital to firms at rental price q_t. Depreciation removes a fraction δ per discrete period, with $0 \le \delta \le 1$; investment is usable next period:

$$K_{t+1} = (1-\delta)K_t + I_t.$$

In continuous time, $\dot{K} = I - \delta K$ and the net capital return is $r = q - \delta$. The original course notation R for the rental price corresponds to q here. With a common saving share applied to all income and no household-specific constraints, the distribution of ownership does not change aggregate saving; its distributional consequences are outside this model.

05 Technology and exogenous paths

Technology is freely and publicly available to all firms. There are no adoption costs, patents, or research choices in the benchmark. Labor and labor efficiency grow exogenously:

$$A_{t+1} = (1+g)A_t, \qquad L_{t+1} = (1+n)L_t, \qquad g, n \ge 0.$$

The corresponding continuous-time paths satisfy $\dot{A}/A = g$ and $\dot{L}/L = n$; rates in the two time conventions need not be numerically identical. The interior steady-state analysis assumes $\delta + n + g > 0$.

06 Production and its restrictions

Technology is labor-augmenting (Harrod-neutral): $Y_t = F(K_t, A_t L_t)$. F is continuous, twice differentiable for positive inputs, positive there, and has positive, diminishing marginal products of each input. It has constant returns to capital and effective labor:

$$F(\lambda K, \lambda AL) = \lambda F(K, AL), \qquad \lambda > 0.$$

Write $f(k) = F(k, 1)$. The intensive-form restrictions used below are

$$f(0) = 0, \qquad f'(k) > 0, \qquad f''(k) < 0 \quad (k > 0),$$
$$\lim_{k \downarrow 0} f'(k) = \infty, \qquad \lim_{k \to \infty} f'(k) = 0.$$

The last two are Inada restrictions on marginal products. They are sufficient benchmark assumptions, rather than consequences of competition.

07 Market clearing and factor incomes

All supplied labor and capital are employed. With bars denoting supplied endowments and superscripts denoting supply and demand,

$$L_t^d = L_t^s = \bar{L}_t, \qquad K_t^d = K_t^s = \bar{K}_t.$$

Competitive prices equal marginal products, so constant returns implies

$$q_t = F_1(K_t, A_t L_t), \qquad w_t = A_t F_2(K_t, A_t L_t), \qquad Y_t = q_t K_t + w_t L_t.$$

Firms are owned by households. Their economic profits are zero after paying both factors; the owners still receive capital rental income.

08 Normalization and the closed system

Use quantities per effective worker:

$$k_t = \frac{K_t}{A_t L_t}, \qquad y_t = \frac{Y_t}{A_t L_t} = f(k_t), \qquad c_t = \frac{C_t}{A_t L_t} = (1-s) f(k_t).$$

Given initial stocks and the paths of A_t, L_t, the three main equations are

$$Y_t = F(K_t, A_t L_t), \qquad I_t = S_t = s Y_t, \qquad K_{t+1} = (1-\delta) K_t + I_t.$$

The resource constraint, full employment, and competitive factor prices make this a closed aggregate system. They are maintained assumptions of the experiment, not conclusions about demand adjustment in actual economies.

$$\underbrace{K_t, A_t, L_t}_{\text{Given at } t} \longrightarrow \underbrace{Y_t \to C_t, I_t}_{\text{Production and allocation}} \longrightarrow \underbrace{K_{t+1}}_{\text{Available at } t+1}.$$

4.2.1 Resources, timing, and behavior

The economy is closed, has no government, and produces one good. Households own capital and supply labor inelastically. Each worker supplies one unit of labor; changes in hours, participation, and employment rates are omitted. Firms hire labor and rent capital in competitive markets.

In discrete time, K_t is available at the start of period t. Given K_t, A_t, and L_t, firms produce Y_t. Households consume part of output and save the fraction $s \in (0,1)$. Investment becomes available next period:

$$Y_t = C_t + I_t, \qquad I_t = S_t = s Y_t, \tag{71}$$

$$K_{t+1} = (1-\delta) K_t + s Y_t, \qquad 0 \le \delta \le 1. \tag{72}$$

The saving rule is imposed. Firms still maximize profits; the absence of a household optimization problem does not imply that firms are non-optimizing.

Technology and labor follow

$$A_{t+1} = (1+g) A_t, \qquad L_{t+1} = (1+n) L_t, \qquad g, n \ge 0. \tag{73}$$

Initial K_0, A_0, L_0 are positive. We assume $\delta + n + g > 0$ to obtain a finite positive steady state below. Technology is labor-augmenting: an increase in A makes a worker provide more effective labor. Its availability and growth are given, rather than explained by research or adoption decisions.

4.2.2 Production and normalization

Let

$$Y_t = F(K_t, A_t L_t). \tag{74}$$

F has constant returns in capital and effective labor:

$$F(\lambda K, \lambda AL) = \lambda F(K, AL), \qquad \lambda > 0. \tag{75}$$

Replicating all inputs replicates output. This rules out a fixed factor, such as land, that becomes scarcer as the economy expands. It also rules out aggregate increasing returns in these two inputs.

One motivation for constant returns is to treat any gains from organizing production at a larger scale as already exhausted at the scale being modeled. Another is to abstract from scarce inputs other than capital and effective labor. These are ways to motivate the assumption, not proofs that it holds.

Divide by effective labor and define

$$k_t \equiv \frac{K_t}{A_t L_t}, \qquad y_t \equiv \frac{Y_t}{A_t L_t} = F(k_t, 1) \equiv f(k_t), \qquad c_t \equiv \frac{C_t}{A_t L_t} = (1 - s) f(k_t). \tag{76}$$

Here lower-case variables are *per effective worker*. Output per worker is $Y_t/L_t = A_t y_t$, and capital per worker is $K_t/L_t = A_t k_t$. This differs from the per-hour normalization used for level accounting in Chapter 2. With $A_t = 1$, the two capital normalizations coincide.

Labor-augmenting technology also makes a balanced growth path convenient to describe. If k settles at a positive constant, then $K/Y = k/f(k)$ is constant. The functional form alone does not make that ratio constant during a transition. Hicks-neutral technology instead takes the form $Y = A_H F(K, L)$. It is a different placement of productivity; with Cobb–Douglas, $A_H = A^{1-\alpha}$ converts between the two representations. The exogenous growth rate must be converted as well.

Assume $f(0) = 0$ and, for $k > 0$,

$$f'(k) > 0, \qquad f''(k) < 0, \qquad \lim_{k \downarrow 0} f'(k) = \infty, \qquad \lim_{k \to \infty} f'(k) = 0. \tag{77}$$

The last two are the Inada conditions on *marginal products*, not output levels. With the other assumptions, they make capital sufficiently productive near zero and insufficiently productive at very high intensity to guarantee an interior crossing of investment and replacement needs. They are sufficient benchmark restrictions, not empirical laws for every technology.

Our running example is Cobb–Douglas:

$$F(K, AL) = K^{\alpha}(AL)^{1-\alpha}, \qquad f(k) = k^{\alpha}, \qquad 0 < \alpha < 1. \tag{78}$$

Diminishing returns here means adding machines to a fixed amount of effective labor produces progressively smaller additions to output. It does not mean that output falls when capital rises.

Cobb–Douglas is a convenient specification satisfying these restrictions; it is not deduced uniquely from economic behavior. Its constant factor shares are an additional restriction. Likewise, Inada conditions and an exogenous technology path delimit the experiment: the former restrict behavior at extreme capital intensities, while the latter leaves innovation unexplained. Relaxing either calls for a new argument about the resulting dynamics.

4.2.3 Prices and market clearing

At each date, let q_t be the real rental price of capital and w_t the wage per worker. A price-taking firm solves

$$\max_{K,L} \; F(K, A_t L) - q_t K - w_t L. \tag{79}$$

At an interior solution, denoting derivatives with respect to the two arguments of F by F_1, F_2,

$$q_t = F_1(K_t, A_t L_t), \qquad w_t = A_t F_2(K_t, A_t L_t). \tag{80}$$

Constant returns and Euler's theorem for homogeneous functions give

$$Y_t = F_1 K_t + F_2 A_t L_t = q_t K_t + w_t L_t. \tag{81}$$

Economic profits are zero after paying both factors, including capital owned by households. This is a property of this competitive constant-returns benchmark, not a claim that owners receive no capital income.

For Cobb–Douglas, $q_t = \alpha k_t^{\alpha-1}$ and $w_t = (1-\alpha) A_t k_t^{\alpha}$. Capital deepening lowers the rental return and raises the wage per effective worker. Prices support full use of the supplied capital and labor. Goods-market clearing and the saving rule then determine investment. Given the initial stocks and exogenous paths, the model is closed.

The mechanism in one loop. Capital and effective labor determine output; the saving rule turns some output into investment; investment and depreciation determine next period's capital. Factor prices describe the returns along this path. The saving rate does not respond to those returns until we change the household side of the model.

4.3 Solow model in discrete time

4.3.1 Deriving the law of motion

Define $D \equiv (1+n)(1+g)$, the gross growth factor of effective labor. Divide (72) by $A_{t+1} L_{t+1}$:

$$k_{t+1} = \frac{(1-\delta) K_t + s Y_t}{A_{t+1} L_{t+1}}, \tag{82}$$

$$= \frac{(1-\delta) K_t / (A_t L_t) + s Y_t / (A_t L_t)}{D}, \tag{83}$$

$$= \frac{(1-\delta) k_t + s f(k_t)}{D} \equiv \Phi(k_t). \tag{84}$$

The numerator adds surviving capital and investment per current effective worker. The denominator spreads it across next period's effective labor. New workers need equipment, and increasing labor efficiency requires more equipment per worker to keep k constant.

Subtract k_t and define $d_D \equiv D - 1 + \delta$:

$$k_{t+1} - k_t = \frac{s f(k_t) - d_D k_t}{D}, \qquad d_D = \delta + n + g + ng. \tag{85}$$

Break-even investment $d_D k_t$ keeps capital per effective worker unchanged. The ng term is part of the exact discrete-time expression; dropping it is a small-rate approximation. Setting $g = 0$ gives $d_D = \delta + n$; setting $g = n = 0$ gives $d_D = \delta$.

Reading the per-worker version. Let $\bar{k}_t = K_t/L_t$. Dividing the aggregate accumulation equation by L_{t+1} instead gives the exact law

$$\bar{k}_{t+1} = \frac{(1-\delta)\bar{k}_t + sF(\bar{k}_t, A_t)}{1+n}.$$

There is no $1+g$ in this denominator: technology remains inside production. With constant $A_t = \bar{A}$, define $\bar{f}(\bar{k}) = F(\bar{k}, \bar{A})$. The map is then stationary; setting $n = 0$ also removes the population-growth denominator. These are valid restricted cases. When technology grows, a stationary map in $k = K/(AL)$ requires the effective-labor normalization above.

4.3.2 A steady state and the path toward it

A positive normalized steady state satisfies

$$k^* = \Phi(k^*), \qquad sf(k^*) = d_D k^*, \qquad \frac{K}{Y} = \frac{k^*}{f(k^*)} = \frac{s}{d_D}. \tag{86}$$

A stable capital-output ratio is a conclusion *on this path*, not something that follows from labor-augmenting notation alone.

For existence and uniqueness, divide the middle equation by $k^* > 0$. Strict concavity and $f(0) = 0$ imply $f'(k) < f(k)/k$, so

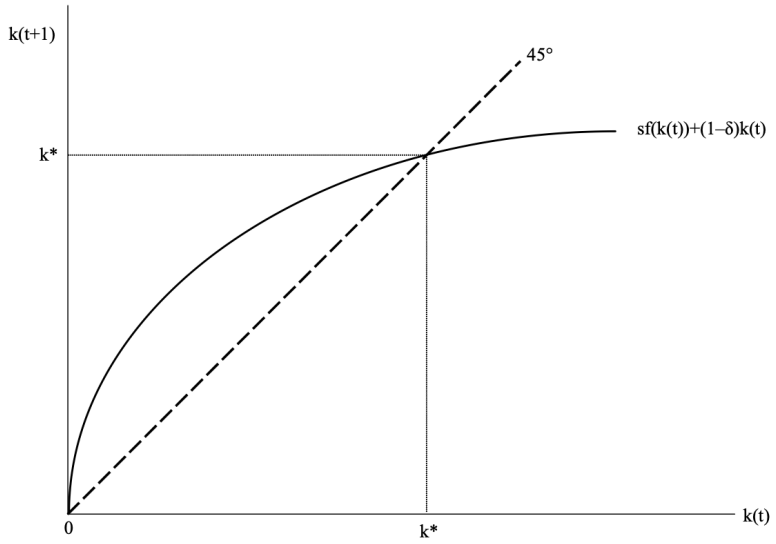
$$\frac{d}{dk}\frac{f(k)}{k} = \frac{kf'(k) - f(k)}{k^2} < 0. \tag{87}$$

The Inada conditions imply $f(k)/k$ falls from infinity to zero. Hence $sf(k)/k = d_D > 0$ has exactly one positive solution. Zero is also an absorbing boundary under $f(0) = 0$; our convergence result starts from $k_0 > 0$.

Below k^*, saving exceeds break-even investment and k rises. Above k^*, saving is insufficient to maintain that intensity and k falls. Moreover,

$$\Phi'(k) = \frac{1 - \delta + sf'(k)}{D} > 0. \tag{88}$$

Since Φ is increasing and $\Phi(k^*) = k^*$, an initial $k < k^*$ maps below k^*, while an initial $k > k^*$ maps above it. The sequence is therefore monotone and bounded toward k^*, and continuity makes its limit a fixed point. The unique positive fixed point is the limit for every $k_0 > 0$.



Reading the diagram. This diagram shows the special case $n = g = 0$, with $\delta > 0$. The curved map is next period's capital; the 45-degree line is unchanged capital. Starting on the horizontal axis, move vertically to the map, then horizontally to the 45-degree line to carry that value into the next iteration. For $n > 0$ or $g > 0$, divide the map by D as in (84).

A steady state is one particular equilibrium path. A transition from an arbitrary initial stock is also an equilibrium path under the imposed saving rule. Convergence does not make the transition cease to be an equilibrium.

4.3.3 What grows on a balanced growth path?

If $k_t = k^*$, then $y_t = f(k^*)$ and $c_t = (1 - s)f(k^*)$ are constant. Yet

$$\frac{Y_t}{L_t} = A_t f(k^*), \qquad \frac{K_t}{L_t} = A_t k^*, \qquad Y_t = A_t L_t f(k^*). \tag{89}$$

Output and capital per worker grow at gross rate $1 + g$; their aggregates grow at D. With no technical progress, there is no sustained growth per worker on this path, even if the population and total output keep growing.

For Cobb–Douglas, solve $s(k^*)^\alpha = d_D k^*$:

$$k^* = \left(\frac{s}{d_D}\right)^{1/(1-\alpha)}, \qquad y^* = \left(\frac{s}{d_D}\right)^{\alpha/(1-\alpha)}. \tag{90}$$

A higher saving rate raises the long-run level of output per effective worker. Holding the technology path fixed, it does not change the long-run growth rate of output per worker. Its steady-state level elasticity is

$$\frac{\partial \log y^*}{\partial \log s} = \frac{\alpha}{1 - \alpha}. \tag{91}$$

This comparison holds other determinants fixed. It is not a causal estimate from a cross-country correlation between saving and income.

4.3.4 Saving, rebuilding, and conditional convergence

Suppose an economy starts on its old balanced growth path and permanently raises s. At the time of the change, K, A, and L are inherited, so output is unchanged and consumption falls. Higher investment raises future K; output per worker then grows faster during the transition. As diminishing returns reduce the extra investment generated by another unit of capital, k approaches its new, higher steady state. Long-run growth per worker returns to g.

This explains why an investment expansion can have a lasting level effect without a lasting growth-rate effect. It does not establish that any observed investment campaign will be productive: the one-good benchmark abstracts from project selection, idle capacity, financing, and heterogeneous returns.

A one-time loss of physical capital, with technology, labor, and saving behavior unchanged, lowers k. The high marginal product at the lower stock supports rebuilding toward the same path. Actual disasters can also destroy skills, institutions, and technology, so this experiment isolates a capital-loss mechanism rather than predicting every recovery.

The convergence result is conditional on the determinants of k^* and the technology path. A low-income economy with a low saving rate or low productivity need not grow faster than a richer economy already close to a higher path. Income alone does not tell us distance from the relevant steady state.

4.3.5 Local convergence speed

Let $x_t = k_t - k^*$. A first-order Taylor expansion at k^* gives

$$k_{t+1} = \Phi(k^*) + \Phi'(k^*)x_t + O(x_t^2), \tag{92}$$

$$x_{t+1} \approx \phi x_t, \qquad \phi \equiv \frac{1 - \delta + sf'(k^*)}{D}. \tag{93}$$

Because $sf'(k^*) < sf(k^*)/k^* = d_D$, we have $0 < \phi < 1$. Iterating the linearized system yields

$$x_t \approx \phi^t x_0, \qquad \lambda_D = -\log\phi > 0, \qquad T_{1/2} \approx \frac{\log 2}{\lambda_D}. \tag{94}$$

ϕ is persistence; a larger ϕ means slower adjustment. λ_D is the corresponding decay rate per period, and $T_{1/2}$ is the local half-life of a deviation. The recursion for the linearized system has an exact geometric solution; the approximation is in using that system to describe the original model. The nonlinear path need not have this half-life far from its steady state.

For Cobb–Douglas, $sf'(k^*) = \alpha d_D$, so

$$\phi = 1 - \frac{(1-\alpha)d_D}{D}. \tag{95}$$

Adjustment is gradual because productive capacity is a stock. Investment can change immediately, but only accumulated investment changes that stock.

4.4 Solow model in continuous time

4.4.1 The same mechanism with continuous adjustment

Now use continuous rates $\dot{L}/L = n$, $\dot{A}/A = g$, and depreciation rate $\delta \geq 0$, with $b \equiv n + g + \delta > 0$. These are rates per unit of time; they are not numerically identical to finite-period percentage changes. Write

$$\dot{K} = sF(K, AL) - \delta K, \qquad k = \frac{K}{AL}, \qquad y = f(k). \tag{96}$$

Log differentiation of the definition of k, followed by substitution, gives

$$\frac{\dot{k}}{k} = \frac{\dot{K}}{K} - \frac{\dot{A}}{A} - \frac{\dot{L}}{L}, \tag{97}$$

$$= \frac{sY}{K} - \delta - g - n, \tag{98}$$

$$\dot{k} = s\frac{Y}{AL} - (n + g + \delta)k = sf(k) - bk \equiv G(k). \tag{99}$$

With $g = 0$ and $A = 1$, this becomes $\dot{k} = sf(k) - (n + \delta)k$. That familiar constant-technology equation is an exact special case.

New investment increases capital intensity; depreciation, population growth, and technical progress reduce it for a given aggregate stock. Technical progress still raises productive possibilities: it reduces k here because each worker now represents more effective labor.

For a short time interval Δt, effective labor grows by approximately $1 + (n + g)\Delta t$ and depreciation is approximately $\delta \Delta t$. Applying the discrete accounting over that interval gives

$$k(t + \Delta t) - k(t) = [sf(k(t)) - bk(t)]\,\Delta t + o(\Delta t). \tag{100}$$

Divide by Δt and take its limit to obtain (99). This explains why the continuous break-even rate is b, whereas the exact discrete expression contains the product ng.

The positive steady state satisfies $sf(k^*) = bk^*$; $G(k) > 0$ below it and $G(k) < 0$ above it. On the balanced growth path, Y/L and K/L grow at g, Y and K grow at $n + g$, and $K/Y = s/b$. Under competitive pricing the net instantaneous real return is $r = f'(k) - \delta$.

4.4.2 Local approximation and an exact Cobb–Douglas solution

Linearizing the law of motion around its steady state gives

$$\dot{k} \approx G'(k^*)(k - k^*), \tag{101}$$

$$G'(k^*) = sf'(k^*) - b < 0, \tag{102}$$

$$k(t) - k^* \approx [k(0) - k^*]e^{-\lambda_C t}, \qquad \lambda_C \equiv b - sf'(k^*) > 0. \tag{103}$$

The exponential expression solves the *linearized* system. It is generally only a local approximation to the original nonlinear equation. For Cobb–Douglas, $\lambda_C = (1 - \alpha)b$ and the local half-life is $\log 2/[(1 - \alpha)b]$.

Cobb–Douglas also permits an exact solution using a different variable. Set $z(t) = k(t)^{1-\alpha}$ and differentiate:

$$\dot{z} = (1 - \alpha)k^{-\alpha}\dot{k}, \tag{104}$$

$$= (1 - \alpha)k^{-\alpha}(sk^{\alpha} - bk) = (1 - \alpha)(s - bz). \tag{105}$$

This is a linear equation in z, with steady state $z^* = s/b$. Its solution and the implied capital path are

$$z(t) = \frac{s}{b} + \left[z(0) - \frac{s}{b}\right] e^{-(1-\alpha)bt}, \tag{106}$$

$$k(t) = \left\{\frac{s}{b} + \left[k(0)^{1-\alpha} - \frac{s}{b}\right] e^{-(1-\alpha)bt}\right\}^{1/(1-\alpha)}. \tag{107}$$

Capital approaches its steady state without arriving there at a finite date unless it starts there. "Time to convergence" must therefore specify a tolerance or a half-life, rather than an exact date of arrival.

4.5 The Golden Rule and the cost of saving

More saving raises steady-state output, but output is not consumption. To maintain a larger capital stock, the economy must devote more resources to investment. The Golden Rule asks which balanced growth path provides the largest consumption per effective worker, holding the technology and labor paths fixed.

In continuous time, a stationary k requires investment bk, so feasible steady-state consumption is

$$c^* = f(k) - bk. \tag{108}$$

Maximize this expression over k:

$$\frac{dc^*}{dk} = f'(k) - b, \tag{109}$$

$$f'(k_{\mathrm{GR}}) = b = n + g + \delta, \qquad \frac{d^2c^*}{dk^2} = f''(k) < 0. \tag{110}$$

One extra unit of capital adds $f'(k)$ to output but requires b units of investment per unit of time to maintain its intensity. At the Golden Rule, these marginal amounts are equal. Equivalently, the net marginal return $f'(k_{\mathrm{GR}}) - \delta$ equals $n + g$.

The saving rate that supports this stock satisfies

$$s_{\mathrm{GR}} = \frac{bk_{\mathrm{GR}}}{f(k_{\mathrm{GR}})}. \tag{111}$$

For Cobb–Douglas, substitute $\alpha k_{\mathrm{GR}}^{\alpha-1} = b$:

$$k_{\mathrm{GR}} = \left(\frac{\alpha}{b}\right)^{1/(1-\alpha)}, \qquad s_{\mathrm{GR}} = \alpha. \tag{112}$$

In discrete time the argument is the same with d_D replacing b: $c^* = f(k) - d_D k$ and $f'(k_{\mathrm{GR}}) = d_D$. The Cobb–Douglas saving share is again α under this timing convention.

> **A welfare boundary.** The Golden Rule maximizes consumption *across balanced growth paths*. With constant technology and strictly increasing utility $u(c)$, maximizing stationary consumption also maximizes utility evaluated at that stationary consumption. Solow has not specified discounting or how to value consumption losses during a transition. It therefore does not establish that moving toward the Golden Rule maximizes intertemporal welfare.

If the initial steady state lies below k_{GR}, raising saving toward s_{GR} increases eventual consumption but requires sacrificing consumption while capital is built. If it lies above k_{GR}, reducing saving toward the Golden Rule can raise both current and eventual consumption. Investment is then maintaining more capital than is useful for maximizing steady-state consumption. A high investment share alone is therefore not a welfare criterion. Ramsey will specify preferences and make the transition trade-off part of the saving decision; OLG will examine dynamic efficiency in an economy with different generations.

4.6 Extensions: which assumption needs to change?

An extension should answer a question left open by the benchmark. Adding an input, changing the investment technology, and explaining productivity are different changes; they need not have the same implications for long-run growth. The examples below use continuous time.

4.6.1 Investment spending and productive capital

In the baseline, one unit of investment creates one unit of productive capital. To separate spending from productive capacity, suppose only a fraction $\eta \in (0, 1]$ becomes usable capital:

$$I = sY, \qquad C = (1 - s)Y, \qquad \dot{K} = \eta I - \delta K. \tag{113}$$

The unconverted part is lost in installation or implementation; it is not additional consumption. With the same labor and technology paths,

$$\dot{k} = \eta s f(k) - bk, \qquad k^* = \left(\frac{\eta s}{b}\right)^{1/(1-\alpha)} \quad \text{for } f(k) = k^{\alpha}. \tag{114}$$

Higher investment spending and more effective conversion into capital both raise the steady-state stock, but only the former directly reduces the consumption share. Poor project selection or implementation can therefore weaken the link between a reported investment share and productive capacity. This scalar η is an illustrative reduced form: it does not yet explain which projects are chosen or how finance allocates resources.

At a stationary k, maintaining it requires $I/(AL) = bk/\eta$, so $c = f(k) - bk/\eta$. The Golden Rule becomes $f'(k) = b/\eta$. Welfare comparisons must account for the resources spent creating capital, not only the stock that eventually appears in production.

4.6.2 Accumulating human capital

Machines need skills to be useful. The augmented Solow model of Mankiw, Romer, and Weil adds a reproducible human-capital stock to the production function.[9] Write

$$Y = K^{\alpha} H^{\beta} (AL)^{1-\alpha-\beta}, \qquad \alpha, \beta > 0, \quad \alpha + \beta < 1. \tag{115}$$

Here H denotes a stock of human capital, rather than the quality-adjusted hours denoted by H in Chapter 2. To keep the distinction visible, use $u \equiv H/(AL)$ for human capital per effective worker. Then

$$y = k^{\alpha} u^{\beta}. \tag{116}$$

[9] N. Gregory Mankiw, David Romer, and David N. Weil (1992), "A Contribution to the Empirics of Economic Growth," *Quarterly Journal of Economics*, 107(2), 407–437, Section II. https://doi.org/10.2307/2118477.

Suppose output can be transformed into either stock, with fixed investment shares $s_K, s_H > 0$, $s_K + s_H < 1$, and the same depreciation rate for both:

$$\dot{K} = s_K Y - \delta K, \qquad \dot{H} = s_H Y - \delta H, \tag{117}$$

$$\dot{k} = s_K y - bk, \qquad \dot{u} = s_H y - bu. \tag{118}$$

There are now two state variables. Consumption is $c = (1 - s_K - s_H)y$; investment in skills uses resources rather than appearing costlessly in production.

At a positive steady state, the two accumulation equations imply

$$k^* = \frac{s_K}{b} y^*, \qquad u^* = \frac{s_H}{b} y^*. \tag{119}$$

Substitute both into production and collect the powers of y^*:

$$y^* = \left(\frac{s_K y^*}{b}\right)^{\alpha} \left(\frac{s_H y^*}{b}\right)^{\beta}, \tag{120}$$

$$(y^*)^{1-\alpha-\beta} = \frac{s_K^{\alpha} s_H^{\beta}}{b^{\alpha+\beta}}, \tag{121}$$

$$y^* = \left(\frac{s_K^{\alpha} s_H^{\beta}}{} b^{\alpha+\beta}\right)^{1/(1-\alpha-\beta)}. \tag{122}$$

The condition $\alpha + \beta < 1$ preserves diminishing returns to the two accumulated inputs together. The extension can change income levels and transition dynamics, while long-run growth per worker on its balanced growth path still comes from A. A higher human-capital investment share is not, by itself, a permanent growth-rate increase in this specification.

Years of schooling are a proxy for skills, not a direct observation of H or s_H. Pritchett (2001) highlights why schooling expansion need not translate uniformly into aggregate growth: learning quality, demand for educated labor, and the activities rewarded by institutions can differ.[10] Weak estimates in a particular specification do not establish that skills have no productive value. They call for checking the proposed accumulation mechanism, measurement, and identification.

4.6.3 Technology adoption and catch-up

Giving every economy the same A path assumes away differences in access to and use of technology. To illustrate an adoption mechanism, let frontier efficiency A_F grow at g_F and posit, for a follower with $A \le A_F$,

$$\frac{\dot{A}}{A} = g_F + \mu \log \frac{A_F}{A}, \qquad \mu > 0. \tag{123}$$

This is an illustrative adoption rule, not a consequence of the original saving equation. Define the log technology gap $v = \log(A_F/A)$. Then

$$\dot{v} = g_F - \frac{\dot{A}}{A} = -\mu v, \tag{124}$$

$$v(t) = v(0) e^{-\mu t}. \tag{125}$$

[10] Lant Pritchett (2001), "Where Has All the Education Gone?," *World Bank Economic Review*, 15(3), 367–391, especially Section II. https://doi.org/10.1093/wber/15.3.367.

A larger gap creates scope for faster adoption; μ governs how quickly that scope is used. Technology catch-up differs from rebuilding a low capital stock. It can change output directly and also induce capital accumulation.

During catch-up, $\dot{A}/A$ varies with the gap. The capital equation is now

$$\dot{k} = sf(k) - [n + \delta + g_F + \mu v(t)]\, k. \tag{126}$$

We cannot use the earlier constant-g transition unchanged. As the technology gap closes, this equation approaches the benchmark with $g = g_F$. Training, organizational changes, and technology access could help determine μ, but this rule does not model their costs or incentives. Explaining those choices is a further step toward endogenous productivity.

4.6.4 Removing diminishing returns: the AK benchmark

What if returns to the reproducible stock do not diminish? Let

$$Y = \mathscr{A}K, \qquad \mathscr{A} > 0 \text{ constant}, \qquad \dot{K} = (s\mathscr{A} - \delta)K. \tag{127}$$

With labor growth n, output per worker satisfies

$$g_{Y/L} = s\mathscr{A} - \delta - n. \tag{128}$$

A permanent increase in saving now raises the growth rate permanently. The reason is the changed production assumption: each additional unit of capital has the same product. The Solow Inada and strict-concavity conditions no longer hold, and there is no positive stationary K/L when this growth rate is positive.

K can be interpreted as a broad reproducible composite only if we explain how its components can be accumulated without diminishing aggregate returns. The AK equation shows the role of that restriction; it does not by itself supply a theory of innovation, externalities, or optimal saving. Those mechanisms belong in the endogenous growth chapter.

4.6.5 Fixed land and the transition to modern growth

The baseline omits a fixed input that becomes scarce. Add land X:

$$Y = BK^{a}L^{\ell}X^{1-a-\ell}, \qquad a, \ell > 0, \quad a + \ell < 1. \tag{129}$$

B is Hicks-neutral productivity, as in Chapter 2. Dividing by labor gives

$$\frac{Y}{L} = B\left(\frac{K}{L}\right)^{a}\left(\frac{X}{L}\right)^{1-a-\ell}. \tag{130}$$

At given B and K/L, population growth lowers land per worker and hence output per worker. If population growth also responds to income, productivity gains may support more people rather than persistent gains in living standards. The land equation alone does not establish this outcome; it needs a demographic mechanism.

Hansen and Prescott (2002) study a transition in which a less land-intensive production process becomes profitable as technology advances. Both production processes are available throughout; which

one is used changes in equilibrium. Their analysis retains exogenous technical progress, so it explains a transition in production rather than the ultimate source of innovation.[11]

Where the benchmark ends. Lower labor-force growth reduces dilution in Solow, holding everything else fixed. This is not a complete assessment of ageing: participation, pensions, and age-specific saving are absent. Likewise, the model contains no money, banks, or foreign assets. Monetary, financial, or trade extensions need those objects and their decision rules; their effects cannot be inferred merely from their absence here.

The main unresolved choice is already inside the model: why should households save a fixed share when their income and returns change? Ramsey replaces that rule with an intertemporal problem, making consumption, patience, and the return to saving jointly determine the accumulation path.

[11] Gary D. Hansen and Edward C. Prescott (2002), "Malthus to Solow," *American Economic Review*, 92(4), 1205–1217. https://doi.org/10.1257/00028280260344731.

5 Ramsey Model

Solow determines accumulation from a given saving share. Ramsey asks how much to consume and save when households value consumption at different dates. The change adds a choice, a price for postponing consumption, and a boundary condition that selects an admissible path.

5.1 From a saving rule to a saving decision

Suppose two economies have the same current income. In one, income is expected to rise; in the other, a disruption has temporarily reduced production. A rule $S = sY$ makes saving move proportionally with current output in both cases. It cannot tell us whether households want to smooth a temporary loss, prepare for lower future income, or invest in a newly productive opportunity.

One response would be to make s a function of income or the interest rate. But then we would still need to explain that function and how it changes when expectations or policy change. Instead, specify what consumption is worth, what saving buys, and which paths the household can finance. A saving rate will emerge from those choices rather than being the starting rule.

Start with the experiment of consuming one unit less today. Saving that unit provides a return tomorrow. The household compares the utility lost now with the discounted utility of that future consumption. This suggests an optimality condition across adjacent dates. It cannot yet determine the level of consumption: a household with little wealth cannot finance every path with the right slope. We will need feasibility and a terminal restriction as well.

The planner and household formulations then answer related questions. The planner allocates real resources; a household takes wages and returns as given. Their allocations coincide in the competitive benchmark under the conditions stated below. Taxes can separate the private return from the social product, which is why decentralization matters for the final section.

Ramsey's original contribution was a saving problem; the presentation here is the modern discounted Ramsey–Cass–Koopmans benchmark, rather than a literal reproduction of the 1928 objective.[12]

[12] Frank P. Ramsey (1928), "A Mathematical Theory of Saving," *Economic Journal*, 38(152), 543–559. https://doi.org/10.2307/2224098.

5.2 Assumptions

The conditions below state the technology, ownership, choices, and market structure explicitly. The subsequent notation and solvency sections complete the specification before the optimization problem is solved.

01 Economy and production technology

A closed, one-good economy contains households and firms, without government in the baseline. Output can be consumed or invested:

$$Y = F(K, AL), \qquad Y = C + I, \qquad \dot{K} = I - \delta K.$$

Technology is labor-augmenting (Harrod-neutral), freely and publicly available. F is continuous, twice differentiable for positive inputs, positive there, with positive and diminishing marginal products of capital and effective labor. Constant returns means $F(\lambda K, \lambda AL) = \lambda F(K, AL)$ for $\lambda > 0$. With $k = K/(AL)$ and $f(k) = F(k, 1)$, assume

$$f(0) = 0, \qquad f'(k) > 0, \qquad f''(k) < 0 \quad (k > 0),$$
$$\lim_{k \downarrow 0} f'(k) = \infty, \qquad \lim_{k \to \infty} f'(k) = 0.$$

These are the explicit Solow production restrictions inherited here.

02 Given stocks and exogenous growth

Initial $K(0), A(0), L(0)$ are positive and given. Technology and population follow

$$A(t) = A(0)e^{gt}, \qquad L(t) = L(0)e^{nt}.$$

The population of each dynasty grows at the same rate n, so fixed dynasty shares aggregate to total population growth n. Each member supplies one unit of labor. Growth rates n, g and depreciation δ are exogenous. The course benchmark sets $\delta = 0$; general formulas keep δ visible. The original notation a for technology growth is written consistently as g.

03 Households, ownership, and income

There are many identical, price-taking, infinitely lived dynasties. Households own capital and firms, supply labor inelastically, and choose consumption and saving over time. Household income consists of wages, capital income, and its share of firm profits. In aggregate, before imposing zero profits,

$$\dot{B} = rB + wL + \Pi - C, \qquad r = q - \delta.$$

Here B is household financial wealth, q the rental price before depreciation, w the wage per worker, and Π distributed economic profit. Under the competitive constant-returns benchmark below, $\Pi = 0$ and $B = K$ in equilibrium. Ownership remains an assumption even when profits vanish.

04 Preferences and the household objective

Each dynasty maximizes the discounted sum of its members' utility, subject to its budget and solvency constraints. With consumption per member $x = C/L$,

$$\max_{\{C(t)\}} \int_0^\infty e^{-\rho t} L(t) u(x(t))\, dt, \qquad u'(x) = x^{-\theta}, \quad \theta > 0.$$

Using aggregate L here changes the objective only by a positive constant relative to a dynasty of fixed population share. Patience is measured by ρ; in the separate discrete-time formulation the discount factor is $\beta = 1/(1+\rho)$, with $0 < \beta < 1$. Continuous-time discounting uses $e^{-\rho t}$. The parameter restrictions used below are

$$\rho > n \geq 0, \qquad g \geq 0, \qquad \eta \equiv \rho - n - (1-\theta)g > 0.$$

Saving is an optimal choice rather than Solow's imposed share of income.

05 Firms and competitive factor markets

There are many firms with a common production technology. They take prices as given, hire labor and rent capital in competitive markets, and maximize profits at each date:

$$\max_{K,L} \; F(K, AL) - qK - wL.$$

Common technology and constant returns permit the representative-firm formulation. Homogeneous technology is not itself the definition of perfect competition. Interior factor demands satisfy

$$q = F_1(K, AL) = f'(k), \qquad w = AF_2(K, AL) = A[f(k) - kf'(k)].$$

Factor payments exhaust output, $Y = qK + wL$, and profits are zero. Households receive the factor payments and would receive any profits through ownership.

06 Market clearing and equilibrium

All supplied labor and capital are employed. With bars denoting aggregate endowments,

$$L^d = L^s = \bar{L}, \qquad K^d = K^s = \bar{K}, \qquad Y = C + I, \qquad B = K.$$

Household optimality, firm optimality, and these clearing conditions hold jointly. There are no taxes, externalities, market power, income uncertainty, or borrowing frictions beyond solvency in the baseline. These conditions underlie the planner–competitive allocation equivalence used below.

07 Feasibility and terminal restrictions

Capital is inherited and consumption is chosen. Feasible paths obey the resource constraint with $K \geq 0$ and $C > 0$. Household debt must satisfy a no-Ponzi restriction; optimal accumulation must also satisfy a transversality condition. They serve different purposes and are written explicitly in the solvency subsection below. An Euler equation alone does not select the path, and refinancing debt is not by itself a Ponzi scheme.

5.2.1 Notation and the course simplifications

Use K, C, Y for aggregates and $x = C/L$ for consumption per person. Reserve $k = K/(AL)$ and $c = C/(AL)$ for quantities per effective worker, so $x = Ac$. Technology growth is denoted by g throughout. We retain the course's zero-depreciation benchmark; δ remains visible in the formulas so that setting $\delta = 0$ is explicit. Full depreciation, $\delta = 1$, will be used only in a separately labeled discrete-time example.

Preferences have marginal utility $u'(x) = x^{-\theta}$, $\theta > 0$:

$$u(x) = \begin{cases} x^{1-\theta}/(1-\theta), & \theta \neq 1, \\ \log x, & \theta = 1. \end{cases} \tag{131}$$

In this deterministic model, $1/\theta$ measures willingness to substitute consumption across time. Higher ρ reduces the weight on future utility. Assume $\rho > n \geq 0$, $g \geq 0$, and

$$\eta \equiv \rho - n - (1-\theta)g > 0. \tag{132}$$

These are sufficient restrictions for finite utility on the balanced growth path used below. Weighting by $L(t)$ means the dynasty values the utility of all its members; choosing a different population welfare criterion would change the normalization. The original lists are retained in comments immediately above this section for comparison.

5.2.2 No-Ponzi restrictions and transversality

A household's total wealth B satisfies

$$\dot{B} = rB + wL - C, \tag{133}$$

where r is the net real return and w the wage per person. A no-Ponzi restriction requires

$$\liminf_{T\to\infty} e^{-\int_0^T r(v)\,dv} B(T) \geq 0. \tag{134}$$

Borrowing must ultimately be supported by resources rather than by a negative terminal present value of wealth. Refinancing a loan is not, by itself, a Ponzi scheme: future income can support repayment.

A transversality condition instead concerns optimality. In the planner's normalized problem below it takes the standard form

$$\lim_{t\to\infty} e^{-\eta t} u'(c(t))k(t) = 0. \tag{135}$$

It rules out leaving resources with positive limiting discounted utility value when consuming more would improve the allocation. It does not require the capital stock itself to approach zero. Feasibility and an Euler equation alone need not select the optimal infinite-horizon path.

5.3 Solving the consumption–saving problem

5.3.1 The planner's problem and decentralization

For continuous time, the planner chooses consumption with inherited $K(0)$:

$$\begin{aligned} &\max_{\{C(t)\}} \int_0^\infty e^{-\rho t} L(t) u(C(t)/L(t))\,dt, \\ &\quad \text{s.t. } \dot{K} = F(K, AL) - \delta K - C, \qquad K \geq 0,\ C > 0. \end{aligned} \tag{136}$$

Consumption uses current output; the residual, net of depreciation, changes the capital stock. In a decentralized economy, a household uses its budget constraint instead. Competitive factor pricing gives

$$q = f'(k), \qquad r = q - \delta, \qquad w = A\left[f(k) - kf'(k)\right]. \tag{137}$$

q is the rental payment before depreciation. The net return $r = q - \delta$ and a discrete-time gross return $R = 1 + q - \delta = 1 + r$ are different objects.

With constant returns, factor incomes exhaust output. Firms' dividends are not an additional source of aggregate goods on top of Y. In equilibrium, aggregate household wealth equals capital, $B = K$, so the household budgets consolidate into (136)'s resource constraint. With identical preferences, competitive prices, and no taxes, externalities, or financing frictions, the planner allocation can be supported as a competitive allocation. This equivalence must be checked again when the environment changes.

5.3.2 Lagrangian: the adjacent-date trade-off

First isolate discrete time with $A = L = 1$ and $n = g = 0$. This makes timing visible without carrying growing denominators; it is a restricted version of the model. The planner solves

$$\max_{\{c_t, k_{t+1}\}} \sum_{t=0}^{\infty} \beta^t u(c_t), \qquad c_t + k_{t+1} = f(k_t) + (1-\delta)k_t, \tag{138}$$

where k_0 is given, $0 < \beta < 1$, and $0 \le \delta \le 1$. Writing $\beta = 1/(1+\rho)$ defines a discrete-time rate of time preference; the continuous-time convention uses $e^{-\rho t}$.

Use current-utility multipliers λ_t:

$$\mathscr{L} = \sum_{t=0}^{\infty} \beta^t \left\{u(c_t) + \lambda_t[f(k_t) + (1-\delta)k_t - c_t - k_{t+1}]\right\}. \tag{139}$$

At an interior solution, differentiate with respect to c_t and k_{t+1}:

$$\lambda_t = u'(c_t), \tag{140}$$

$$\lambda_t = \beta\lambda_{t+1}[f'(k_{t+1}) + 1 - \delta]. \tag{141}$$

Substitution gives the Euler equation

$$u'(c_t) = \beta R_{t+1} u'(c_{t+1}), \qquad R_{t+1} = f'(k_{t+1}) + 1 - \delta. \tag{142}$$

One unit saved at t earns its return at $t+1$, when the new capital is used. The utility cost today equals the discounted marginal gain tomorrow. For CRRA,

$$\frac{c_{t+1}}{c_t} = (\beta R_{t+1})^{1/\theta}. \tag{143}$$

This determines consumption growth given the return, not the entire consumption path. With no bequest motive and the usual concavity conditions, the terminal condition is $\lim_{t\to\infty} \beta^t u'(c_t) k_{t+1} = 0$. In a finite-horizon exercise a terminal stock may be set to zero; that is not the same as imposing $k_t \to 0$ in this infinite-horizon economy.

5.3.3 Hamiltonian: saving with continuous adjustment

Return to continuous time with population and technology growth. From $k = K/(AL)$ and $c = C/(AL)$,

$$\dot{k} = f(k) - c - bk, \qquad b \equiv n + g + \delta. \tag{144}$$

For $\theta \neq 1$, substitute $x = Ac$ and $L = L_0 e^{nt}$ into utility:

$$e^{-\rho t} L u(Ac) = L_0 A_0^{1-\theta} e^{-\eta t} \frac{c^{1-\theta}}{1-\theta}. \tag{145}$$

The positive constant in front does not change choices. For log utility, $\log(Ac) = \log A + \log c$; the $\log A$ term is independent of the allocation. The normalized problem therefore discounts $u(c)$ at η in either case.

Its current-value Hamiltonian is

$$\mathscr{H} = u(c) + \mu[f(k) - c - bk]. \tag{146}$$

The control condition and current-value costate equation are

$$\mathscr{H}_c = 0 \quad \Longrightarrow \quad \mu = u'(c), \tag{147}$$

$$\dot{\mu} = \eta\mu - \mathscr{H}_k = [\eta + b - f'(k)]\,\mu. \tag{148}$$

μ is the current utility value of an additional unit of normalized capital. The factor η belongs in the current-value costate equation; a present-value costate would instead absorb the discount factor. These are two representations of the same problem, not an assertion that patience is irrelevant.

Differentiate $\mu = c^{-\theta}$ and use $\eta + b = \rho + \delta + \theta g$:

$$\frac{\dot{\mu}}{\mu} = -\theta \frac{\dot{c}}{c} = \eta + b - f'(k), \tag{149}$$

$$\frac{\dot{c}}{c} = \frac{f'(k) - \delta - \rho - \theta g}{\theta}. \tag{150}$$

Consumption per person is $x = Ac$, so

$$\frac{\dot{x}}{x} = g + \frac{\dot{c}}{c} = \frac{r - \rho}{\theta}. \tag{151}$$

A high return makes future consumption relatively attractive; impatience favors consumption now. Curvature determines how strongly consumption growth responds. Population growth affects resources and welfare weights, but cancels from this per-person Euler equation under the dynasty objective specified above.

Setting $\delta = 0$ recovers the course benchmark. Setting $g = n = 0$ also removes the growth normalization. At $\rho = 0$ the intertemporal trade-off changes, and an infinite-horizon undiscounted problem needs its own welfare criterion; it is not obtained simply by deleting discounting from every infinite integral.

5.3.4 Bellman and HJB: valuing the remaining opportunities

For the stationary discrete-time version, let $V(k)$ be the value of starting with capital k. Choose next period's capital k':

$$V(k) = \max_{k'} \left\{ u(f(k) + (1-\delta)k - k') + \beta V(k') \right\}, \tag{152}$$

with feasible $k' \geq 0$ and positive current consumption. At an interior optimum,

$$u'(c) = \beta V'(k'), \tag{153}$$

$$V'(k) = u'(c)[f'(k) + 1 - \delta]. \tag{154}$$

The second line is the envelope condition: the effect of the optimal choice's response drops out at the optimum. Apply it at k' in the first line to recover (142). The Lagrangian and Bellman methods are pricing the same marginal transfer of resources between dates.

A case with an exact saving rule. Take $u(c) = \log c$, $f(k) = k^\alpha$, and full depreciation $\delta = 1$ only for this example. Guess $V(k) = a + d \log k$. The first-order condition gives

$$\frac{1}{k^\alpha - k'} = \frac{\beta d}{k'}, \qquad \frac{k'}{k^\alpha} = \frac{\beta d}{1 + \beta d}. \tag{155}$$

Matching the coefficient of $\log k$ in the Bellman equation yields $d = \alpha(1 + \beta d)$, hence

$$d = \frac{\alpha}{1 - \alpha\beta}, \qquad k' = \alpha\beta k^\alpha, \qquad c = (1 - \alpha\beta)k^\alpha. \tag{156}$$

A constant saving share can emerge from optimization in this special case. Its value depends on preferences and technology; the result does not make a constant saving share general once depreciation or utility changes.

In normalized continuous time, dynamic programming gives the HJB equation

$$\eta V(k) = \max_c \{u(c) + V'(k)[f(k) - c - bk]\}. \tag{157}$$

The control condition is $u'(c) = V'(k)$. Differentiate using the envelope theorem:

$$\eta V'(k) = V''(k)\dot{k} + V'(k)[f'(k) - b]. \tag{158}$$

Along the path, $\dot{\mu} = V''(k)\dot{k}$ with $\mu = V'(k)$, giving the same costate equation and consumption Euler equation as the Hamiltonian. The value function summarizes all future opportunities; the terminal and feasibility conditions remain part of the underlying problem.

5.4 Intertemporal equilibrium and economic adjustment

5.4.1 Steady state and the two loci

The continuous-time equilibrium combines

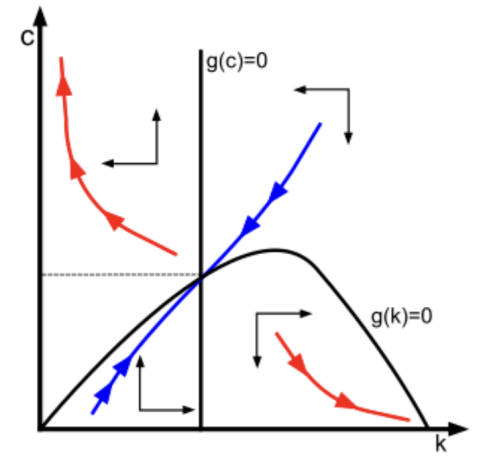
$$\begin{aligned} \dot{k} &= f(k) - c - bk, \\ \dot{c} &= \frac{c}{\theta}[f'(k) - \delta - \rho - \theta g], \end{aligned} \tag{159}$$

with given $k(0)$ and (135). A positive normalized steady state satisfies

$$f'(k^*) = \delta + \rho + \theta g, \qquad c^* = f(k^*) - bk^*. \tag{160}$$

The production assumptions give a unique positive k^*. Strict concavity gives $f(k^*)/k^* > f'(k^*) > b$, where the second inequality is $\eta > 0$, so $c^* > 0$. On this balanced growth path, consumption per person grows at g, aggregate consumption at $n + g$, and the net return is $r^* = \rho + \theta g$.

For $c > 0$, the $\dot{c} = 0$ locus is vertical at k^*. Consumption grows to its left and falls to its right. The $\dot{k} = 0$ locus is $c = f(k) - bk$; capital grows below it and falls above it. If $b > 0$, its maximum is the Golden Rule stock, where $f'(k_{\mathrm{GR}}) = b$. Neither locus, by itself, is an equilibrium path.



Reading the diagram. The vertical line is $\dot{c} = 0$; the curved resource locus is $\dot{k} = 0$. The blue curve depicts the stable path, with arrows toward their intersection. The red paths illustrate departures that do not satisfy the required long-run conditions. The sketch assumes a hump-shaped resource locus and $k^* < k_{\mathrm{GR}}$.

5.4.2 Why consumption can jump while capital cannot

Capital is a state inherited from previous investment. Consumption is a control: a household can change spending immediately, but cannot instantly create a new stock of machines. For a given $k(0)$, different initial consumption choices produce different candidate paths under (159). Most fail feasibility or the terminal condition. The saddle path selects initial consumption as well as the later transition; it does not require every variable to start at its steady state.

A one-time destruction of physical capital, with all other fundamentals unchanged, moves the state leftward. Consumption adjusts onto the stable path. The low stock supports a high return and rebuilding, while the loss of resources constrains current spending. Actual disasters may also damage skills or technology, which would change the destination rather than just the initial state.

A credible announcement about future productivity or taxation can change consumption before it changes current output: the household evaluates future income and returns when choosing today's spending. This model isolates that intertemporal mechanism. It omits borrowing constraints, income risk, and different marginal propensities to consume, so its representative consumption response is not an empirical claim about every household.

5.5 Linearization and the saddle path

5.5.1 The local system and its eigenvalues

Let $\Delta k = k - k^*$ and $\Delta c = c - c^*$. In the order (k, c), the first-order system is

$$\begin{pmatrix} \Delta\dot{k} \\ \Delta\dot{c} \end{pmatrix} \approx J \begin{pmatrix} \Delta k \\ \Delta c \end{pmatrix}, \qquad J = \begin{pmatrix} \eta & -1 \\ z & 0 \end{pmatrix}, \quad z \equiv \frac{c^* f''(k^*)}{\theta} < 0. \tag{161}$$

The top-left entry is $f'(k^*) - b = \eta$; the bottom-right entry vanishes because the consumption growth bracket is zero at the steady state. Thus

$$\det(\lambda I - J) = \lambda^2 - \eta\lambda + z = 0, \qquad \lambda_{\pm} = \frac{\eta \pm \sqrt{\eta^2 - 4z}}{2}. \tag{162}$$

Since $z < 0$, $\lambda_- < 0 < \lambda_+$. The local system has one stable and one unstable direction. This is the mathematical reason a boundary condition is needed to select consumption for the inherited capital stock.

For a stable eigenvector $(1, m)$, the first row implies $m = \eta - \lambda_- > 0$. The local stable path is therefore

$$\Delta c(0) \approx m\Delta k(0), \tag{163}$$

$$\Delta k(t) \approx \Delta k(0)e^{\lambda_- t}, \tag{164}$$

$$\Delta c(t) \approx m\Delta k(0)e^{\lambda_- t}. \tag{165}$$

The positive convergence speed is $-\lambda_-$; its local half-life is $\log 2/(-\lambda_-)$. The exponential solution is exact for the linearized system, and generally approximate for the original nonlinear transition.

5.5.2 The same restriction by undetermined coefficients

Alternatively, conjecture a local policy $\Delta c = m\Delta k$. From the first linearized equation, $\dot{\Delta k} = (\eta - m)\Delta k$. Differentiating the conjecture and using the second equation gives

$$m(\eta - m)\Delta k = z\Delta k, \qquad m^2 - \eta m + z = 0. \tag{166}$$

Choose the positive root $m = \lambda_+$, so $\eta - m = \lambda_- < 0$. This recovers the same stable policy. Choosing the decaying direction is not a free change to initial capital; it is the restriction on the consumption choice implied by admissibility and optimality.

5.6 Maximizing welfare

5.6.1 The object being maximized is a consumption path

A higher future consumption level is attractive, but reaching it may require less consumption today. Welfare makes that trade-off explicit. Compare two feasible paths starting from the same $k(0)$, with the same technology, population, preferences, and information. In effective-worker units, the allocation-dependent objective is

$$W[c] = \int_0^\infty e^{-\eta t} u(c(t))\, dt. \tag{167}$$

For CRRA utility this differs from the original dynasty objective only by a positive constant factor; for log utility there is also an additive term independent of the allocation. Thus the ordering of feasible paths is the same.

The Euler equation balances utility across adjacent dates. Feasibility limits how much consumption can be financed, and the transversality condition rules out leaving valuable resources unused forever. Together, under the concavity conditions of this chapter, they select the welfare-maximizing path. An Euler equation by itself does not establish that a proposed path is optimal.

5.6.2 Golden Rule versus the optimal steady state

The Golden Rule answers a narrower question: which constant k supports the highest steady consumption? With $b = n + g + \delta > 0$,

$$\bar{c}(k) = f(k) - bk, \qquad \bar{c}'(k) = f'(k) - b, \qquad f'(k_{\mathrm{GR}}) = b. \tag{168}$$

The Ramsey steady state instead satisfies

$$f'(k^*) = \delta + \rho + \theta g = b + \eta > b, \qquad k^* < k_{\mathrm{GR}}. \tag{169}$$

Diminishing marginal product gives the last inequality. If $b = 0$, there is no finite interior Golden Rule stock under $f'(k) > 0$; the Ramsey steady-state condition can still determine a finite k^*.

Why stop before the consumption-maximizing stock? Building extra capital requires forgone consumption during the transition. The Golden Rule compares steady states without pricing that sacrifice. Ramsey values the sacrifice and the later benefit along a common time path. Starting at k^*, a policy that forces more saving may eventually raise consumption, yet reduce welfare. The later gain alone does not settle the comparison.

This also clarifies the benchmark's policy meaning. With no externalities, market power, borrowing frictions, or tax wedges, the competitive allocation implements the planner's optimum. That statement uses identical dynasties and the specified welfare weights; it does not settle distributional questions when households differ.

5.6.3 Measuring a welfare difference in consumption units

A difference in utility units is hard to interpret. Instead, ask what permanent proportional change to baseline consumption would make a household indifferent between the baseline path c_B and an alternative c_A. Define λ by

$$W[(1+\lambda)c_B] = W[c_A]. \tag{170}$$

A positive λ means the alternative is better. This is a welfare index; the scaled baseline need not itself be feasible under the original resources.

For $\theta \neq 1$, let $J_i = \int_0^\infty e^{-\eta t} c_i(t)^{1-\theta}\, dt$, for $i = A, B$. Substitution into CRRA utility gives

$$(1+\lambda)^{1-\theta} J_B = J_A, \qquad \lambda = \left(\frac{J_A}{J_B}\right)^{1/(1-\theta)} - 1. \tag{171}$$

For $\theta = 1$, use $\int_0^\infty e^{-\eta t} dt = 1/\eta$ to obtain

$$W[(1+\lambda)c_B] = W[c_B] + \frac{\log(1+\lambda)}{\eta}, \qquad \lambda = \exp(\eta\{W[c_A] - W[c_B]\}) - 1. \tag{172}$$

For example, if consumption is 1% higher at every date, both formulas give $\lambda = 0.01$. A 1% difference only in eventual steady consumption generally does not: the transition also enters the integral.

5.7 Taxation and capital accumulation

5.7.1 Separate financial transfers from real resource use

A tax can change who receives income, how many goods remain for private use, and the return to saving. These are different mechanisms. To separate them, introduce a balanced-budget government without debt. Let T_L be aggregate lump-sum taxes, $\mathscr{R}$ aggregate transfers, and G government purchases. A constant rate $0 \leq \tau < 1$ taxes *net* capital income rK, where $r = f'(k) - \delta$. Depreciation is deductible under this convention.

The household budget and government budget are

$$\dot{B} = (1-\tau)rB + wL - C - T_L + \mathscr{R}, \tag{173}$$

$$\tau rK + T_L = G + \mathscr{R}. \tag{174}$$

In equilibrium $B = K$ and $rK + wL = Y - \delta K$. Substitute the government budget into the household budget:

$$\dot{K} = Y - \delta K - C - G, \qquad \dot{k} = f(k) - c - bk - \mathscr{G}, \quad \mathscr{G} \equiv \frac{G}{AL}. \tag{175}$$

Taxes and transfers cancel when consolidating budgets. Government purchases use goods and therefore remain. Here G does not enter production or household utility; public investment or valued public services would require an explicit additional mechanism.

5.7.2 Lump-sum taxation: a resource and wealth effect

Set $\tau = 0$. A lump-sum tax does not depend on an individual household's saving, so it leaves the marginal return unchanged:

$$\frac{\dot{c}}{c} = \frac{f'(k) - \delta - \rho - \theta g}{\theta}. \tag{176}$$

This does not mean that financing G has no effect. Private consumption and investment must share fewer resources, and households adjust spending when they learn about future taxes and purchases.

For constant $\mathscr{G}$, an interior steady state has the same k^* as the untaxed benchmark, but

$$c_G^* = f(k^*) - bk^* - \mathscr{G} > 0. \tag{177}$$

The unchanged long-run stock follows from the unchanged Euler condition; consumption absorbs the steady resource cost. The transition can still differ. If $G = 0$ and lump-sum taxes are returned to the same identical dynasties, the net payment cancels and the benchmark allocation is unchanged.

5.7.3 Capital income taxation: the private saving wedge

Now set $T_L = 0$ and rebate capital tax revenue as lump-sum transfers, with $G = 0$. There are many identical price-taking dynasties. Each takes the transfer as given: saving an extra unit does not give that household the entire increase in aggregate tax rebates. Its marginal return is $(1-\tau)r$. Consequently,

$$\frac{\dot{x}}{x} = \frac{(1-\tau)r - \rho}{\theta}, \tag{178}$$

$$\frac{\dot{c}}{c} = \frac{(1-\tau)[f'(k) - \delta] - \rho - \theta g}{\theta}. \tag{179}$$

The consolidated resource constraint is still the original one. The tax changes the private incentive even when its revenue is fully rebated. Treating the representative household as if it chose aggregate rebates would erase this wedge and would solve a different problem.

For a permanent constant tax, the interior steady state satisfies

$$f'(k_\tau) = \delta + \frac{\rho + \theta g}{1-\tau}, \qquad c_\tau = f(k_\tau) - bk_\tau. \tag{180}$$

Differentiate the first equation:

$$f''(k_\tau)\frac{dk_\tau}{d\tau} = \frac{\rho + \theta g}{(1-\tau)^2}, \qquad \frac{dk_\tau}{d\tau} < 0. \tag{181}$$

A lower after-tax share requires a higher pre-tax marginal product to support zero growth of c. With diminishing returns, that means less capital. Since $k_\tau < k^* < k_{\mathrm{GR}}$ when $b > 0$, steady private consumption also falls. For $b = 0$, $f(k)$ is increasing and the same consumption ranking follows. Per-person output still grows at g on the balanced growth path: this tax changes its level, while technology growth remains exogenous.

The tax base matters. A tax on gross rental income $f'(k)K$, without depreciation deductibility, would leave the net return $(1-\tau)f'(k) - \delta$ instead. Its steady-state formula would therefore differ when $\delta > 0$.

5.7.4 The transition need not resemble the long-run comparison

Suppose the economy starts at the untaxed steady state and an unexpected small permanent capital tax is introduced, with full rebates and $G = 0$. The $\dot{c} = 0$ line shifts left, while the $\dot{k} = 0$ curve is unchanged. Capital cannot jump. Consumption can, and locally it jumps *up*: households now want a smaller eventual capital stock and begin consuming part of the inherited wealth. Then capital and consumption decline along the new stable path. The initial consumption increase is consistent with lower long-run consumption.

To see the local logic, write the new stable path as $c - c_\tau \approx m_\tau(k - k_\tau)$, with $m_\tau > 0$. At zero tax its slope is $m = \eta - \lambda_- > \eta$, whereas the resource curve has slope η. A small fall in the target stock therefore places the new stable path above the old steady-state consumption at the inherited k^*. This argument is local and uses the stated rebate rule; government spending, announcements, or other tax bases require their own transition analysis.

For a numerical level comparison, take $f(k) = k^{1/3}$, $\delta = 0$, $\rho = 0.04$, $\theta = 2$, $n = 0.01$, and $g = 0.02$. Then $b = 0.03$ and $\eta = 0.05$. The steady-state formulas give

Capital tax rate	Required $f'(k)$	k	c
0	0.08	8.505	1.786
0.20	0.10	6.086	1.643

These are hypothetical steady states. Their consumption difference is not a consumption-equivalent welfare loss, because that calculation must include the transition from a common initial stock.

In this frictionless benchmark, forcing a capital tax wedge with no valued public use of revenue moves the allocation away from the planner optimum. This is a comparison of given policies, not a solution for optimal fiscal policy. Redistribution, productive public expenditure, or market failures would change the policy problem and must be modeled before drawing a broader conclusion.

6 OLG Model

In contrast to the Ramsey model in which individuals are infinitely-lived, in the OLG model individuals live a finite length of time, long enough to overlap with at least one period of another agent's life.

Note 1 (Meet only once)**.** *Two generation OLG is particularly simple because it precludes intertemporal trade (no one meets twice).*

Solow model, RCK model and OLG model

- All of them are under the assumption of perfect competitive market.
- Solow model has exogenous saving rate, whereas Ramsey model and OLG model has endogenous one.
- OLG model has heterogeneous representative agents.

6.1 Assumptions

$$C_t = L_t C_{1t}^{\text{young}} + L_{t-1} C_{2t}^{\text{old}} \text{ (where subscript 1 and 2 stands for age)} \tag{182}$$

$$L_t = (1+n)L_{t-1} \Rightarrow L_t = (1+n)^t L_0 \tag{183}$$

$$S_t = s_t L(t) \tag{184}$$

6.2 UMP of household

A general UMP would be

$$\max u(C_1) + \beta u(C_{2,t+1}) \quad s.t. \begin{cases} C_{1t} + S_t \leqslant W_t \\ C_{2,t+1} \leqslant R_{t+1} S_t \end{cases} \tag{185}$$

Form a Lagrangian and acquire Euler's equation

$$\mathscr{L} = u(C_1) + \beta u(C_{2,t+1}) + \lambda_{1t}(c_{1t} + s_t - w_t) + \lambda_{2,t+1}(c_{2,t+1} - R_{t+1} s_t) \tag{186}$$

$$\Rightarrow \text{F.O.C.} \begin{cases} \frac{\partial \mathscr{L}}{\partial C_{1t}} = 0 \\ \frac{\partial \mathscr{L}}{\partial C_{2,t+1}} = 0 \\ \frac{\partial \mathscr{L}}{\partial S_t} = 0 \end{cases} \Rightarrow \begin{cases} u'(C_{1t}) = \lambda_{1t} \\ \beta' u'(C_{2,t+1}) = \lambda_{2,t+1} \\ \frac{\lambda_{1t}}{\lambda_{2,t+1}} = R_{t+1} \end{cases} \tag{187}$$

$$\Rightarrow u'(C_{1t}) = \beta R_{t+1} u'(C_{2,t+1}) \text{ (Euler's equation in OLG UMP)} \tag{188}$$

e.g. Given a specific utillity function

$$u(C_{gt}) = \frac{C_{gt}^{1-\theta} - 1}{1-\theta}, 0 < \theta \neq 1, g = 1, 2 \tag{189}$$

$$\text{UMP} \Rightarrow \begin{cases} C_{1t}^{-\theta} = \beta R_{t+1} C_{2,t+1}^{-\theta} \\ C_{1t} = W_t - S_t \\ C_{2,t+1} = R_{t+1} S_t \end{cases} \tag{190}$$

$$\Rightarrow (W_t - S_t)^{-\theta} = \beta R_{t+1} (R_{t+1} S_t)^{-\theta} \tag{191}$$

$$\Rightarrow (\frac{W_t - S_t}{S_t})^{-\theta} = \beta R_{t+1}^{1-\theta} \tag{192}$$

$$\Rightarrow \frac{W_t}{S_t} = (\beta R_{t+1}^{1-\theta})^{-\frac{1}{\theta}} + 1 \tag{193}$$

$$\Rightarrow S_t = \frac{w_t}{\beta^{-\frac{1}{\theta}} R_{t+1}^{-\frac{1-\theta}{\theta}} + 1} < w_t \tag{194}$$

$$\Rightarrow S'_w = \frac{1}{\beta^{-\frac{1}{\theta}} R_{t+1}^{-\frac{1-\theta}{\theta}} + 1} \in (0, 1) \tag{195}$$

$$\Rightarrow S'_R = \frac{1-\theta}{\theta} \frac{S_t}{\beta^{-\frac{1}{\theta}} R_{t+1}^{-\frac{1-\theta}{\theta}} + 1} (\beta R_{t+1})^{-\frac{1}{\theta}} \tag{196}$$

$$\Rightarrow S'_R \begin{cases} > 0, 0 < \theta < 1 \\ = 0, \theta = 1 \\ < 0, \theta > 1 \end{cases} \tag{197}$$

6.3 PMP of firm

A general PMP would be

$$\max_{k_t, L_t} \pi_t = Y_t - w_t L_t - R_t K_t \tag{198}$$

$$\text{Since } \pi_t = \frac{\Pi_t}{L_t}, y_t = \frac{Y_t}{L_t}, k_t = \frac{K_t}{L_t}, \frac{K_{t+1}}{L_t} = \frac{K_{t+1}}{L_{t+1}} \frac{L_{t+1}}{L_t}, s_t = \frac{S_t}{L_t} \tag{199}$$

Rearrange in form of per capita

$$\Rightarrow \max_{K_t} \pi_t = Y_t - W_t - R_t K_t \tag{200}$$

$$\Rightarrow \text{F.O.C.} \begin{cases} R_t = f'(K_t) \\ W_t = f(K_t) - K_t f'(K_t) \end{cases} \tag{201}$$

6.4 Dynamics

Looking at the motion equation of capital

$$K_{t+1} - (1-\delta)K_t = I_t = S_t = s_t L_t = s(w_t, R_{t+1})L_t \tag{202}$$

$$\Rightarrow K_{t+1} = \frac{s(w_t, R_{t+1})}{1+n} \tag{203}$$

$$\Rightarrow K_{t+1} = \frac{w_t}{(\beta^{-\frac{1}{\theta}} R_{t+1}^{-\frac{1-\theta}{\theta}} + 1)(1+n)} \text{ (using conditions from UMP and PMP)} \tag{204}$$

$$\Rightarrow K_{t+1} = \frac{f(K_t) - K_t f'(K_t)}{(\beta^{-\frac{1}{\theta}} R_{t+1}^{-\frac{1-\theta}{\theta}} + 1)(1+n)} \text{ (equation of motion of capital in OLG)} \tag{205}$$

The steady states (intertemporal equilibrium) would be

$$k_{t+1} = k_t = k^* \tag{206}$$

$$\Rightarrow k^* = \frac{s[f(k_t^*) - k_t^* f'(k_t^*), f'(k^*)]}{1+n} \tag{207}$$

$$= \frac{f(k_t^*) - k_t^* f'(k_t^*)}{(\beta^{-\frac{1}{\theta}} f'(*)^{-\frac{1-\theta}{\theta}} + 1)(1+n)} \tag{208}$$

$$\Rightarrow k_{t+1} = \frac{(1-\alpha)(k^*)^\alpha}{(\beta^{-\frac{1}{\theta}}[\alpha(k^*)^{\alpha-1}]^{-\frac{1-\theta}{\theta}} + 1)(1+n)} \text{ (capital per capita at steady state in OLG)} \tag{209}$$

$$\Rightarrow k^* = \cdot \text{ (thus we have the } k \text{ at steady state)} \tag{210}$$

e.g., For a utillity function $u = \log c_{1t} + \beta \log c_{2,t+1}$, where $\theta = 1$.

$$\Rightarrow \frac{c_{2,t+1}}{c_{1t}} = \beta k_{t+1} \tag{211}$$

$$\Rightarrow s_t = \frac{w_t}{\beta^{-\frac{1}{\theta}} R_{t+1}^{-\frac{1-\theta}{\theta}} + 1} \tag{212}$$

$$= \frac{w_t}{\beta^{-1} + 1} \tag{213}$$

$$= \frac{\beta}{1+\beta} w_t \text{ (meaning the saving is a function of wage, instead of endowment)} \tag{214}$$

$$\Rightarrow k_{t+1} = \frac{s_t}{1+n} = \frac{\beta w_t}{(1+\beta)(1+n)} \tag{215}$$

$$= \frac{\beta(1-\alpha k_t^\alpha)}{(1+\beta)(1+n)} \tag{216}$$

$$\text{steady state demands } k_{t+1} = k_t = k^* \Rightarrow k^* = \left[\frac{\beta(1-\alpha)}{(1+\beta)(1+n)}\right]^{\frac{1}{1-\alpha}} \tag{217}$$

6.5 Comparing three models so far

$$\text{Solow}\begin{cases} L_t = (1+n)L_{t-1} \\ \frac{S_t}{L_t} = s_t = sy_t = s\frac{Y_t}{L_t} \\ k_{t+1} = \frac{(1-\delta)k_t + sf(k_t)}{1+n} \end{cases} \tag{218}$$

$$\text{OLG}\begin{cases} L_t = (1+n)L_{t-1} \\ k_{t+1} = \frac{s(w_t, R_{t+1})}{1+n} = \frac{s[f(k_t) - k_t f'(k_t), f'(k_{t+1})]}{1+n} \end{cases} \tag{219}$$

$$\text{Ramsey}\begin{cases} L_t = (1+n)L_{t-1} \\ k_{t+1} = \frac{f(k_t)+c_t}{1+n} \Rightarrow 0 = F(k^*) - c^* - \rho k^* \Rightarrow F'(k_G^*) = \delta \\ \frac{u'(c_t)}{u'(c_{t+1})} = \beta[f'(k_{t+1}) + (1-\delta)] \Rightarrow 1 = \rho[F'(k^*) + (1-\delta)] \Rightarrow F'(k^*) = \rho + \delta \Rightarrow k_G^* > k^* \end{cases} \tag{220}$$

6.6 Dynamic inefficiency

Because of the micro-foundations (patience denoted as $\beta = \frac{1}{1+\rho}$) in Ramsey, there will be no over-accumulation of capital, avoiding dynamic inefficiency. Whereas in Solow model the inefficiency is inevitable. Somehow in OLG model, the dynamic inefficiency returns.

Solow

The model has key equations

$$\begin{cases} Y = F(K, L) \\ I = S = sY \\ L_{t+1} = (1+n)L_t \\ k_{t+1} = \frac{(1-\delta)k_t + sf(k_t)}{(1+n)} \iff \dot{k} = sf(k) - (n+\delta)k \end{cases} \tag{221}$$

For a certain production $y = k^a$ at steady state

use $k_{t+1} = \frac{(1-\delta)k_t + sf(k_t)}{1+n}$

$$\Rightarrow (1+n)k^* = (1-\delta)k^* + sf(k^*) \tag{222}$$

$$-(n+\delta)k^* = -sf(k^*) \tag{223}$$

$$f(k^*) - (n+\delta)k^* = (1-s)f(k^*) = c^* \tag{224}$$

$$\Rightarrow c^* = f(k^*) - (n+\delta)k^* \tag{225}$$

$$\text{To maximize welfare at steady state} \iff \max c* \iff FOC : k_g^* = (\frac{n+\delta}{\alpha})^{1-\alpha} \tag{226}$$

also at steady state

$$(1+n)k^* = (1-\delta)k^* + sf(k^*) \tag{227}$$

$$\Rightarrow k^* = (\frac{n+\delta}{s})^{1-\alpha} \tag{228}$$

for certain α and s it could be

$$\Rightarrow k^* < k_g^* \tag{229}$$

meaning there is possible dynamic inefficiency in Solow model

Ramsey

Ramsey has no dynamic inefficiency, here's why

The model has three key equations

$$\begin{cases} L_t = (1+n)L_{t-1} \\ k_{t+1} - (1-\delta)k_t = f(k_t) - c_t \\ \frac{u'(c_t)}{u'(c_{t+1})} = \beta[f'(k_{t+1}) + (1-\delta)] \end{cases} \tag{230}$$

Put $k_{t+1} - (1-\delta)k_t = f(k_t) - c_t$ at steady state

$$c^* = f(k^*) - k^* + (1-\delta)k^* = f(k^*) - \delta k^* \tag{231}$$

$$\text{To maxmize welfare at steady state} \Rightarrow \text{FOC: } f'(k_G^*) = \delta \tag{232}$$

Put $\frac{u'(c_t)}{u'(c_{t+1})} = \beta[f'(k_{t+1}) + (1-\delta)]$ at steady state resulting

$$\Rightarrow 1 = \beta[f'(k^*) + (1-\delta)] = \frac{1}{1+\rho}[f'(k^*) + (1-\delta)] \tag{233}$$

$$\Rightarrow 1 + \rho = f'(k^*) + 1 - \delta \tag{234}$$

$$\Rightarrow f'(k^*) = \rho + \delta < f'(k_g^*) \tag{235}$$

$$\Rightarrow k_G^* > k^* \tag{236}$$

Capital per capita at steady state is lower than k_{gold}, meaning it is dynamic efficient.

OLG

OLG in central planner form:

$$\begin{aligned} &\max \sum_{t=0}^{\infty} (\beta_s)^t L_t[u(c_{1t}) + \beta u(c_{2,t+1})] \text{ (β_s is the discount factor)} \\ &s.t.\ c_{1t} + \frac{c_{2t}}{1+n} + (1+n)k_{t+1} = f(k_t) \end{aligned} \tag{237}$$

Equation of motion of capital per capita at the steady states

$$c^* \equiv c_1^* + \frac{c_2^*}{1+n} = f(k^*) - (1+n)k^* \tag{238}$$

Since we are maximizing welfare at steady state, let $\frac{\partial c^*}{\partial k^*} = 0$ to acquire first order condition

$$\Rightarrow f'(k_G^*) = 1 + n \tag{239}$$

using production function $y = k^\alpha$ at equilibrium

$$f'(k^*) = \alpha(k^*)^{\alpha-1} \tag{240}$$

$$= \alpha\{[\frac{\beta(1-\alpha)}{(1+\beta)(1+n)}]^{\frac{1}{1-\alpha}}\}^{\alpha-1} \tag{241}$$

$$= \frac{\alpha}{1-\alpha}\frac{1+\beta}{\beta}(1+n) \tag{242}$$

for certain value of α

$$f'(k^*) < 1 + n \tag{243}$$
$$\Rightarrow f'(k^*) < f'(k_G^*) \tag{244}$$
$$\Rightarrow k^* > k_G^* \tag{245}$$

Meaning there can be over-accumulation of capital $\iff$ suffices dynamic inefficiency possible in OLG model.

Conclusion

- Due to ad hoc given s, Solow model is unable to assure dynamic efficiency.
- Due to endogenous saving decision and discount factor β, Ramsey model is able to achieve dynamic efficiency.
- Due to limited life span of individuals, OLG model fails to achieve dynamic efficiency.

6.7 Population, pensions, and public debt

Planned section. Extend the two-generation benchmark to population change, pension arrangements, and government debt. State the conditions for dynamic inefficiency before comparing intergenerational transfers.

7 Endogenous Growth and Resource Allocation

Planned chapter.

7.1 The AK benchmark and human capital

Ask when reproducible factors can sustain growth without exogenous technological progress. Compare the roles of returns to capital and human-capital accumulation.

7.2 Ideas, innovation, and incentives

Introduce nonrival ideas and incentives to innovate. Separate the private return to innovation from its social return and discuss the policy implications.

7.3 Allocation and aggregate productivity

Explain how differences in productivity and financing conditions affect the allocation of capital. Connect allocation to aggregate output and growth.

Part III
Fluctuations

How do shocks change production, spending, employment, and prices? We begin with a real benchmark, introduce nominal rigidities, and then examine labor-market adjustment. Part V adds financial and distributional mechanisms and develops the policy comparison.

8 Real Business Cycle Model

Originated from Kyland and Prescott (1982), Long and Plosser (1983), RBC model shows great empirical importance. A standard RBC model[13] is in nature a Ramsey model with

- Endogenous (but constant in the long run, i.e. $n = 0$) labor supply
- Stochastic productivity (i.e. real shocks)

Note 2 (Two principles of the RBC theory of business cycles)**.** *1. Money is of little importance in business cycles.*

2. Business cycles are created by rational agents responding optimally to real (not nominal) shocks - mostly fluctuations in productivity growth, but also fluctuations in government purchases, import prices, or preferences.

8.1 UMP of household

A typical household entails product-consuming for C_t and labor-providing for N_t. Only in this model, the agent value leisure $L_t = 1 - N_t$.

The UMP in RBC model is

$$\max_{C_t, N_t, B_t} E_t \sum_{t=0}^{\infty} \beta^t u(C_t, N_t) \tag{246}$$

$$s.t.\ P_t C_t + Q_t B_t \leqslant B_{t-1} + W_t N_t + D_t, \text{ where } \begin{cases} \beta \in (0,1) \\ Q_t = \frac{1}{1+i_t} \text{ is the price per bond bought today} \end{cases} \tag{247}$$

Form a Lagrangian and acquire FOCs

$$\mathscr{L} = E_0 \sum_{t=0}^{\infty} \beta^t [u(C_t, N_t) + \lambda_t (P_t C_t + Q_t B_t - B_{t-1} - W_t N_t - D_t)] \tag{248}$$

$$\Rightarrow \begin{cases} \frac{\partial \mathscr{L}}{\partial C_t} = 0 \Rightarrow \beta^t [u_{C_t} - \lambda_t P_t] = 0 \Rightarrow \frac{u_{C_t}}{E_t U_{c,t+1}} = \frac{\lambda_t}{E_t \lambda_{t+1}} \cdot \frac{P_t}{E_t P_{t+1}} \\ \frac{\partial \mathscr{L}}{\partial N_t} = 0 \Rightarrow \beta^t [u_{N_t} + \lambda_t W_t] = 0 \\ \frac{\partial \mathscr{L}}{\partial B_t} = 0 \Rightarrow -\lambda_t Q_t \beta^t + E_t \lambda_{t+1} \beta^{t+1} = 0 \Rightarrow \beta \frac{E_t \lambda_{t+1}}{\lambda_t} = Q_t \Rightarrow \frac{1}{Q_t} = 1 + i_t \end{cases} \tag{249}$$

using these FOCs

$$\begin{cases} \beta^t [u_{C_t} - \lambda_t P_t] = 0 \\ \beta^t [u_{N_t} + \lambda_t W_t] = 0 \end{cases} \Rightarrow \text{Labor supply equation} - \frac{u_{N_t}}{u_{C_t}} = \frac{W_t}{P_t} \tag{250}$$

$$\text{Also} \begin{cases} \frac{u_{C_t}}{E_t U_{c,t+1}} = \frac{\lambda_t}{E_t \lambda_{t+1}} \cdot \frac{P_t}{E_t P_{t+1}} \\ \beta \frac{E_t \lambda_{t+1}}{\lambda_t} = Q_t \end{cases} \Rightarrow \text{Euler's equation } \frac{Q_t}{\beta} = E_t \cdot \frac{\frac{U_{c,t+1}}{P_{t+1}}}{\frac{U_{c,t}}{P_t}} \tag{251}$$

[13] For a sound review over the topic of RBC, see Rebelo Sergio. 2005. "Real Business Cycle Models: Past, Present, and Future." The Scandinavian Journal of Economics.

e.g. Let utility function be specific

$$u(C_t, N_t) = \begin{cases} \frac{c_t^{1-\sigma}-1}{1-\sigma} - \frac{N_t^{1+\varphi}}{1+\varphi}, \sigma \neq 1 \\ \log C_t - \frac{N_t^{1+\varphi}}{1+\varphi}, \sigma = 1 \end{cases} \tag{252}$$

$$\Rightarrow \begin{cases} \frac{W_t}{P_t} = C_t^{\sigma} N_t^{\varphi} \\ Q_t = \beta E_t \cdot (\frac{C_{t+1}}{C_t})^{-\sigma} \cdot \frac{P_t}{P_{t+1}} \end{cases} \tag{253}$$

8.2 PMP of firm

$$\min_{N_t} W_t N_t \Leftrightarrow \max_{Y_t} P_t Y_t - W_t N_t \tag{254}$$

$$s.t. Y_t = A_t K_t^{\alpha} N_t^{1-\alpha}, \alpha \in [0,1) \tag{255}$$

$$\text{where } \begin{cases} Y_t = A_t W_t^{1-\alpha} \\ A_t = A_{t-1}^{\rho\alpha} \epsilon_t^{\alpha}, \epsilon_t^{\alpha} \overset{iid}{\sim} N(0, \sigma_{\alpha}^{\epsilon}) \text{ (technology shocks)} \end{cases} \tag{256}$$

$$\Rightarrow \text{F.O.C.: } \frac{W_t}{P_t} = (1-\alpha) A_t N_t^{-\alpha} \text{ (labor demand equation)} \tag{257}$$

8.3 Economy described by RBC

The whole economy system is described as the balance of demand and supply

$$\text{AS} \begin{cases} Y_t = A_t N_t^{1-\alpha} \text{ (total production function)}, A_t = A_{t-1}^{\rho a} e^{\epsilon_t^a} \text{ (technology shocks)} \\ \frac{W_t}{P_t} = C_t^{\sigma} N_t^{\varphi} \text{ (labor supply from UMP)} \\ \frac{w_t}{P_t} = (1-\alpha) A_t N_t^{-\alpha} \text{ (labor demand from PMP)} \end{cases} \tag{258}$$

$$\text{AD} \begin{cases} Y_t = C_t + I_t \text{ (accouting equation)} \\ Q_t = \beta E_t (\frac{C_{t+1}}{C_t})^{-a} \frac{P_t}{P_{t+1}} \text{ (Euler equation from UMP)} \\ \frac{M_t}{P_t} = \frac{Y_t}{Q_t^{-n}} \text{ (demand of liquidity)} \end{cases} \tag{259}$$

8.4 Log-linearization

Two methods we can transform. 1) The first is

$$\hat{x}_t = \ln x_t - \ln x^* \tag{260}$$
$$= \ln|\frac{x_t}{x^*}| \tag{261}$$
$$= \ln|1 + \frac{x_t - x^*}{x^*}| \text{ (percentage of deviation from stable state)} \tag{262}$$
$$\approx \ln|1 + \frac{1}{x^*}(x_t - x^*)| \tag{263}$$
$$= \frac{x_t - x^*}{x^*} \tag{264}$$

2) Another approach would be

$$\ln x^* = lnx_t - \tilde{x_t} \Rightarrow \ln x_t = lnx^* + \tilde{x_t} \tag{265}$$
$$\Rightarrow e^{\ln x_t} = x_t = e^{nx^* + \tilde{x_t}} = x^* e^{\hat{x_t}} \approx x^*(1 + \hat{x}_t) \tag{266}$$

Now we turn to the linearization of RBC model

$$\begin{cases} y_t = a_t + (1-\alpha)n_t \\ y = a + (1-\alpha)n \end{cases} \Rightarrow \hat{y}_t = \hat{a}_t + (1-\alpha)\hat{n}_t \tag{267}$$

$$\Rightarrow \begin{cases} \hat{w}_t - \hat{p}_t = \hat{a}_t + (1-\alpha)\hat{n}_t \\ \hat{w}_t - \hat{p}_t = a\hat{c}_t + \rho\hat{n}_t \end{cases} \Rightarrow \hat{y}_t = \hat{c}_t,\ m_t - \hat{p}_t = \hat{y}_t - \hat{n}_{it} \tag{268}$$

$$Y_t = C_t + I_t \tag{269}$$
$$Y \cdot e^{\hat{y}_t} = C \cdot e^{\hat{c}_t} + I \cdot e^{\hat{i}_t} \tag{270}$$
$$Y(1 + \hat{y}_t) = C(1 + \hat{c}_t) + I(1 + \hat{i}_t) \tag{271}$$
$$\hat{y}_t = \frac{C}{Y}\hat{c}_t + \frac{I}{Y}\hat{i}_t \tag{272}$$
$$a_t = \rho_t a_{t-1} + \epsilon_t^a \tag{273}$$
$$1 = E_t e^{\ln\beta + + \ln\frac{1}{Q_t} - a(c_{t+1} - c_t) - (P_{t+1} - P_t)} \tag{274}$$
$$1 = E_t e^{\ln\beta + + \ln\frac{1}{Q_t} - a\triangle c_{t+1} - \pi_{t+1}} \tag{275}$$
$$1 = E_t I[1 + (i_t - i) - a(\triangle c_{t+1} - \triangle c_t] - (\pi_{t+1} - \pi_t)] \tag{276}$$

Therefore a RBC model can be rewritten in linearized log equations

$$\text{AS:}\begin{cases}\hat{y}_t = a_t + (1-\alpha)\hat{n}_t \text{ (output)}\\ \hat{w}_t - \hat{p}_t = a_t - \alpha\hat{n}_t \text{ (labor demand)}\\ \hat{w}_t - \hat{p}_t = ac_t + \varphi\hat{n}_t \text{ (labor supply)}\\ \hat{a}_t = \rho_a\hat{a}_{t-1} + \epsilon_t^a \text{ (technology)}\end{cases} \tag{277}$$

$$\text{AD:}\begin{cases}\hat{y}_t = \hat{c}_t \text{ (product market clearing)}\\ \hat{c}_t = E_t\hat{c}_{t+1} - \frac{1}{a}(\hat{i}_t - E_t\hat{\pi}_{t+1})\\ \hat{m}_t - \hat{p}_t = \hat{y}_t - \eta\cdot\hat{i}_t \text{ (money demand equation; } \eta \text{ is interest rate elasticity)}\\ \hat{r}_t = i_t - E_t\hat{\pi}_{t+1} \text{ (Fisherian equation)}\end{cases} \tag{278}$$

Note 3 (Exceptation for Expectation)**.** *Notice this method does not apply to equations involving expectations.*

Note 4 (RBC has neutrality of money)**.** *The final answer of this standard RBC model is not relevant to any price variable, inferring the model being money-neutral.*

8.5 Capital accumulation and investment

Planned section. Extend the current fixed-capital benchmark to endogenous capital accumulation. Derive investment dynamics and distinguish the simplified benchmark from a full RBC model with a changing capital stock.

9 New Keynesian Model

DNK is short for Dynamic New Keynesian[14]
This New keynesian Model contains elements being

- dispersive economy, a continuum of agents
- perfect information
- rational expectations, i.e. $E_t(X_{t+1}) = E(X_{t+1}|I_t)$
- perfect competitive labor market
- monopolisitc competitive product market, heterogenous products, nominal rigidities

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9.1 UMP of household

Two stages of optimization

Goal of UMP is to acquire DIS, which represents demand. Household face two stages of optimization. Since goods are heterogenous, UMP begins by choosing items $i \in I$.

Stage I: choosing goods

One way to choose products is by method of maximization.

$$\begin{aligned} &\max_{C_{it}}(\int_0^1 C_{it}^{\frac{\epsilon-1}{\epsilon}} di)^{\frac{\epsilon}{\epsilon-1}} \\ &s.t. \int_0^1 P_{it}C_{it}di \leqslant Z_t \end{aligned} \tag{279}$$

, in which the ϵ stands for current substitute elasticity and $\frac{\epsilon-1}{\epsilon}$ is contemporaneous elasticity of substitution. And Z_t stands for endowment.

The other way to choose products is by method of minimization. In this case Lagrangian multiplier could be shadow price.

$$\begin{aligned} &\min \int_0^1 P_{it}C_{it}di \\ &s.t.(\int_0^1 C_{it}^{\frac{\epsilon-1}{\epsilon}} di)^{\frac{\epsilon}{\epsilon-1}} \geqslant C_t \end{aligned} \tag{280}$$

Form a Lagrangian, we would have

$$\mathop{\mathscr{L}}_{\{C_{it}\}} = \int_0^1 P_{it}C_{it}di + P_t[(\int_0^1 C_{it}^{\frac{\epsilon-1}{\epsilon}} di)^{\frac{\epsilon}{\epsilon-1}} - C_t] \tag{281}$$

$$\Rightarrow P_{it} = P_t \frac{\epsilon}{\epsilon-1}((\int_0^1 C_{it}^{\frac{\epsilon-1}{\epsilon}} di)^{\frac{\epsilon}{\epsilon-1}-1}) \frac{\epsilon-1}{\epsilon} C_{it}^{\frac{\epsilon-1}{\epsilon}-1} \tag{282}$$

$$\Rightarrow P_{it} = P_t[(\int_0^1 C_{it}^{\frac{\epsilon-1}{\epsilon}} di)^{\frac{\epsilon}{\epsilon-1}})^{\frac{1}{\epsilon}}] C_{it}^{\frac{-1}{\epsilon}} \tag{283}$$

$$\Rightarrow \frac{P_{it}}{P_t} = (\frac{C_{it}}{C_t})^{\frac{-1}{\epsilon}} \tag{284}$$

$$\Rightarrow C_{it} = (\frac{P_{it}}{P_t})^{-\epsilon} C_t \text{ (the demand curve)} \tag{285}$$

[14]This chapter is mainly based on the Gali, 2015.

From $\int_0^1 P_{it}C_{it}di = P_tC_t$ we have

$$\Rightarrow \int_0^1 P_{it}(\frac{P_{it}}{P_t})^{-\epsilon}C_t di = P_tC_t \tag{286}$$

$$\Rightarrow \int_0^1 P_{it}(\frac{P_{it}}{P_t})^{-\epsilon} di = P_t \tag{287}$$

$$\Rightarrow P_t = (\int_0^1 P_{it}^{1-\epsilon}di)^{\frac{1}{1-\epsilon}} \text{ (the expression of total price level)} \tag{288}$$

Apparently $\begin{cases} \max\limits_{C_{it}} (\frac{1}{I}\sum\limits_{i=1}^{I} C_{it}^{\frac{1}{1+n_t}})^{1+n_t} = C_t \\ s.t. \sum\limits_{i=1}^{I} P_{it}C_{it} \leqslant Z_t \end{cases}$ and $\begin{cases} \min\limits_{C_{it}} \sum\limits_{i=1}^{I} P_{it}C_{it} \\ s.t. (\frac{1}{I}\sum\limits_{i=1}^{I} C_{it}^{\frac{1}{1+n_t}})^{1+n_t}) \geqslant C_t \end{cases}$ are the same. But as mentioned before, the minimization approach is commonly prefered.

Using either approach, we can conduct the result that demand curve and expression of total price level being

$$C_{it} = (I \cdot \frac{P_{it}}{P_t})^{\frac{1+n_t}{-\wedge_t}} C_t \tag{289}$$

$$P_t = I(\frac{1}{I}\sum_{i=1}^{I} P_{it}^{\frac{1}{-\wedge_t}})^{-\wedge_t} \tag{290}$$

After picking products, we enter stage II, UMP at period t

$$\begin{aligned} &\max_{C_t, N_t, \frac{M_t}{P_t}} E_0 \sum_{t=0}^{\infty} \beta^t u\left(C_t, N_t, \frac{M_t}{P_t}\right) \leftarrow \text{(MIU)} \\ &s.t. \int_0^1 P_{it}C_{it}di + M_t + B_t \leqslant M_{t-1} + (1+i_{t-1})B_{t-1} + \int_o^1 W_{it}N_{it}di + T_t \end{aligned} \tag{291}$$

constraint of this UMP can be rewritten as

$$\begin{aligned} &\max_{C_t, N_t, \frac{M_t}{P_t}} E_0 \sum_{t=0}^{\infty} \beta^t u\left(C_t, N_t, \frac{M_t}{P_t}\right) \\ &s.t.\ P_tC_t + M_t + B_t \leqslant M_{t-1} + (1+i_{t-1})B_{t-1} + W_tN_t + T_t \end{aligned} \tag{292}$$

Note 5 (Subscript it and t)**.** $C_{it} \neq C_t \Leftrightarrow$ *Monopolistic competitive goods market;* $N_{it} = N_t \Leftrightarrow$ *Perfect competitve labor market*

Form the Lagrangian

$$\mathscr{L} = E_0 \sum_{t=0}^{\infty} \beta^t \{u(C_t, N_t, \frac{M_t}{P_t}) + \lambda_t[P_tC_t + M_t + B_t - M_{t-1} - (1+i_{t-1})B_{t-1} - W_tN_t + T_t]\} \tag{293}$$

Solving this will deliver the F.O.C.s., resulting

$$\Rightarrow \begin{cases} Q_t = \beta E_t \cdot (\frac{u_{C,t+1}}{u_{C,t}} \frac{P_t}{P_{t+1}}) \\ \frac{W_t}{P_t} = -\frac{u_{N_t}}{U_{C_t}} \\ 1 - Q_t = u_{\frac{M_t}{P_t}} \end{cases} \tag{294}$$

This result is basically same as in RBC model with one more equation since money is added to the utility function.

Linearization

Linearization specificly focusing on the third equation of the second equation, as the other two are identical in RBC model's linearization.

$$1 - \frac{1}{1+i_t} = C_t^{\sigma}(\frac{M_t}{P_t})^{-\nu} \text{ (using } Q_t\text{'s defintion)} \tag{295}$$

$$\Rightarrow \frac{i_t}{1+i_t} = C_t^{\sigma}(\frac{M_t}{P_t})^{-\nu} \tag{296}$$

Taking logs

$$\log \frac{i_t}{1+i_t} = \sigma c_t - \nu(m_t - p_t) \text{ (hereafter a lowercase letter } x \text{ denotes } \log x) \tag{297}$$

$$\log \frac{i}{1+i} = \sigma c - \nu(m - p) \tag{298}$$

$$\Rightarrow \log(\frac{i_t}{1+i_t}) - \log(\frac{i}{1+i}) = \sigma \hat{c}_t - \nu(m_t - \hat{p}_t) \tag{299}$$

$$\Rightarrow \nu(m_t - \hat{p}_t) = \sigma \hat{c}_t + \log(\frac{1+i_t}{i_t}) - \log(\frac{1+i}{i}) \tag{300}$$

$$\Rightarrow \nu(m_t - \hat{p}_t) = \sigma \hat{c}_t + [\log \frac{(\frac{1+i}{i}) + 1}{\frac{1+i}{i}} \frac{i - (1+i)}{i^2}(i_t - i) - \log(\frac{1+i}{i})] \tag{301}$$

$$\Rightarrow \nu(m_t - \hat{p}_t) = \sigma \hat{c}_t + \frac{i}{i+1}\frac{i-(1+i)}{i}\frac{i_t - i}{i} \tag{302}$$

$$\Rightarrow \nu(m_t - \hat{p}_t) = \sigma \hat{c}_t - \frac{1}{1+i}\hat{i}_t \tag{303}$$

$$\Rightarrow m_t - \hat{p}_t = \frac{\sigma}{\nu}\hat{c}_t - \frac{1}{(1+i)\nu}\hat{i}_t \tag{304}$$

$$\Rightarrow m_t - \hat{p}_t = \hat{c}_t - \eta\hat{i}_t \tag{305}$$

Note 6 (Must-be in exam: monopolistic competition vs perfect competition)**.** *Zero market power to finite market power, meaning infinite elasticiy to non-zero positive elasticity.*

9.2 PMP of firm

Note 7 (Two features DNK firm has)**.** *Monopolistic competitive goods market and stikcy price.*

9.2.1 Price-setting behavioral equation

We first use PMP to acquire price-setting equation then linearize it. Next we use price-setting equation to derive NKPC.

PMP and price-setting behavioral equation

Set base period on the intial period $t = 0$ for simplicity

$$\max_{P_{i0}} \pi_0^n = E_0 \sum_{t=0}^{\infty} Q_{0,t} \cdot (1-\theta)^t \{P_{i0} Y_{it|0} - [TC_{it|0}^n(Y_{it|0})]\}$$
$$s.t.\ Y_{it|0} = (\frac{P_{i0}}{P_t})^{-\epsilon} Y_t \text{ (since } C_t = Y_t \text{ at equilbrium, the constraint is essentially demand curve)} \tag{306}$$

$|0$ means evaluated at prices from period 0
Y_{it} is total sales of firm i at period t
TC is a function of nominal total cost
$Q_{0,t}$ means discount rate from period 0 to period t
θ means the probability of price adjusting, therefore $1-\theta$ means the probablity to stay put. It's sticky price. [15]

Solving the PMP by putting demand curve into profit function, it would be

$$\pi_0^n = E_0 \sum_{t=0}^{\infty} Q_{0,t} \cdot (1-\theta)^t \{P_{i0} (\frac{P_{i0}}{P_t})^{-\epsilon} Y_t - [TC_{it|0}^n((\frac{P_{i0}}{P_t})^{-\epsilon} Y_t)]\} \tag{307}$$

then let the F.O.C. be 0 (fig 1,2)

$$\frac{\partial \pi_0^n}{\partial P_{i0}} = 0 \tag{308}$$

$$\Rightarrow E_0 \sum_{t=0}^{\infty} Q_{0,t} \cdot (1-\theta)^t \{(1-\theta)(\frac{P_{i0}}{P_t})^{-\epsilon} Y_t - [\frac{\partial TC_{it|0}^n}{\partial P_{it|0}} \frac{\partial P_{it|0}}{\partial P_{i0}}] = 0 \tag{309}$$

$$\Rightarrow E_0 \sum_{t=0}^{\infty} (1-\theta)^t Q_{0,t} [(1-\epsilon)(\frac{P_{i0}}{P_t})^{-\epsilon} Y_t - MC_{it|0}^n(-\epsilon)(\frac{P_{i0}}{P_t})^{-\epsilon-1} Y_t \frac{1}{P_t}] = 0 \tag{310}$$

$$\Rightarrow E_0 \sum_{t=0}^{\infty} (1-\theta)^t Q_{0,t} [(1-\epsilon) Y_t - MC_{it|0}^n(-\epsilon)(\frac{P_{i0}}{P_t})^{-\epsilon-1} Y_t \frac{1}{P_t}] = 0 \tag{311}$$

$$\Rightarrow E_0 \sum_{t=0}^{\infty} (1-\theta)^t Q_{0,t} [(1-\epsilon) Y_{it|0} + \frac{\epsilon}{P_t} MC_{it|0}^n (\frac{P_{i0}}{P_t})^{-1}] = 0 \tag{312}$$

$$\Rightarrow E_0 \sum_{t=0}^{\infty} (1-\theta)^t Q_{0,t} Y_{it|0} [(1-\epsilon) + \epsilon MC_{it|0}^n \cdot (P_{i0})^{-1}] = 0 \tag{313}$$

$$\Rightarrow E_0 \sum_{t=0}^{\infty} (1-\theta)^t \cdot Q_{0,t} \cdot Y_{it|0} \cdot (1-\epsilon) = -E_0 \sum_{t=0}^{\infty} (1-\theta)^t \cdot Q_{0,t} \cdot Y_{it|0} \cdot \epsilon \cdot MC_{it|0}^n \cdot (P_{i0})^{-1} \tag{314}$$

$$\Rightarrow (1-\epsilon) E_0 \sum_{t=0}^{\infty} (1-\theta)^t \cdot Q_{0,t} \cdot Y_{it|0} = -\epsilon (P_{i0})^{-1} E_0 \sum_{t=0}^{\infty} (1-\theta)^t \cdot Q_{0,t} \cdot Y_{it|0} \cdot MC_{it|0}^n \tag{315}$$

restore Q_{0t} and $Y_{it|0}$ back to demand curve

$$\Rightarrow (\epsilon-1) E_0 \sum_{t=0}^{\infty} (1-\theta)^t \beta^t [(\frac{Y_0}{Y_t})^{\rho} \frac{P_0}{P_t}](\frac{P_{i0}}{P_t})^{-\epsilon} Y_t = (P_{i0})^{-1} E_0 \sum_{t=0}^{\infty} (1-\theta)^t \beta^t [(\frac{Y_0}{Y_t})^{\rho} \frac{P_0}{P_t}](\frac{P_{i0}}{P_t})^{-\epsilon} Y_t \cdot MC_{it|0}^n \tag{316}$$

[15] For more of price adjusting, see in Calvo, 1983 for uncertain version; Taylor, 1980 for certain version.

take P_{i0} and P_0 out since it can be treated as constants

$$\Rightarrow (\epsilon-1)\underline{P_{i0}^{-\epsilon}P_0Y_o^{\sigma}}E_0\sum_{t=0}^{\infty}(1-\theta)^t\beta^tP_t^{\epsilon-1}Y_t^{1-\rho}=\epsilon\underline{P_{i0}^{-1}P_{i0}^{-\epsilon}P_0Y_0^{\rho}}E_0\sum_{t=0}^{\infty}(1-\theta)^t\beta^tP_t^{\epsilon-1}Y_t^{1-\sigma}\cdot MC_{it|0}^n \tag{317}$$

eliminates the underlined common factors on RH and LH

$$\Rightarrow (\epsilon-1)E_0\sum_{t=0}^{\infty}(1-\theta)^t\beta^tP_t^{\epsilon-1}Y_t^{1-\rho}=\epsilon E_0\sum_{t=0}^{\infty}(1-\theta)^t\beta^tP_t^{\epsilon-1}Y_t^{1-\sigma}\cdot MC_{it|0}^n \tag{318}$$

$$\Rightarrow P_{i0}^*=\frac{\epsilon}{\epsilon-1}\frac{E_0\sum\limits_{t=0}^{\infty}(1-\theta)^t\beta^tP_t^{\epsilon-1}Y_t^{1-\sigma}\cdot MC_{it|0}^n}{E_0\sum\limits_{t=0}^{\infty}(1-\theta)^t\beta^tP_t^{\epsilon-1}Y_t^{1-\sigma}}\text{ (sticky price form price-setting equation)} \tag{319}$$

Also acquiring optimal price p^*, and $\frac{\epsilon}{\epsilon-1}$ is cost mutltiplier

$$\Rightarrow P_{i0}^*=P_0^*=\frac{\epsilon}{\epsilon-1}\frac{[(1-\epsilon)\beta]^0P_o^{\epsilon-1}Y_0^{1-\sigma}MC_{0|0}^n}{(1-\theta)^0\beta^0P_0^{\epsilon-1}Y_0^{1-\sigma}}=\frac{\epsilon}{\epsilon-1}MC_{0|0}^n\text{ (elastic form price-setting equation)} \tag{320}$$

For elastic form, the intuition is that firms are adjusting price at any time so there is no need to observe profit based on any specific period. So no summation symbol.

Question 1 (what if price is elastic?)**.**

elasticity means adjusting price at all time. it means price sticky price is $0 \Leftrightarrow 1-\theta=0$.

Note 8. *monopolistic competition and elasticity are not the same thing*

next try the period-t-based version in textbook (pic 3)

$$P_t^*=\frac{\epsilon}{\epsilon-1}\frac{E_t\sum\limits_{k=0}^{\infty}(1-\theta)^k\beta^{t+k}P_{t+k}^{\epsilon-1}Y_{t+k}^{1-\sigma}\cdot MC_{t+k|t}^n}{E_t\sum\limits_{k=0}^{\infty}(1-\theta)^k\beta^tP_{t+k}^{\epsilon-1}Y_{t+k}^{1-\sigma}} \tag{321}$$

(here the subscript i is gone because all firms are making unanimous decisions)

$$P_t^*=\frac{\epsilon}{\epsilon-1}MC_{t|t}^n \tag{322}$$

Note 9 (CRTS in DNK)**.** *if production function is CRTS, then all firms would also be making unanimous decisions regardless of time period position*

log-linearization of sticky price form price-setting behavioral equation
the method is still first order Taylor expansion, though bit trickier (pic 3, 4, 5)

dividing P_{t-1} on both side, and try seperately

$$\underbrace{\frac{P_t^*}{P_{t-1}} E_t \sum_{k=0}^{\infty} (1-\theta)^k \beta^t P_{t+k}^{\epsilon-1} Y_{t+k}^{1-\sigma}}_{\text{LHS}} = \underbrace{\frac{1}{P_{t-1}} \frac{\epsilon}{\epsilon-1} E_t \sum_{k=0}^{\infty} (1-\theta)^k \beta^{t+k} P_{t+k}^{\epsilon-1} Y_{t+k}^{1-\sigma} \cdot MC_{t+k|t}^n}_{\text{RHS}} \tag{323}$$

LHS mutil-variate first order Taylor expansion, the constant term is LHS at steady state where all P are equal

$$\begin{aligned}
\text{LHS's 1st order Taylor expansion} = & \sum_{k=0}^{\infty} [(1-\theta)\beta]^k P^{\epsilon-1} Y^{1-\sigma} \\
& + \frac{1}{p} E_t \sum_{k=0}^{\infty} [(1-\theta)\beta]^k P^{\epsilon} Y^{1-\sigma} (\frac{P_t^* - P}{P}) \\
& - \frac{P}{P^2} E_t \sum_{k=0}^{\infty} [(1-\theta)\beta]^k P^{\epsilon-1} Y^{1-\sigma} (\frac{P_{t-1} - P}{P}) \\
& + (\epsilon-1) E_t \sum_{k=0}^{\infty} [(1-\theta)\beta]^k P^{\epsilon-1} Y^{1-\sigma} (\frac{P_{t+k} - P}{P}) \\
& + (1-\sigma) E_t \sum_{k=0}^{\infty} [(1-\theta)\beta]^k P^{\epsilon-1} Y^{1-\sigma} (\frac{Y_{t+k} - Y}{Y})
\end{aligned} \tag{324}$$

Like before, we use lowercase letters denotes log version

$$\Rightarrow \text{LHS} = P^{\epsilon-1} Y^{1-\sigma} E_t \sum_{k=0}^{\infty} [(1-\theta)\beta]^k P^{\epsilon-1} Y^{1-\sigma} [1 + \hat{p}_t^* - \hat{p}_{t-1} + (\epsilon-1)\hat{p}_{t+k} + (1-\sigma)\hat{y}_{t+k}] \tag{325}$$

For RHS,

$$\text{RHS} = \cdots = \frac{\epsilon}{\epsilon-1} \frac{1}{P} P^{\epsilon-1} Y^{1-\sigma} E_t \sum_{k=0}^{\infty} [(1-\theta)\beta]^k P^{\epsilon-1} Y^{1-\sigma} [1 - \hat{p}_{t-1} + (\epsilon-1)\hat{p}_{t+k} + (1-\sigma)\hat{y}_{t+k} + \hat{mc}_{t+k|t}^n] \tag{326}$$

Note 10 (First order Taylor expansion and steady state)**.** *First term (constant term) of 1st Taylor expansion is steady state*

Question 2 (why do we do log-linearization)**.**

to simulate a curve with a line, so there would be a foundable or writable solution.

Now the two sides are log-linearized, let them be in the same equation

$$\underbrace{P^{\epsilon-1} Y^{1-\sigma} E_t \sum_{k=0}^{\infty} [(1-\theta)\beta]^k P^{\epsilon-1} Y^{1-\sigma} [1 + \hat{p}_t^* - \hat{p}_{t-1} + (\epsilon-1)\hat{p}_{t+k} + (1-\sigma)\hat{y}_{t+k}]}_{\text{log-linear LHS}} = \tag{327}$$

$$\underbrace{\frac{\epsilon}{\epsilon-1} \frac{1}{P} P^{\epsilon-1} Y^{1-\sigma} E_t \sum_{k=0}^{\infty} [(1-\theta)\beta]^k P^{\epsilon-1} Y^{1-\sigma} [1 - \hat{p}_{t-1} + (\epsilon-1)\hat{p}_{t+k} + (1-\sigma)\hat{y}_{t+k} + \hat{mc}_{t+k|t}^n]}_{\text{log-linear RHS}} \tag{328}$$

Use sticky form price-setting equation at steady state (which because of steadiness looks like elastic form), we have

$$\frac{MC^n}{P} = \frac{\epsilon - 1}{\epsilon} \tag{329}$$

Since E_t is followed by an infinite series, it is meaningless. Eliminate it.

$$\Rightarrow \hat{p}_t^* \cancel{E_t} \sum_{k=0}^{\infty} [(1-\theta)\beta]^k = E_t \sum_{k=0}^{\infty} [(1-\theta)\beta]^k \hat{mc}_{t+k|t}^n \tag{330}$$

$$\Rightarrow \frac{\hat{p}_t^*}{1-(1-\theta)\beta} = E_t \sum_{k=0}^{\infty} [(1-\theta)\beta]^k MC_{t+k|t}^n \tag{331}$$

$$\Rightarrow \hat{p}_t^* = [1-(1-\theta)\beta] E_t \sum_{k=0}^{\infty} [(1-\theta)\beta]^k \hat{mc}_{t+k|t}^n \text{ (log-linear sticky price setting equation)} \tag{332}$$

Therefore we have the log-linear optimal-price-setting equation for monopolistic competition and sticky price features firms.

9.2.2 Philips curve

First way to acquire Philips curve
next we use this log-linearized price-setting equation to acquire NK Philips curve
originally PC is about inflation and employment
step I, inflation (p7,8,9)

$$P_t = I(\frac{1}{I}\sum_{i=1}^{I} P_{it}^{\frac{1}{-\wedge_t}})^{-\wedge_t} \text{ (expression of total price)} \tag{333}$$

$$= [\int_0^{\theta} (P_{it}^*)^{1-\epsilon} di + \int_{\theta}^{1} P_{t-1}^{1-\epsilon} di]^{\frac{1}{1-\epsilon}} \text{ (θ portion of firms don't adjust price)} \tag{334}$$

$$= [\theta (P_{it}^*)^{1-\epsilon} + (1-\theta) P_{t-1}^{1-\epsilon}]^{\frac{1}{1-\epsilon}} \text{ (expression of total price with θ firms adjusting price)} \tag{335}$$

$$\Rightarrow P_t^{1-\epsilon} = \theta (P_{it}^*)^{1-\epsilon} + (1-\theta) P_{t-1}^{1-\epsilon} \tag{336}$$

$$\Rightarrow (\frac{P_t}{P_{t-1}})^{1-\epsilon} = \theta (\frac{P_t^*}{P_{t-1}})^{1-\epsilon} + (1-\theta) \tag{337}$$

$$\Rightarrow \Pi^{1-\epsilon} = \theta (\frac{P_t^*}{P_{t-1}})^{1-\epsilon} + (1-\theta) \text{ (the capital letter } \Pi \text{ is for total inflation } \frac{P_t}{P_{t-1}}) \tag{338}$$

Then log-linearization by bi-variate first order Taylor expansion

$$\Rightarrow \Pi^{1-\epsilon} + (1-\epsilon)\Pi^{1-\epsilon}(\frac{\Pi_t - \Pi}{\Pi}) = \{\theta(\frac{P}{P})^{1-\epsilon} + \theta(1-\epsilon)(\frac{P}{P})^{1-\epsilon}[\frac{1}{P}(P_t^* - P) - \frac{P}{P^2}\frac{(P_{t-1} - P)}{P}]\}^{1-\theta} \tag{339}$$

Since first term of tay exp is steady state, making $\Pi^{1-\epsilon} = 1$

$$\Rightarrow 1 + (1-\epsilon)\hat{\Pi}_t = \theta + \theta(1-\epsilon)(\hat{P}_t^* - \hat{P}_{t-1}) + (1-\theta) \tag{340}$$

$$\Rightarrow \hat{\Pi}_t = \theta(\hat{P}_t^* - \hat{P}_{t-1}) \tag{341}$$

$$\Rightarrow \frac{1}{\theta}\hat{\Pi}_t = \hat{P}_t^* - \hat{P}_{t-1} \tag{342}$$

Using price-setting equation, which is related to marginal cost, then production. (making nominal price combination of real price and $\hat{p}_{t-1}$)

$$\Rightarrow \frac{1}{\theta}\hat{\Pi}_t = [1-(1-\theta)\beta]E_t \sum_{k=0}^{\infty}[(1-\theta)\beta]^k(\hat{mc}^r_{t+k|t} + \hat{p}_{t+k} - \hat{p}_{t-1}) \tag{343}$$

$$= \underbrace{[1-(1-\theta)\beta]E_t \sum_{k=0}^{\infty}[(1-\theta)\beta]^k \hat{mc}^r_{t+k|t}}_{A} + [1-(1-\theta)\beta]E_t \sum_{k=0}^{\infty}[(1-\theta)\beta]^k(\hat{p}_{t+k} - \hat{p}_{t-1}) \tag{344}$$

Let the untouched part be A for simplicity, open the sum so there will be expression of inflation in log-linearized form

$$= A + [1-(1-\theta)\beta]E_t \sum_{k=0}^{\infty}[(1-\theta)\beta]^k(\hat{p}_{t+k} - \hat{p}_{t-1}) \tag{345}$$

$$\begin{aligned} &= A + [1-(1-\theta)\beta]E_t\{(\hat{p}_t - \hat{p}_{t-1}) + [(1-\theta)\beta](\hat{p}_{t+1} - \hat{p}_t + \hat{p}_t - \hat{p}_{t-1}) \\ &\quad + [(1-\theta)\beta]^2(\hat{p}_{t+2} - \hat{p}_{t+1} + \hat{p}_{t+1} - \hat{p}_t + \hat{p}_t - \hat{p}_{t-1}) + \dots\} \end{aligned} \tag{346}$$

$$= A + [1-(1-\theta)\beta]E_t\{[(\hat{\pi}_t + [(1-\theta)\beta](\hat{\pi}_{t+1} + \hat{\pi}_t) + [(1-\theta)\beta]^2(\hat{\pi}_{t+2} + \hat{\pi}_{t+1} + \hat{\pi}_t) + \dots\} \tag{347}$$

$$\begin{aligned} &= A + E_t\{[(\hat{\pi}_t + [(1-\theta)\beta](\hat{\pi}_{t+1} + \hat{\pi}_t) + [(1-\theta)\beta]^2(\hat{\pi}_{t+2} + \hat{\pi}_{t+1} + \hat{\pi}_t) + \dots\} \\ &\quad - (1-\theta)\beta E_t\{[(\hat{\pi}_t + [(1-\theta)\beta](\hat{\pi}_{t+1} + \hat{\pi}_t) + [(1-\theta)\beta]^2(\hat{\pi}_{t+2} + \hat{\pi}_{t+1} + \hat{\pi}_t) + \dots\} \\ &\quad \text{(making elimination possible)} \end{aligned} \tag{348}$$

$$\begin{aligned} &= A + E_t\{\hat{\pi}_t + [(1-\theta)\beta](\hat{\pi}_{t+1} + \hat{\pi}_t) + [(1-\theta)\beta]^2(\hat{\pi}_{t+2}\hat{\pi}_{t+1} + \hat{\pi}_t) + \dots\} \\ &\quad - [(1-\theta)\beta]\{\hat{\pi}_t - [(1-\theta)\beta]^2 E_t(\hat{\pi}_{t+1} + \hat{\pi}_t) - \dots\} \end{aligned} \tag{349}$$

Make format simple by doing iteration form, the first term is when $k = 0$, but the second still starts from k=0 so there will be some parameters changed

$$= [1-(1-\theta)\beta]E_t \sum_{k=0}^{\infty} \hat{mc}^r_{t+k|t} + E_t \sum_{k=0}^{\infty} \hat{\pi}_{t+k+1} \tag{350}$$

$$= \underbrace{[1-(1-\theta)\beta]mc^r_{t+k|t} + \pi_t}_{k=0} + [1-(1-\theta)\beta]E_t \sum_{k=0}^{\infty}[(1-\theta)\beta]^{k+1}\hat{mc}^r_{t+k+1|t} + E_t \sum_{k=0}^{\infty}[(1-\theta)\beta]^{k+1}\hat{\pi}_{t+k} \tag{351}$$

$$= [1-[(1-\theta)\beta]]\hat{mc}^r_{t|t} + \hat{\pi}_t + [(1-\theta)\beta]\{\qquad\} \tag{352}$$

$$= B \text{ (back to recursive form and let it be B)} \tag{353}$$

$$\Rightarrow \frac{1}{\theta}\hat{\pi}_t = B \tag{354}$$

$$\Rightarrow \hat{\pi}_t = \underbrace{\frac{\theta[1-(1-\theta)\beta]}{1-\theta}\hat{mc}^r_t}_{\text{effect of current marginal cost}} + \underbrace{\beta E_t\hat{\pi}_{t+1}}_{\text{effect of expectation of future inflation}} \quad \text{(New Keynesian Philips Curve marginal cost version)} \tag{355}$$

Question 3 (at which variable are we making derivative of Lagrangian function ?)**.**

Theoratically we can make derivative of any variable if possible but not proper.

NKPC has another version where marginal cost is substitued with real output, thus measuring the effect of output gap.

$$\begin{aligned} &\min \frac{W_t}{P_t} N_t \\ &s.t. Y_t = A_t N_t^{1-\alpha} \end{aligned} \tag{356}$$

Form a Lagrangian

$$\Rightarrow \mathscr{L} = \frac{W_t}{P_t} N_t + MC_t^r \cdot (Y_t - A_t N_t^{1-\alpha}) \text{ (shadow price can also be marginal cost)} \tag{357}$$

Take partial derivative of N_t here since labor is decided by market, the firm only can control demand of labor

$$\Rightarrow \frac{\partial \mathscr{L}}{\partial N_t} = 0 \tag{358}$$

$$\Rightarrow \frac{W_t}{P_t} N_t = MC_t^r \cdot MPN_t \text{ , where } MPN_t = \frac{\partial Y_t}{\partial N_t} = (1-\alpha) A_t N_t^{-\alpha} \tag{359}$$

$$\Rightarrow MC_t^r = \frac{\frac{W_t}{P_t}}{MPN_t} \tag{360}$$

$$\hat{mc}_t^\sigma = \hat{w}_t - \hat{p}_t - (a_t - \alpha \hat{n}_t) \text{ (log-linearized, and using labor supply equation)} \tag{361}$$

$$= \sigma \hat{c}_t + \varphi \hat{n}_t - (a_t - \alpha \hat{n}_t) \tag{362}$$

$$= \sigma \hat{y}_t - a_t - (\varphi + \alpha) \frac{\hat{y}_t - a_t}{1-\alpha} \tag{363}$$

$$= \frac{\sigma(1-\alpha) + (\varphi + \alpha)}{1-\alpha} \hat{y}_t - \frac{1+\varphi}{1-\alpha} a_t \tag{364}$$

To acquire natural ratio of output, we use the fact that elastic marginal cost is zero.

$$\Rightarrow 0 = \hat{mc}_t^r = \frac{\sigma(1-\alpha) + (\varphi + \alpha)}{1-\alpha} \hat{y}_t^f - \frac{1+\varphi}{1-\alpha} a_t \text{ (upscript } f \text{ stands for flexible meaning elastic)} \tag{365}$$

$$\Rightarrow \frac{1+\varphi}{1-\alpha} a_t = \frac{\sigma(1-\alpha) + (\varphi + \alpha)}{1-\alpha} \hat{y}_t^f \tag{366}$$

$$\Rightarrow \hat{mc}_t^r = \frac{\sigma(1-\alpha) + (\varphi + \alpha)}{1-\alpha} (\underbrace{\hat{y}_t - \hat{y}_t^f}_{\equiv \tilde{y}_t, \text{ output gap}}) \text{ (put it back, having the gap of output } \hat{y}_t - y_t^f = \tilde{t}) \tag{367}$$

If we put the last equation back to NKPC marginal cost version, we connect natural output to inflation which is NKPC real output version.

New Keynesian Philips Curve marginal cost version:

$$\hat{\pi}_t = \underbrace{\frac{\theta[1-(1-\theta)\beta]}{1-\theta} \frac{\sigma(1-\alpha) + (\varphi + \alpha)}{1-\alpha} (\hat{y}_t - \hat{y}_t^f)}_{\text{effect of current output gap}} + \underbrace{\beta E_t \hat{\pi}_{t+1}}_{\text{effect of expectation of future inflation}} \tag{368}$$

another way to acquire the NKPC is to concern monopolistic competition, then sticky price.

$$\max_{P_{it}} \pi^r = \frac{P_{it}}{P_t} Y_{it} - \frac{W_t}{P_t} N_{it} \tag{369}$$

$$\Rightarrow \frac{P_{it}}{P_t} = \frac{\epsilon}{\epsilon - 1} MC_t^r \tag{370}$$

Note 11 (indicator of monopolistic competition)**.**

$\frac{\epsilon}{\epsilon-1}$ means monopolistic competition
integral means perfect competitive labor supply for households
ϵ is subtitute elasticity

This is real price, where ϵ is subtitute elasticity. Here MC_i comes without subscript t is because of CRTS production function.

$$\Rightarrow \frac{P_{it}}{P_t} = \frac{\epsilon}{\epsilon - 1} \frac{W_t / P_t}{A_t} \tag{371}$$

$$= \frac{\epsilon}{\epsilon - 1} \frac{Y_t^\sigma N_t^\varphi}{A_t} \tag{372}$$

$$= \frac{\epsilon}{\epsilon - 1} \frac{Y_t^\sigma}{A_t} (\int_0^1 N_{it} di)^\varphi \text{ (because of goods market p.c.)} \tag{373}$$

$$= \frac{\epsilon}{\epsilon - 1} \frac{Y_t^\sigma}{A_t} [\int_0^1 (\frac{Y_{it}}{A_t}) di]^\varphi \text{ (based on CRTS production function)} \tag{374}$$

$$= \frac{\epsilon}{\epsilon - 1} \frac{Y_t^\sigma}{A_t^{1+\varphi}} [\int_0^1 (\frac{P_{it}}{P_t})^{-\epsilon} Y_t di]^\varphi \text{ (using demand curve and move } A_t \text{ out)} \tag{375}$$

$$= \frac{\epsilon}{\epsilon - 1} \frac{Y_t^\sigma}{A_t^{1+\varphi}} (\frac{P_{it}^*}{P_t})^{-\epsilon\varphi} \text{ (star means symmetric and at equil)} \tag{376}$$

Since at equilibrium all prices are same

$$P_{it}^* = P_t^* \Rightarrow \frac{P_{it}^*}{P_t} = \frac{\epsilon}{\epsilon - 1} \frac{Y_t^{\sigma+\varphi}}{A_t^{1+\varphi}} (\frac{P_t^*}{P_t})^{-\epsilon\varphi} \tag{377}$$

Let's consider a situation that

$$\text{If } P_t^* = P_t \text{ (meaning when price elastic)} \tag{378}$$

$$1 = \frac{\epsilon}{\epsilon - 1} \tag{379}$$

$$\Rightarrow Y_t^f \text{ or } \hat{y}_t^f \text{ (to be log-linearized)} \tag{380}$$

Taking logs

$$(1 + \epsilon\varphi)(P_t^* - P_t) = \ln \frac{\epsilon}{\epsilon - 1} - (1 + \varphi) a_t + (\sigma + \varphi) y_t \tag{381}$$

$$= (\sigma + \phi) y_t - (1 + \phi) a_t + \ln(\frac{\epsilon}{\epsilon - 1}) \text{ (change order)} \tag{382}$$

Change order for furthur preparation

$$\Rightarrow P_t^* = P_t + \frac{\sigma+\varphi}{1+\epsilon\varphi} y_t - \frac{1+\varphi}{1+\epsilon\varphi} a_t + \frac{1}{1+\epsilon\varphi} \ln(\frac{\epsilon}{\epsilon-1}) \tag{383}$$

$$\Rightarrow P^* = P + \frac{\sigma+\varphi}{1+\epsilon\varphi} y_t - 0 + \frac{1}{1+\epsilon\varphi} \ln(\frac{\epsilon}{\epsilon-1}) \text{ (steady state by definition)} \tag{384}$$

Two equations above deducted, having the log-linearized result; elastic price means $p_t^* = \hat{p}_t$

$$\hat{p}_t^* = \hat{p}_t + \frac{\sigma+\varphi}{1+\epsilon\varphi} \hat{y}_t - \frac{1+\varphi}{1+\epsilon\varphi} a_t \tag{385}$$

$$P_t^* = \hat{p}_t \text{ (elastic price gives } y \text{ a } f \text{ upscript)} \tag{386}$$

$$\Rightarrow 0 = \frac{\sigma+\varphi}{1+\epsilon\varphi} \hat{y}_t - \frac{1+\varphi}{1+\epsilon\varphi} a_t \tag{387}$$

$$\Rightarrow \hat{y}_t^f = \frac{1+\varphi}{\sigma+\varphi} a_t \tag{388}$$

here notice natural output is a function of technology

$$\Rightarrow \hat{p}_t^* = \hat{p}_t + \frac{\sigma+\varphi}{1+\epsilon\varphi} \hat{y}_t - \frac{\sigma+\varphi}{1+\epsilon\varphi} \hat{y}_t^f \tag{389}$$

$$\Rightarrow \hat{p}_t^* = \hat{p}_t + \gamma(\hat{y}_t - \hat{y}_t^f) \text{ (γ denotes the bundle of coefficients)} \tag{390}$$

$$\Rightarrow \hat{p}_t^* = \hat{p}_t + \gamma\tilde{y}_t \text{ (acceptable price-setting euqation with only assumption of m.c.)} \tag{391}$$

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Note 12 (DNK model is perfect information rational expectation)**.** *Here E_t is not $\bar{E}_t$ because of perfect information rational expectation*

Second way to acquire NKPC

We need to know two methods of price-setting:

- Price adjusting in certainty, Taylor, 1978[17]
- price adjusting in randomness, Calvo, 1983[18]

Note 13 (Price adjusting in certainty vs in randomness)**.**

Taylor

a, b and c denotes three firms in a monopolistic competitive market. they adjust price by turns and one person per period.

Q1: how does one choose price

$P_A^{\triangle} = \frac{}{3}$, the upscript $\triangle$ stands for staying put in the next three periods.

[16] See Mankiw and Reis 2002 for more details of acceptable price-setting equation

[17] Taylor, John B. "Staggered Wage Setting in a Macro Model." The American Economic Review 69, no. 2 (1979): 108–13.

[18] Calvo, Guillermo A., 1983. "Staggered prices in a utility-maximizing framework," Journal of Monetary Economics, Elsevier, vol. 12(3), pages 383-398, September.

Q2: what is the total price
P_t =
Calvo
each firm adjust price at probablity θ^t at period t.

Now sticky price price-adjusting equation

$$\hat{p}_t^{\triangle} = \underbrace{(1-\theta\beta)\sum_{k=0}^{\infty}(\theta\beta)^k E_t P_{t+k}^*}_{\text{weighted average}} \tag{392}$$

$$\Rightarrow \hat{p}_t^{\triangle} = (1-\theta\beta)\hat{p}_t^* + \theta\beta E_t \hat{p}_{t+1}^{\triangle} \text{ (sticky PAE)} \tag{393}$$

The θ is the opposite of the one in previous PAE, here rather is to stay put. price adjusting based on acceptable price setting equation in future periods, β mean subjective discount.

With the expression of total price being

$$\Rightarrow \hat{p}_t = (1-\theta)\sum_{k=0}^{\infty}\theta^k \hat{p}_{t-k}^{\triangle} \tag{394}$$

$$\Rightarrow \hat{p}_t = (1-\theta)\hat{p}_t^{\triangle} + \theta\hat{p}_{t-1} \text{ (expression of total price based on APSE and PAE)} \tag{395}$$

Based on Acceptable Price-setting Equation (from monopolistic competition) and Total Price (from sticky price), one can quickly conduct NKPC.

Note 14 (prices in DNK)**.**

starred price means acceptable price, triangled price means adjusting price

From the first equation $\hat{p}_t = (1-\theta)\sum_{k=0}^{\infty}\theta^k \hat{p}_{t-k}^{\triangle}$ we have

$$\hat{p}_t = (1-\theta)P_t^{\triangle} + \theta P_{t-1} \tag{396}$$

$$\Rightarrow (1-\theta)P_t^{\triangle} = \hat{p}_t - \theta\hat{p}_{t-1} \tag{397}$$

$$\Rightarrow (1-\theta)E_t P_{t+1}^{\triangle} = E_t\hat{p}_{t+1} - \theta\hat{p}_t \tag{398}$$

$$\Rightarrow (1-\theta)\beta E_t \hat{P}_{t+1}^{\triangle} = \beta E_t \hat{p}_{t+1} - \theta\beta\hat{p}_t \tag{399}$$

From the second equation $\hat{p}_t = (1-\theta)\hat{p}_t^{\triangle} + \theta\hat{p}_{t-1}$, first use sticky price price-adjusting equation $\hat{p}_t^{\triangle} = (1-\theta\beta)\hat{p}_t^* + \theta\beta E_t\hat{p}_{t+1}^{\triangle}$ to substitute

$$\Rightarrow \hat{p}_t - \theta\hat{p}_{t-1} = (1-\theta)\hat{p}_t^{\triangle} = (1-\theta)(1-\theta\beta)\hat{p}_t^* + (1-\theta)\theta\beta E_t P_{t+1}^{\triangle} \tag{400}$$

then use APSE $\hat{p}_t^* = \hat{p}_t + \gamma\tilde{y}_t$ to substitute

$$\Rightarrow \hat{p}_t - \theta\hat{p}_{t-1} = (1-\theta)(1-\theta\beta)(\hat{p}_t + \gamma\tilde{y}_t) + (1-\theta)\theta\beta E_t P_{t+1}^{\triangle} \tag{401}$$

use the conclusion $(1-\theta)E_t P_{t+1}^{\triangle} = E_t\hat{p}_{t+1} - \theta\hat{p}_t$ above

$$\Rightarrow \hat{p}_t - \theta\hat{p}_{t-1} = (1-\theta)(1-\theta\beta)(\hat{p}_t + \gamma\tilde{y}_t) + \theta\beta E_t\hat{p}_{t+1} - \theta^2\beta\hat{p}_t \tag{402}$$

$$\Rightarrow [1+\theta^2\beta - (1-\theta)(1-\theta\beta)]\hat{p}_t - \theta P_{t-1} = (1-\theta)(1-\theta\beta)\gamma\tilde{y}_t + \theta\beta E_t \text{ (break APSE)} \tag{403}$$

$$\Rightarrow [1+\theta^2\beta - (1-\theta)(1-\theta\beta)]\hat{p}_t - \theta P_{t-1} - \theta\beta\hat{p}_t = (1-\theta)(1-\theta\beta)\gamma\tilde{y}_t + \theta\beta(E_t\hat{p}_{t+1} - \hat{p}_t) \tag{404}$$

$$\Rightarrow \theta(\hat{p}_t - \hat{p}_{t-1}) = (1-\theta)(1-\theta\beta)\gamma\tilde{y}_t + \theta\beta(E_t\hat{P}_{t+1} - \hat{p}_t) \text{ (match terms so there is inflation)} \tag{405}$$

$$\Rightarrow \theta\hat{\pi}_t = (1-\theta)(1-\theta\beta)\gamma\tilde{y}_t + \theta\beta E_t\hat{\pi}_{t+1} \text{ (here comes inflation)} \tag{406}$$

$$\Rightarrow \hat{\pi}_t = k\hat{y}_t + \beta E_t\hat{\pi}_{t+1} \text{ (NKPC)} \tag{407}$$

9.2.3 Dynamic IS curve

Recalling that household

$$\hat{y}_t = E_t\hat{y}_{t+1} - \frac{1}{\sigma}(\hat{i}_t - E_t\hat{\pi}_{t+1}) \tag{408}$$

$$\Rightarrow \hat{y}_t^f = E_t\hat{y}_{t+1} - \frac{1}{\sigma}(\hat{i}_t - 0) \text{ (inflation elastic form is assumed as 0)} \tag{409}$$

$$\Rightarrow \tilde{y}_t = E_t\tilde{y}_{t+1} - \frac{1}{\sigma}(\hat{i}_t - E_t\hat{\pi}_{t+1}) \text{ (dynamic IS curve, DIS)} \tag{410}$$

9.3 Equilibrium of model

Now NKPC and DIS each represents supply and demand. The two equations have three unkown variables $\hat{\pi}_t, \tilde{y}_t, \hat{i}_t$, applying the model does not have a solution. It is so that we need to add another variable into the model. There are two ways making DNK model solvable, if not monetary supply rule then Taylor rule.

9.3.1 DNK with money supply rule

$$\text{DNK} \begin{cases} \hat{\pi}_t = \beta E_t\hat{\pi}_{t+1} + k\tilde{y}_t \text{ (NKPC)} \\ \tilde{y}_t = E_t\tilde{y}_{t+1} - \frac{1}{\sigma}(\hat{i}_t - E_t\hat{\pi}_{t+1}) \text{ (DIS)} \\ \hat{m}_t = \hat{p}_t + \hat{y}_t - \eta\hat{i}_t \text{ (Money supply rule, used to be ad hoc in RBC)} \end{cases} \tag{411}$$

Seems now three equations have even more unkown variables $\hat{\pi}_t, \tilde{y}_t, \hat{i}_t, \hat{p}_t, m_t$.

But hat $\pi_t, \hat{p}_t$ are the same thing because

$$\hat{\pi}_t = \hat{p}_t - \hat{p}_{t-1} \tag{412}$$

$$\Rightarrow \hat{p}_t = \hat{\pi}_t + \hat{p}_{t-1} \tag{413}$$

$$\Rightarrow \hat{m}_t = \hat{\epsilon}_t \tag{414}$$

this transfer works either way.

Let the m_t money supply be exogenous for simplicity.

Note 15 (Exogenous variables in DNK model)**.** *Only technology and money supply are considered real exogenous variables here.*

So we are left with three equations and three unkowns, the model is now solutionable. The final result will be a function of m_t.

9.3.2 DNK with interest rate rule

$$\text{DNK} \begin{cases} \hat{\pi}_t = \beta E_t \hat{\pi}_{t+1} + k\tilde{y}_t \text{ (NKPC)} \\ \tilde{y}_t = E_t \tilde{y}_{t+1} - \frac{1}{\sigma}(\hat{i}_t - E_t \hat{\pi}_{t+1}) \text{ (DIS)} \\ \hat{i}_t = \phi_\pi \hat{\pi}_t + \phi_y \hat{y}_t + \nu_t \text{ (Interest rate rule)} \end{cases} \tag{415}$$

$$\text{where } \nu_t = \rho_v \nu_{t-1} + \epsilon_t^\nu \text{ is the exogenous shock of interest rate, with the feature of AR1} \tag{416}$$

Note 16 (Interest rate rule)**.**

$$\hat{i}_t = \phi_\pi \cdot (\hat{\pi}_t - \hat{\pi}^*) + \phi_y \cdot (\hat{y}_t - y_t^f) + \nu_t \tag{417}$$

If the target parameters $\hat{\pi}^*$ and y_t^f are given, it is Taylor Rule.
Operation parameters ϕ_π and ϕ_y are decided based on past experience.

Acquiring equilibrium and prove it is the only equilibrium
Rewrite the DIS

$$\Rightarrow \tilde{y}_t = E_t \tilde{y}_{t+1} - \frac{1}{\sigma}[(\phi_\pi \hat{\pi}_t + \phi_y \hat{y}_t + \nu_t) - E_t \hat{\pi}_{t+1}] \text{ (apply interest rate rule to the second equation)} \tag{418}$$

$$= E_t \tilde{y}_{t+1} - \frac{1}{\sigma}\{[\phi_\pi \cdot (\beta E_t \hat{\pi}_{t+1} + k\tilde{y}_t) + \phi_y \hat{y}_t + \nu_t] - E_t \hat{\pi}_{t+1}\} \text{ (put the first in)} \tag{419}$$

$$= E_t \tilde{y}_{t+1} + \frac{1 - \beta\phi_\pi}{\sigma} E_t \pi_{t+1} - \frac{\phi_\pi k + \phi_y}{\sigma} \tilde{y}_t - \frac{\nu_t}{\sigma} \tag{420}$$

$$= \frac{1}{\sigma + \phi_\pi k + \phi_y}[\sigma E_t \tilde{y}_{t+1} + (1 - \beta\phi_\pi) E_t \hat{\pi}_{t+1} - \nu_t] \text{ (the relationship of } y_t \text{ and } y_{t+1} \text{ and } \pi_{t+1}) \tag{421}$$

Similarly we can change the NKPC

$$\hat{\pi}_t = \frac{1}{\sigma + \phi_\pi k + \phi_y}\{k\sigma E_t \tilde{y}_{t+1} + [k + \beta(\sigma + \phi_y)] E_t \hat{\pi}_{t+1} - \nu_t\} \tag{422}$$

Therefore three equations are two now.

Iteration in vector form

$$\begin{bmatrix}\tilde{y}_t\\ \hat{\pi}_t\end{bmatrix} = \frac{1}{\sigma+\phi_\pi k+\phi_y}\begin{bmatrix}\sigma & 1-\beta\phi_\pi\\ k\sigma & k+\beta(\sigma+\phi_y)\end{bmatrix}\begin{bmatrix}E_t\hat{y}_{t+1}\\ E_t\hat{\pi}_{t+1}\end{bmatrix} - \frac{1}{\sigma+\phi_\pi k+\phi_y}\begin{bmatrix}1\\ k\end{bmatrix}\nu_t \tag{423}$$

$$\Rightarrow \begin{bmatrix}\tilde{y}_t\\ \hat{\pi}_t\end{bmatrix} = A\begin{bmatrix}C_{t-1}\\ K_{t-1}\end{bmatrix} - B\nu_t \text{ (at RHS one period ahead meaning the whole equation is foresight-seeing)} \tag{424}$$

$$\Rightarrow \lambda^2 - \frac{\sigma+k+\beta(\sigma+\phi_y)}{\sigma+\phi_\pi k+\phi_y}\lambda + \frac{\sigma\beta}{\sigma+\phi_\pi k+\phi_y} = 0 \tag{425}$$

Note 17 (Technique in Ramsey and DNK)**.**

From the perspective of techniques in persuiing solution, it is greatly similar to the way we did with Ramsey model, where the model is one period backward at RHS.

Note 18 (HNKPC)**.** *Hybrid New Keynesian Philips Curve*

Since NKPC lacks persistence in practical use (shocks are too slow to effects), we might as well add a 1-period-lagged inflation to the RHS as adpative expectation. This is somehow a nominal shock since it gets into the DNK model through m_t.

$$\hat{\pi}_t = \beta E_t\hat{\pi}_{t+1} + k\tilde{y}_t \text{ (NKPC)} \tag{426}$$

$$\hat{\pi}_t = \hat{\pi}_{t-1} + \beta E_t\hat{\pi}_{t+1} + k\tilde{y}_t \text{ (HNKPC)} \tag{427}$$

a_t is described as real shocks of DNK model. But it shows up too fast.
Later the concept of sticky information is added to the model to solve the problem.

Note 19 (BK conditions)**.**

First brought up by Blanchard and Kahn, 1980

[19]

Note 20.

Lasalle, 1986

$$x^2 + bx + c = 0 \tag{428}$$

$$x_1, x_2 < 1 \iff \begin{cases}|c| < 1\\ |b| < 1 + c\end{cases} \tag{429}$$

[19] Also see Nakajima 2007 for similar techniques.

If the equilibrium exists and it is the only one, then

$$\begin{cases} |\frac{\sigma\beta}{\sigma+\phi_\pi k+\phi_y}| < 1 \Rightarrow \sigma(\beta-1) < 0 < \phi_\pi k + \phi_y \\ |\frac{\sigma+k+\beta(\sigma+\phi_y)}{\sigma+\phi_\pi k+\phi_y}| < 1 + \frac{\sigma\beta}{\sigma+\phi_\pi k+\phi_y} \Rightarrow k(\phi_\pi - 1) + (1-\beta)\phi_y > 0 \end{cases} \tag{430}$$

Method of Undetermined Coefficients:
Let's assume

$$\begin{cases} \tilde{y}_t = \psi_{y\nu}\nu_t \\ \hat{\pi}_t = \psi_{\pi\nu}\nu_t \end{cases} \tag{431}$$

recall that

$$\hat{\pi}_t = \beta E_t\hat{\pi}_{t+1} + k\hat{y}_t \text{ (expected inflation)} \tag{432}$$

$$\psi_{\pi\nu}\nu_t = \beta E_t(\psi_{\pi\nu}\nu_{t+1}) + k\hat{y}_t \text{ (iterating)} \tag{433}$$
$$= \beta E_t[\psi_{\pi\nu}(\rho_\nu\nu_t + \epsilon^\nu_{t+1})] + k\hat{y}_t \text{ (expand } \nu_{t+1} \text{ since it's AR1 shock of } i_t) \tag{434}$$
$$= \beta\psi_{\pi\nu}\rho_\nu\nu_t + k\psi_{y\nu}\nu_t \text{ (preassuming expectation of next period noise is 0)} \tag{435}$$
$$\Rightarrow (1-\beta\rho_\nu)\psi_{\pi\nu} = k\psi_{y\nu} \tag{436}$$
$$\Rightarrow k\psi_{y\nu} = \frac{1-\beta\rho_\nu}{k}\psi_{\pi\nu} \text{ (relationship of two undetermined coefficients)} \tag{437}$$

Using DIS

$$\tilde{y}_t = E_t\tilde{y}_{t+1} - \frac{1}{\sigma}[\phi_\pi\hat{\pi}_t + \phi_y\hat{y}_t + \nu_t) - E_t\hat{\pi}_{t+1}] \tag{438}$$

using interest rate rule

$$\Rightarrow \psi_{y\nu}\nu_t = \psi_{y\nu}E_t\nu_{t+1} - \frac{1}{\sigma}(\phi_\pi\psi_{\pi\nu}\nu_t + \phi_y\psi_{y\nu}\nu_t + \nu_t - \psi_{\pi\nu}E_t\nu_{t+1}) \tag{439}$$
$$= \psi_{y\nu}\rho_\nu\nu_t - \frac{1}{\sigma}(\phi_\pi\psi_{\pi\nu}\nu_t + \phi_y\psi_{y\nu}\nu_t + \nu_t - \psi_{\pi\nu}\rho_\nu\nu_t) \tag{440}$$
$$= \frac{\sigma\rho_\nu - \phi_y}{\sigma}\phi_{y\nu}\nu_t - \frac{\phi_\pi - \rho_\nu}{\sigma}\psi_{\pi\nu}\nu_t - \frac{1}{\sigma}\nu_t \tag{441}$$
$$\Rightarrow \sigma\psi_{y\nu} = (\sigma\rho_\nu - \phi_y)\psi_{y\nu} - (\phi_\pi - \rho_\nu)\psi_{\pi\nu} - 1 \text{ (elimination of } \nu_t) \tag{442}$$
$$\Rightarrow (\sigma - (\sigma\rho_\nu - \phi_y))\psi_{y\nu} + (\phi_\pi - \rho_\nu)\psi_{\pi\nu} = -1 \tag{443}$$
$$\Rightarrow \psi_{\pi\nu} = \frac{-k}{\cdots} = -k\wedge_\nu \tag{444}$$
$$\Rightarrow \psi_{y\nu} = -(1-\beta\rho_\nu)\wedge_\nu \tag{445}$$

9.4 Analyze exogenous shocks

Now policy change will reflect in the parameter ϵ, making policy analysis possible.
we use ν to denote the exogenous shock
last section we have expression of ν
$\Rightarrow$ to analyze the shock would mean fully using it.

Note 21 (what is a shock?)**.**

In a model with uncertainty, variable has the feature of causing change in variation by change itself can cause a shock.

But it was later broadened as change of exogenous variable in a model without uncertainty.

recall output gap at equilibrium

$$\begin{aligned}
\hat{y}_t - \hat{y}_t^f = \hat{y}_t^* &= \psi_{y\nu}\nu_t && (446)\\
&= -(1-\beta\rho_\nu) \wedge_\nu \nu_t && (447)\\
&= -(1-\beta\rho_\nu) \wedge_\nu (\rho_\nu \nu_{t-1} + \epsilon_t^\nu) && (448)\\
&= -(1-\beta\rho_\nu) \wedge_\nu \rho_\nu\nu_{t-1} - (1-\beta\rho_\nu) \wedge_\nu \epsilon_t^\nu && (449)\\
&= \rho_\nu \tilde{y}_{t-1} - (1-\beta\rho_\nu) \wedge_\nu \epsilon_t^\nu \ (\tilde{y}_{t-1} \text{ backward one period}) && (450)
\end{aligned}$$

Note 22. *we can only do analysis at equil*

similiar with inflation at equilibrium

$$\begin{aligned}
\hat{\pi}_t^* &= \psi_{\pi\nu}\nu_t && (451)\\
&= -k \wedge_\nu \nu_t && (452)\\
&= -k \wedge_\nu (\rho_\nu \nu_{t-1} + \epsilon_t^\nu) && (453)\\
&= \rho_\nu \pi_{t-1} - k \wedge_\nu \epsilon_t^\nu && (454)
\end{aligned}$$

interest rate at equilibrium

$$\begin{aligned}
\hat{r}_t^* &= \hat{i}_t - E_t\hat{\pi}_{t+1} \text{ (Real interest rate at equilibrium)} && (455)\\
&= \sigma(E_t\tilde{y}_{t+1} - \hat{y}_t) \leftarrow \text{DIS} && (456)\\
&= \sigma(1-\beta\rho_\nu)(1-\rho_\nu) \wedge_\nu \nu_t && (457)\\
\Rightarrow \hat{i}_t^* &= \hat{r}_t + E_t\hat{\pi}_{t+1} \text{Nominal interest rate at equilibrium} && (458)\\
&= [\sigma(1-\beta\rho_\nu)(1-\rho_\nu) - k\rho_\nu] \wedge_\nu \nu_t && (459)
\end{aligned}$$

moreever we can do analysis with money supply using quantity equation of money

$$\begin{aligned}
\hat{m}_t^* &= \hat{p}_t^* + \hat{y}_t^* - \eta\hat{i}_t^* \text{ (LHS is solvable since all variables at RHS has been solved)} && (460)\\
&= \text{ (assuming } \hat{y}_t^{f*} = 0) && (461)\\
&= && (462)\\
&= \text{ use solutions from above} && (463)\\
&\Rightarrow && (464)\\
&= && (465)\\
\frac{d\hat{m}_t^*}{d\nu_t} &= && (466)\\
&= \text{showing the result is decided by mutiple joint forces} && (467)
\end{aligned}$$

Note 23 (quantity equation of money)**.** $MV = Py$

While this theory was originally formulated by Polish mathematician Nicolaus Copernicus in 1517, it was popularized later by economists Milton Friedman and Anna Schwartz after the publication of their book, "A Monetary History of the United States, 1867-1960," in 1963.

9.5 Natural rates, output gaps, and model limits

Planned section. Distinguish the natural real interest rate, flexible-price output, and efficient output. Check which shocks and distortions enter each object before interpreting policy responses or welfare losses.

10 Sticky Wage Model

Before good market is price-sticky and monopolistic competitive, now the setting goes to labor market.

$$Y_{it} = (\frac{P_{it}}{P_t})^{-\epsilon_P} Y_t \text{ (good demand curve, } \epsilon \text{ is substitute elasticity)} \tag{468}$$

$$P_t = (\int_0^1 P_{it}^{1-\epsilon} di)^{\frac{1}{1-\epsilon_p}} \text{ (total price)} \tag{469}$$

$$W_t = W_{it} = \int_0^1 W_{it} di \tag{470}$$

$$P_{it}^* = c + \alpha \tilde{y}_t \text{ (desired price)} \tag{471}$$

labor market m.c. (as in classical model) and sticky wage (partial rigidity, in contrary to total rigidity where all wages are rigid).

1) labor demand curve and total wage price level

$$\begin{aligned} &\min \int_0^1 W_{jt} N_{ijt} dj \\ &s.t. A_t [(\int_0^1 N_{ijt}^{\frac{\epsilon_W - 1}{\epsilon_W}} dj)^{\frac{\epsilon_W}{\epsilon_W - 1}}]^{1-\alpha} \geqslant A_t N_{it}^{1-\alpha} \end{aligned} \tag{472}$$

where i indexing firm, j indexing labor, t is time

Form a Lagrangian

$$\mathscr{L} = \int_0^1 W_{jt} N_{ijt} dj + W_t \{A_t [(\int_0^1 N_{ijt}^{\frac{\epsilon_w - 1}{\epsilon_w}} dj)^{\frac{\epsilon_W}{\epsilon_W - 1}}]^{1-\alpha} - A_t N_{it}^{1-\alpha}\} \tag{473}$$

where Lagrangian multiplier is total wage level

Solving the optimization problem results

$$\Rightarrow \begin{cases} N_{ijt} = (\frac{W_{jt}}{W_t})^{-\epsilon_W} N_{it} \text{ (labor supply equation)} \\ W_t = (\int_0^1 W_{jt}^{1-\epsilon_W} dj)^{\frac{1}{1-\epsilon_W}} \text{ (expression of total wage level)} \end{cases} \tag{474}$$

2) UMP of household

in utility function N is labor demand instead of labor supply as before. this is because of m.c. labor market.

$$\begin{aligned} u &= u(C_t, N_t) \\ &= u(C_t, \{N_{jt}\}) \\ &= \frac{C_t^{1-\sigma} - 1}{1-\sigma} - \int_0^1 \frac{N_j^{1+\varphi}}{1+\varphi} dj \text{ (CES style)} \end{aligned} \tag{475}$$

the UMP can be rewritten as

$$\begin{aligned} \max_{\{C_t, W_t^*\}} \sum_{t-0}^{\infty} \beta^t u(C_t, \int_0^1 N_{jt} dj) \iff \max \sum_{t=0}^{\infty} \beta^t u(C_t, \int_0^1 (\frac{W_t^*}{W_t})^{-\epsilon_W} N_{it} dj) \\ s.t. P_t C_t + Q_t B_t \leqslant \int_0^1 W_t^* (\frac{W_t^*}{W_t})^{-\epsilon_W} N_{it} dj + B_{t-1} \end{aligned} \tag{476}$$

here W_t^* instead of original because all wages can be adjusted, eventually they will be the same

a simplified version would be

$$\begin{aligned} &\max \sum_{t=0}^{\infty} \beta^t u(C_t, (\frac{W_t^*}{W_t})^{-\epsilon_W} N_{it}) \\ &s.t. P_t C_t + Q_t B_t \leqslant W_t^* (\frac{W_t^*}{W_t})^{-\epsilon_W} + B_{t-1} - T_t \end{aligned} \tag{477}$$

$$\begin{aligned} &\max_{W_0^*} \sum_{t=0}^{\infty} \beta^t \theta_W^t u(C_{t|0}, N_{t|0}) \\ &s.t. \begin{cases} C_{t|0} = \frac{1}{P_t}[W_0^* (\frac{W_0^*}{W_t})^{-\epsilon_W} N_{it} + B_{t-1|0} - T_{t|0} - Q_{t-1|t} B_{t|0}] \\ N_{t|0} = (\frac{W_0^*}{W_t})^{-\epsilon_W} N_{it} \text{ (with labor demand curve, left with only } W_0^*) \end{cases} \end{aligned} \tag{478}$$

sticky wage, where $\theta \equiv Prob(\text{stay put})$. θ is before utility function because the whole equation is based on period 0, entailing a prob for the whole equation to stay put.

put two constraints in the max part, now the optimization problem is a unconstrainted one

$$\max_{W_0^*} \sum_{t=0}^{\infty} (\beta\theta_W)^t u(\frac{1}{P_t}[W_0^* (\frac{W_0^*}{W_t})^{-\epsilon_W} N_{it} + B_{t-1|0} - T_{t|0} - Q_{t-1|t} B_{t|0}], (\frac{W_0^*}{W_t})^{-\epsilon_W} N_{it}) \tag{479}$$

$$FOC \Rightarrow E_0 \sum_{t=0}^{\infty} (\beta\theta_W)^t [u_C(C_{t|0}, N_{t|0}) \frac{1}{P_t} (1-\epsilon_W)(\frac{W_0^*}{W_t})^{-\epsilon_W} N_{it} - u_N(C_{t|0}, N_{t|0}) \epsilon_W (\frac{W_0^*}{W_t})^{-(\epsilon_W)^{-1}} \frac{1}{W_t} N_{it})] \tag{480}$$

$$= E_0 \sum_{t=0}^{\infty} (\beta\theta_W)^t [u_C(C_{t|0}, N_{t|0}) \frac{1}{P_t} (1-\epsilon_W)(\frac{W_0^*}{W_t})^{-\epsilon_W} W_t^{\epsilon_W} N_{it} - u_N(C_{t|0}, N_{t|0}) \epsilon_W (\frac{W_0^*}{W_t})^{-(\epsilon_W)} W_t^{\epsilon_W} N_{it} \frac{1}{W_0^*})] \tag{481}$$

move some exogenous variables out since they basically can be treated as constants

$$\Rightarrow (1-\epsilon_W)(W_0^*)^{-\epsilon_W} \ldots \tag{482}$$

$$= \epsilon_W (W_0^*)^{-\epsilon_W^{-1}} \tag{483}$$

$$\Rightarrow W_0^* = \frac{\epsilon_W}{1-\epsilon_W} \frac{E_0 \sum_{t=0}^{\infty} (\beta\theta_W)^t u_N(C_{t|0}, N_{t|0}) W_t^{\epsilon_W} N_{it}}{E_0 \sum_{t=0}^{\infty} (\beta\theta_W)^t u_C(C_{t|0}, N_{t|0}) \frac{1}{P_t} W_t^{\epsilon_W} N_{it}} \tag{484}$$

use marginal substitute ratio, where $MRS_{t|0} \equiv -\frac{U_N(C_{t|0})}{U_C(C_{t|0})}$, the equation is essentially an inflation equation

$$W_0^* = \frac{\epsilon_W}{\epsilon_W - 1} \frac{E_0 \sum_{t=0}^{\infty} (\beta\theta_W)^t u_N(C_{t|0}, N_{t|0}) MRS_{t|0} W_t^{\epsilon_W} N_{it}}{E_0 \sum_{t=0}^{\infty} (\beta\theta_W)^t u_C(C_{t|0}, N_{t|0}) \frac{1}{P_t} W_t^{\epsilon_W} N_{it}} \tag{485}$$

$$\Rightarrow \frac{W_0^*}{P_0} = \frac{\epsilon_W}{\epsilon_W - 1} MRS_{t|0} \text{ (if elastic wage and m.c., there will be no equation above)} \tag{486}$$

now based on the perspective at period t

$$W_t^* = \frac{\epsilon_W}{\epsilon_W - 1} \frac{E_t \sum_{k=0}^{\infty} (\beta\theta_W)^k u_C(C_{t+k|t}, N_{t+k|t}) MRS_{t+k|t} W_{t+k|t}^{\epsilon_W}}{E_t \sum_{k=0}^{\infty} (\beta\theta_W)^k u_C(C_{t+k|t}, N_{t+k|t}) \frac{1}{P_{t+k}} W_{t+k|t}^{\epsilon_W}} \text{ (at t period instead 0 period)} \quad (487)$$

$$\Rightarrow \frac{W_t^*}{P_t} = \frac{\epsilon_W}{\epsilon_W - 1} MRS \text{ (if elasticity wage and monopolistic competitive at t period)} \quad (488)$$

Note 24 (M.C. firm choice variable for optimization problem)**.** *MC firm can choose price max or quantity max*

11 Labor Markets and Unemployment

Planned chapter.

11.1 Employment, unemployment, and participation

Define the margins hidden by a single aggregate labor-supply variable. Distinguish changes in hours from movements into and out of employment.

11.2 Search, matching, and wage determination

Introduce a basic matching framework to explain vacancies and unemployment. State how wage setting and hiring incentives determine job creation.

11.3 Adjustment and persistence

Compare search frictions with nominal wage rigidity. Examine which mechanisms can make employment recover slowly and connect a recession to longer-run output.

Part IV
Open Economy

An open economy can trade goods and claims on future income. This changes the connection between domestic saving and investment, introduces relative prices between countries, and allows shocks to cross borders. We extend the earlier models before comparing policy choices in Part V.

12 International Accounts and Intertemporal Trade

Planned chapter.

12.1 Trade balances, current accounts, and external wealth

Derive the links between national saving, investment, and the current account. Distinguish transaction flows from valuation changes in the international investment position.

12.2 Consumption smoothing and international borrowing

Start with a small open endowment economy. Derive its intertemporal budget constraint and explain how expected income affects the current account.

12.3 Investment and external adjustment

Add capital accumulation and examine how borrowing finances investment. State borrowing and solvency conditions before discussing external adjustment.

13 Trade and Relative Prices

Planned chapter.

13.1 Comparative advantage, trade gains, and trade costs

Use a simple trade model to explain specialization and gains from exchange. Introduce tariffs and other trade costs to connect trade policy to allocation.

13.2 Terms of trade and the real exchange rate

Define both relative prices with explicit conventions. Trace how their changes affect purchasing power, production, and external balances.

13.3 Tradable goods, nontradable goods, and adjustment

Introduce the distinction between tradable and nontradable production. Explain how expenditure and resources move between sectors during adjustment.

14 Open Economy Fluctuations and Exchange Rates

Planned chapter.

14.1 The small open economy RBC model

Extend the real benchmark to international borrowing and investment. Compare productivity, world-interest-rate, and terms-of-trade shocks.

14.2 Capital flows, interest parity, and risk

Derive the relevant asset-pricing conditions and distinguish covered parity from an uncovered expected-return condition. Introduce risk premia and foreign-currency balance-sheet exposure.

14.3 Nominal rigidities and exchange-rate regimes

Introduce an open economy New Keynesian benchmark. Compare the adjustment mechanisms under fixed and flexible exchange rates, and state the constraints created by capital mobility.

Part V
Money, Finance, and Macroeconomic Policy

The earlier parts establish the real and nominal benchmarks. We now add financial constraints and differences between households, then compare the transmission and welfare effects of monetary and fiscal policy. Open economy mechanisms remain part of that comparison.

15 Money, Banking, and Central Bank Operations

Planned chapter.

15.1 Money, payments, and financial claims

Distinguish money from other assets and identify the services that give it a role in household and firm decisions.

15.2 Banks and balance sheets

Set out the balance sheets of households, commercial banks, and the central bank. Explain lending, deposits, reserves, and the limits to credit creation.

15.3 Implementing monetary policy

Connect the model's policy rate to the central bank's operating framework. Distinguish reserve provision, asset purchases, and changes in borrowing costs.

16 Financial Frictions and Aggregate Adjustment

Planned chapter.

16.1 Borrowing limits and collateral

Derive a simple borrowing constraint and show how it changes optimal choices. Connect collateral values to spending and investment.

16.2 Intermediation and financial amplification

Introduce a constraint on intermediary balance sheets. Explain how losses, leverage, and credit spreads can amplify a real or financial disturbance.

16.3 Financial distress and policy intervention

Distinguish liquidity problems from insolvency. State the mechanisms and trade-offs behind liquidity support, restructuring, and macroprudential policy.

17 Household Heterogeneity and Policy Transmission

Planned chapter.

17.1 Income risk, insurance, and precautionary saving

Introduce uninsurable income risk and borrowing limits. Explain how the distribution of liquid wealth affects saving and consumption.

17.2 Marginal propensities to consume and redistribution

Compare households' spending responses to income and wealth changes. Trace how taxes, transfers, and interest payments redistribute resources.

17.3 From representative to heterogeneous households

Use a two-agent benchmark before motivating a richer distribution of households. Identify which policy questions require the additional heterogeneity.

18 Monetary Policy

This chapter extends the interest-rate rules used to close the New Keynesian model into a systematic policy comparison. The existing welfare derivation is retained below; the preceding sections are outlines.

18.1 Transmission and policy shocks

Planned section. Separate a systematic policy response from an unexpected policy disturbance. Compare intertemporal, credit, redistribution, and exchange-rate channels.

18.2 Rules, commitment, and discretion

Planned section. Compare equilibrium determination with welfare-based policy design. Explain how credibility and promises about future policy affect current choices.

18.3 The interest-rate lower bound and balance-sheet policies

Planned section. State when the policy-rate constraint binds and which transmission channels remain. Examine forward guidance and asset purchases under explicit assumptions.

18.4 Optimal monetary policy

A significant paper Mankiw and Reis 2002 used a new keynesian macroeconomic model to acquire the optimal monetary policy. [20]

Note 25 (why is there welfare loss?)**.**

monopoly and sticky price cause deviation from Pareto optimality.

Note 26 (Optimal monetary policy)**.**

No concept of optimality can be found in policy analysis in the perspective of household or firm. But the government can use welfare loss fucntion in its optimality to maximize social welfare. In the process of achieving maximized social welfare, the monetary policy is the so-called optimal monetary policy.

To acquire the optimal monetary policy, the welfare loss function must be previously introduced.
To acquire WLF, we use second order taylor expansion
first order Taylor expansion

$$\frac{X_t - X}{X} = \ln X_t - \ln X = x_t - x = \hat{x}_t \tag{489}$$

[20] N. Gregory Mankiw, Ricardo Reis, Sticky Information versus Sticky Prices: A Proposal to Replace the New Keynesian Phillips Curve, The Quarterly Journal of Economics, Volume 117, Issue 4, November 2002, Pages 1295–1328, https://doi.org/10.1162/003355302320935034

second order Taylor expansion

$$\begin{aligned}\frac{X_t - X}{X} &= \frac{1}{X}e^{x_t} - 1 \\ &= (\frac{1}{X}e^{x} - 1) + \frac{1}{X}e^{x}(x_t - x) + \frac{1}{2}\frac{1}{X}e^{x}(x_t - x)^2 \\ &= \hat{x}_t + \frac{1}{2}\hat{x}_t^2\end{aligned} \tag{490}$$

Similarly

$$\Rightarrow \begin{cases} \frac{C_t - C}{C} \approx \hat{c}_t + \frac{1}{2}\hat{c}_t^2 \\ \frac{N_t - N}{N} \approx \hat{n}_t + \frac{1}{2}\hat{n}_t^2 \end{cases} \tag{491}$$

Bi-variate 2o taylor expansion for a utility function where people gain utilities from consuming goods and enjoying leisure.

$$u(C_t, N_t) \approx u(C, N) + u_C^C(\frac{C_t - C}{C}) + u_N^N(\frac{N_t - N}{N}) + \frac{1}{2}u_{CC}^{C^2}\frac{(C_t - C)^2}{C} + \frac{1}{2}u_{NN}^{N^2}\frac{(N_t - N)^2}{N} \tag{492}$$

$$= u(C, N) + u_C C(\hat{c}_t + \frac{1}{2}\hat{c}_t^2) + u_N N(\hat{n}_t + \frac{1}{2}\hat{n}_t^2) + \frac{1}{2}u_{CC}C^2(\hat{c}_t + \frac{1}{2}\hat{c}_t^2) + \frac{1}{2}u_{NN}N^2(\hat{n}_t + \frac{1}{2}\hat{n}_t^2) \tag{493}$$

$$= u(C, N) + u_C C(\hat{c}_t + \frac{1}{2}\hat{c}_t^2) + u_N N(\hat{n}_t + \frac{1}{2}\hat{n}_t^2) + \frac{1}{2}u_{CC}C^2\hat{c}_t + \frac{1}{2}u_{NN}N^2\hat{n}_t \text{ (reservate only to 2o)} \tag{494}$$

$$= u(C, N) + u_C C(\hat{c}_t + \frac{1 + \frac{u_{CC}}{u_C}C}{2}\hat{c}_t) + u_N N(\hat{n}_t + \frac{1 + \frac{u_{NN}}{u_N}N}{2}\hat{n}_t) \tag{495}$$

$$\Rightarrow \frac{u(C_t, N_t) - u(C, N)}{u_C C} = (\hat{c}_t + \frac{1 + \frac{u_{CC}}{u_C}C}{2}\hat{c}_t^2) + \frac{u_N N}{u_C C}(\hat{n}_t + \frac{1 + \frac{u_{NN}}{u_N}}{2}\hat{n}_t^2) \tag{496}$$

$$\because \hat{c}_t = \hat{y}_t \text{ (market clearing at equilibrium)} \tag{497}$$

$$u(C_t, N_t) = \frac{C_t^{1-\sigma} - 1}{1 - \sigma} - \frac{N_t^{1+\varphi} - 1}{1 + \varphi} \iff \begin{cases} -\frac{u_{CC}}{u_C}C = \sigma \\ -\frac{u_{NN}}{u_N}N = \varphi \end{cases} \tag{498}$$

Note 27 (Coefficients of CES function)**.**

σ is intertemporal substitute elasticy, φ is frisch elasticity

continue to the last taylor expanded equation, introducing var_i as the deviation of each firm's price

$$\ldots = (\hat{y}_t + \frac{1 - \sigma}{2}\hat{y}_t^2) + \frac{u_N N}{u_C C}\{\frac{1}{\alpha}(\hat{y}_t - a_t) + A \cdot var_i P_{it}\} + \frac{1 + \varphi}{2}[\frac{1}{\alpha}(\hat{y}_t - a_t) + A \cdot var_i P_{it}]^2 \tag{499}$$

$$= (\hat{y}_t + \frac{1 - \sigma}{2}\hat{y}_t^2) + \frac{u_N N}{u_C C}\frac{1}{\alpha}\{[(\hat{y}_t - a) + B \cdot var_i P_{it}] + \frac{1 + \varphi}{2\alpha}(\hat{y}_t - a_t)^2\}, B \equiv \alpha A \tag{500}$$

, here let's ignore many fluctuation terms from taylor expansion as they are extremely small and irrelevant to monetary policy.

$$-\frac{U_N}{U_C} = MP \cdot N = \alpha A N^{\alpha-1} \tag{501}$$

$$= \alpha \frac{C}{N} \Rightarrow \frac{u_N N}{u_C C} = -\alpha \text{ (can use this to simplify equation before)} \tag{502}$$

go back to before

$$\Rightarrow \ldots = (\hat{y}_t - \frac{1-\sigma}{2}\hat{y}_t^2) - \{(\hat{y}_t - a_t) + B \cdot var_i P_{it} + \frac{1+\varphi}{2\alpha}(\hat{y}_t - a_t)^2\} \tag{503}$$

$$= \frac{1-\sigma}{2}\hat{y}_t^2 - B \cdot var_i P_{it} - \frac{1+\varphi}{2\alpha}(\hat{y}_t - a_t)^2 \tag{504}$$

$$= \frac{1-\sigma}{2}\hat{y}_t^2 - B \cdot var_i P_{it} - \frac{1+\varphi}{2\alpha}(\hat{y}_t^2 - 2\hat{y}_t a_t + a_t^2) \tag{505}$$

$$= (\frac{1-\sigma}{2} + \frac{1+\varphi}{2\alpha})\hat{y}_t^2 + \frac{\sigma+\varphi}{\alpha}\hat{y}_t a_t - B \cdot var_i P_{it} \tag{506}$$

$$= \frac{\alpha(1-\alpha)+1+\varphi}{2\alpha}\hat{y}_t^2 + \frac{\sigma+\varphi}{\alpha}\hat{y}_t \hat{y}_t^f - B \cdot var_i P_{it} \text{ (remember when we work out the } \hat{y}_t^f\text{)} \tag{507}$$

$$= \underbrace{-\frac{1}{2}[\underbrace{C(\hat{y}_t - \hat{y}_t^f)}_{\text{deviation from output}} + \underbrace{D(\hat{\pi}_t - \pi^*)^2}_{\text{inflation}}]}_{\text{welfare loss}} \text{ (welfare loss function)} \tag{508}$$

the goal is to minimize the whole term

Note 28 (paradoxy in welfare loss function)**.**

the two goals are contradicated according to philips curve

19 Fiscal Policy

Planned chapter.

19.1 Government budgets, debt, and Ricardian equivalence

Derive the government flow and intertemporal budget constraints. Explain the conditions for Ricardian equivalence and why they can fail.

19.2 Taxes, purchases, transfers, and public investment

Separate income, substitution, and resource effects. Compare the objectives and transmission mechanisms of different fiscal instruments.

19.3 Fiscal multipliers and financing

Define the multiplier and its horizon. Compare spending responses across financing arrangements, monetary policy rules, household structures, and open economy environments.

20 Policy Interaction and Constraints

Planned chapter.

20.1 Fiscal and monetary regimes

Study how the fiscal backing of public liabilities interacts with interest-rate policy, inflation, and equilibrium determination.

20.2 Debt sustainability and policy space

Derive debt-to-output dynamics and distinguish arithmetic from an assessment of sustainability. Include growth, interest rates, primary balances, and risk.

20.3 Policy combinations in an open economy

Bring together exchange-rate regimes, capital flows, domestic balance sheets, and international spillovers. Compare policy combinations under stated institutional and financial constraints.

Part VI
Topics

The topics combine mechanisms from the earlier parts. Each begins with dated facts and measurement choices, compares competing explanations, and asks what evidence would distinguish them. Policy conclusions remain conditional on that evidence.

21 The Dollar in the International Monetary System

Planned chapter.

21.1 History and measures of international currency use

Separate reserve holdings, invoicing, payments, funding, and exchange-rate anchors. Define what each measure can establish about dollar dominance.

21.2 Network effects, invoicing, and safe assets

Explain the mechanisms that can sustain an international currency's use. Connect dollar pricing and demand for safe assets to the open economy models.

21.3 Benefits, obligations, and the international balance sheet

Distinguish seigniorage, financing advantages, and valuation effects. Examine the obligations and constraints associated with supplying safe and liquid international liabilities.

21.4 Global funding and policy spillovers

Trace dollar borrowing, funding stress, and the international transmission of US policy. Examine liquidity facilities and the role of financial sanctions.

21.5 Persistence, alternatives, and testable changes

Compare explanations of persistence with possible sources of change. Assess claims about de-dollarization separately across the measures defined at the start of the chapter.

22 China's Growth and Adjustment after the Pandemic

Planned chapter.

22.1 The baseline, timeline, and measurement

Separate the pre-pandemic baseline, pandemic years, and reopening period. Distinguish output levels from growth rates and real activity from nominal income. An observation after the pandemic does not identify a pandemic effect.

22.2 Demand, consumption, and employment

Compare cyclical explanations using household income, consumption, prices, and employment. State what each explanation predicts before assessing it.

22.3 Property, balance sheets, and local public finance

Map the links between housing, household and firm balance sheets, banks, and local government finances. Compare expenditure adjustment and debt resolution mechanisms.

22.4 Population, productivity, and resource allocation

Use growth accounting and the growth models to distinguish demographic, investment, and productivity explanations. Examine the allocation of resources across sectors and firms.

22.5 External demand and policy alternatives

Connect domestic adjustment to trade and international conditions. Compare policy alternatives through their mechanisms, constraints, distributional effects, and testable implications.